Tower Semiconductor | Full financial and source review

Full company review | November 7, 2026 | Financial tables use USD millions, share counts use millions, and valuation ceilings use USD per share unless labeled otherwise.

The active Q4 2027 ceiling is $311.29, compared with the preserved prior estimate of $313.40 (-0.67%). It uses forward-four-quarter consolidated GAAP-style operating profit of $1,812.71 million, a 20x multiple and 116.463 million starting-quarter economic diluted shares.

The investment case combines qualified silicon-photonics and SiGe manufacturing with explicit accepted shipments, paid capacity, recurring costs and finite funding obligations. The accounting review separately traces ordinary leases, finance-lease gross cash and three already-paid service cohorts.

Analytical Base 75 and protected Excel Base 75 remain. The seven-part scorecard retains 45/60. The complete November 4 report follows as a dated prior vintage with all original text, exhibits and forecasts.

1. Thesis and retained scorecard

Tower manufactures specialty analog processes for optical connectivity, RF, power and sensing. Its value depends on qualified process capability, manufacturing consistency, yield and customer roadmaps that can persist across product generations. The six financial vectors are SiPho, SiGe, RF mobile, power, sensors and discrete/other.

AI bandwidth and power constraints support photonic integration. Customer qualification, accepted wafer output and the paid manufacturing route determine Tower receipts. The model retains one shared SiPho wallet across pluggable, NPO, CPO and integrated-laser content.

The seven score components and four risk deductions remain selected. Customer prepayments and long-term commitments support engagement while delivery, cash timing and competitive pricing remain explicit operating tests.

Seven-part scorecard retained

Category	Points	Maximum	Evidence
Core thesis	17	20	Qualified SiPho and SiGe processes support repeated customer generation ramps. InnoLight early NPO production,300mm tape-outs and the Semtech capacity agreement support engagement. Competing foundries and architectures remain credible.
Cycle stage	8	10	Reported revenue and operating profit are accelerating during a large investment phase. Qualification, wafer run-through and customer acceptance connect starts to financial receipts.
TAM expansion	9	10	Pluggable, NPO, coherent and integrated-laser demand expand qualified foundry content. One capacity-constrained wallet governs overlapping architectures and customer requests.
Catalysts	5	5	Q4 revenue guidance, the conversion of year-end starts into Q2 shipments, Q3 Track1 starts and2029 Track2 provide dated operating tests.
Macro	8	10	AI connectivity and power constraints support optical adoption; semiconductor cycles, trade barriers and regional disruption constrain certainty.
Alpha	2	5	Primary financial/capacity claims are public. Detailed accounting improves the model, while exact wafer economics and customer allocations remain unavailable.
Risks	-4	0	One point each for factory execution/funding, competitive pricing, customer concentration and geopolitics. Lease and prepaid proxies remain within these monitored classes.

The retained raw score is 45/60; analytical and protected Excel Bases are 75. Four scored risk classes remain explicit.

2. Reported results, guidance and source dates

The quarter ended September 30, 2026 reported 526.16 revenue, 178.76 gross profit, 347.40 COGS and 127.14 operating profit. Research and development was 26.62 and SG&A 24.999. Consolidated net income was 119.88; parent net income was 120.26 after the noncontrolling loss attribution. These reported figures retain their source scope. [T1, T3]

Management guides Q4 revenue to 600 plus or minus 5%. The retained source calls distinguish year-end wafer starts from the later financial effect of processed and accepted shipments. The Q3 event date is November 2 and transcript cover date November 3; the Q2 call is August 4. Complete supported primary management/Q&A text is retained for both calls. Original transcript PDF routes returned 403, and call audio remains unaudited. [T2, T4]

The August 4 Q2 call presents a nominal annual 2028 reference of $3.60 billion revenue, $1.63 billion gross profit, $1.38 billion operating profit and $1.20 billion net profit, and discusses attainment of at least that run rate. It assumes 85% utilization after installation and qualification, selected wafer prices and costs, and customer products qualified and ordered. The $1.38 billion OP reference is from this call. [T4] The July 14 FAQ cites $3.60 billion revenue and $1.20 billion NI for a model based solely on Track 1, with full readiness in Q4 2027; meaningful Track 2 revenue begins in 2029 or later. [T7] The selected higher 2028 quarterly path reflects the retained accepted SiPho core and integrated-laser content, mix, pricing, cost and capacity assumptions. Qualification, pricing, utilization and customer execution remain explicit risks.

Reported Q3 2026 financial anchor

Reported metric	USD millions
Revenue	526.16
Gross profit	178.76
COGS	347.40
R&D	26.62
SG&A	25.00
Operating profit	127.14
Net income	119.89
Parent net income	120.26
CFO	185.16
Cash net capex	190.68
Noncash cash-flow line, including SBC/PPA	90.46
Combined SBC and acquired-intangible amortization	11.04

Issuer Q3 source rows retained from the verified November 4 model. The noncash aggregate includes SBC and acquired-intangible amortization.

Reported opening balance-sheet anchors

Source balance	USD millions
cash	250.75
deposits	1,222.12
AR	226.84
inventory	263.45
other current assets	47.55
PPE	1,825.40
other long assets	181.09
AP	193.86
current advances deferred	248.93
long advances	92.05
other current liabilities	84.67
short debt including leases	13.45
long debt including leases	140.28
other long liabilities	35.84

September 30, 2026 reported stocks. Cash/deposits and every liability keep their source ownership.

Q3'26 P&L vs. Q2'26 P&L (in thousands of $)

	Three months ended September 30, 2026	Three months ended June 30, 2026
REVENUE	**526,161**	**460,079**
COST OF REVENUE	347,402	322,307
GROSS PROFIT	**178,759**	**137,772**
Research and development	26,625	23,569
Marketing, general and administrative	24,999	23,913
OPERATING PROFIT	**127,135**	**90,290**
Financing and other income, net	11,943	15,902
PROFIT BEFORE INCOME TAX	**139,078**	**106,192**
INCOME TAX EXPENSE, NET	(19,193)	(15,573)
NET PROFIT	**119,885**	**90,619**
Non controlling interest	371	150
NET PROFIT ATTRIBUTABLE TO THE COMPANY	**120,256**	**90,769**
BASIC EARNINGS PER SHARE	**1.06**	**0.80**
DILUTED EARNINGS PER SHARE	**1.05**	**0.79**
GAAP NET PROFIT	**120,256**	**90,769**
Stock based compensation and amortization of acquired intangible assets	11,042	9,941
ADJUSTED NET PROFIT	**131,298**	**100,710**
ADJUSTED EARNINGS PER SHARE:		
Basic	**1.16**	**0.89**
Diluted	**1.15**	**0.88**

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Tower issuer presentation, November 2,2026, PDF page 6. Original source image.

Balance Sheet ($ in million)

	September 30, 2026	December 31, 2025
ASSETS		
Cash and cash equivalents	251	235
Short-term deposits	1,222	917
Trade accounts receivable	227	223
Inventories	263	257
Other current assets	48	78
Total current assets	**2,011**	**1,710**
Property and equipment, net	1,825	1,463
Other long-term assets, net	181	149
TOTAL ASSETS	**4,017**	**3,322**
LIABILITIES AND SHAREHOLDERS' EQUITY		
Short-term debt	13	28
Trade accounts payable	194	124
Customer prepayment and deferred revenue	249	26
Other current liabilities	85	86
Total current Liabilities	**541**	**264**
Long-term debt	140	133
Long-term customers' advances	92	2
Other long-term liabilities	36	18
TOTAL LIABILITIES	**809**	**417**
SHAREHOLDERS' EQUITY	**3,208**	**2,905**
TOTAL LIABILITIES & EQUITY	**4,017**	**3,322**

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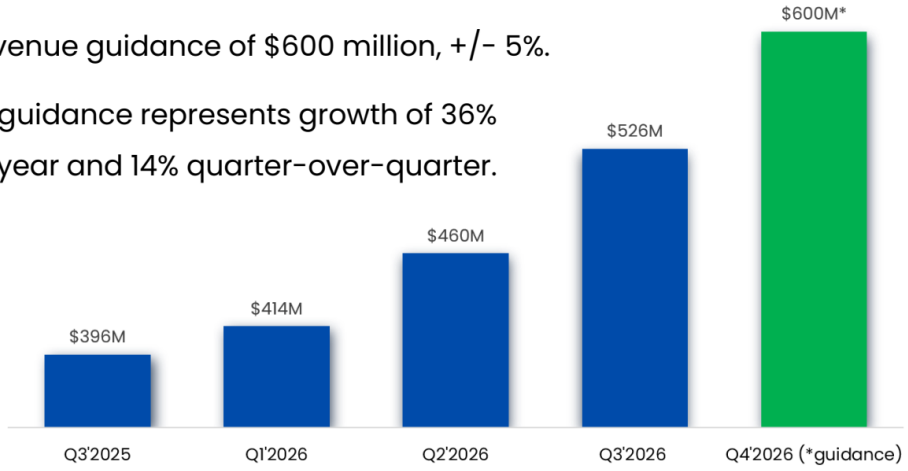
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Tower issuer presentation, November 2,2026, PDF page 5. Original source image.

Third Quarter 2026 Financial Results Highlights and Fourth Quarter 2026 Outlook

Q3 2026 revenue: $526 million | Q3 2026 Net profit: $120 million

- Q4 2026 revenue guidance of $600 million, +/- 5%.
- Mid-range guidance represents growth of 36% year-over-year and 14% quarter-over-quarter.



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Tower issuer presentation, November 2,2026, PDF page 3. Original source image.

YTD'26 P&L vs. YTD'25 P&L (in thousands of $)

	Nine months ended September 30, 2026	2025
REVENUE	**1,399,871**	**1,125,898**
COST OF REVENUE	972,389	879,656
GROSS PROFIT	**427,482**	**246,242**
Research and development	73,724	61,646
Marketing, general and administrative	71,768	61,253
OPERATING PROFIT	**281,990**	**123,343**
Financing and other income, net	37,363	35,476
PROFIT BEFORE INCOME TAX	**319,353**	**158,819**
INCOME TAX EXPENSE, NET	(41,284)	(20,064)
NET PROFIT	**278,069**	**138,755**
Non controlling interest	(2,012)	1,583
NET PROFIT ATTRIBUTABLE TO THE COMPANY	**276,057**	**140,338**
BASIC EARNINGS PER SHARE	**2.44**	**1.25**
DILUTED EARNINGS PER SHARE	**2.41**	**1.24**
GAAP NET PROFIT	**276,057**	**140,338**
Stock based compensation and amortization of acquired intangible assets	30,424	30,041
ADJUSTED NET PROFIT	**306,481**	**170,379**
ADJUSTED EARNINGS PER SHARE:		
Basic	**2.71**	**1.52**
Diluted	**2.68**	**1.50**

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Tower issuer presentation, November 2,2026, PDF page 8. Original source image.

2028 Target Business Model ($M)

Revenue	3,600
Cost of Revenue	1,970
Gross Profit	1,630
Gross Margin	***45.3%***
Op-Ex	250
Operating Profit	1,380
Operating Margin	***38.3%***
Net Profit	1,200
Net Profit Margin	***33.3%***

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Tower August 4,2026 supporting slides, PDF page 5. Management conditional 2028 model in USD millions; current physical and cost assumptions are stated in the report.

3. Optical evidence, invoices and all ten claim dispositions

The November 3 Tower/InnoLight announcement reports first NPO early production on PH18M in California and multiple 300 mm tape-outs. The existing model already includes the corresponding core and integrated-laser paths. The supplied older optical note adds engineering and route detail to that capacity-constrained wallet. [T5, O1]

The 43% to 76% SiPho unit-mix endpoints describe transceiver units. A Tower invoice bridge also requires total units, captured process allocation, billable content and realized price. The selected decision assigns complete overlap with the existing adoption trajectory for this older mix claim, with zero additional revenue or independent event weight.

InP capacity estimates, module yields, remote-versus-integrated laser layouts and system power/TCO claims have different process and payer boundaries. The source supplies no residual Tower-paid input contract, changed customer date or qualification budget beyond the selected downside. The existing 25% delayed/competition outcome, pricing law and 1.20% incremental SiPho support remain.

The broker’s sevenfold EPS context lacks a matched EPS base, GAAP scope and future weighted-share bridge. The selected law retains 20x consolidated OP and starting-quarter economic diluted shares. Source novelty, every bounded proxy attempt, five exhibits and six dated broker appendices remain visible in the source ledger.

The original expert identity, interview replay, proprietary presentation and original LightCounting dataset remain unavailable. Every supplied page was previously read visually. Current model/report full-file identity has now been verified against the published originals.

Ten optical-source economic dispositions

Claim	Economic mapping	Selected treatment
MIZ_OPT_01	A bounded route invoice needs accepted starts, Tower content and realized price. Customer5–10% system savings and >25% power savings have a customer/system denominator. Applying either percentage to Tower revenue or COGS would change the recipient and cost perimeter.	Retain every NPO/core/laser receipt and cost coefficient. Select zero additional NPO wallet, ASP uplift and foundry-margin uplift.
MIZ_OPT_02	The proposed25%-of-core-above720 CPO tag and an added30% delay branch required a new route share and a later original program counterfactual. Neither is identified by this older note. Its2028–29 preproduction/2029–30HVM dates fit the current phased2029 onset. Compute opticalIO2031+ lies beyond the17 modeled quarters.	Retain Track2 onset2029, all core/laser arrays, physical capacity and the existing60/15/25 weights/2q delay. Select zero additional timing shift, capacity reduction and support-cost surcharge.
MIZ_OPT_03	Trace lengths<2cm/>10cm and remote versus attached lasers identify system topology. A content-per-accepted-engine proxy still lacks process award, wafer area, PIC count, price and payer. The four architectures cannot each receive the full customer wallet.	Retain process-content, price, customer capture and all six product vectors; zero new architecture-specific revenue or cost coefficient.
MIZ_OPT_04	U×unitmix×Towercapture×billablecontent×ASP is the matched envelope. The43%→76% endpoint changes unit mix by33pp and gives a1.76744 ratio only under fixed units/capture/content/ASP. Those factors and the prior model route allocation are unmeasured. Applying that ratio to the already-growing full SiPho wallet would count adoption twice.	Select100% economic overlap with the existing adoption curve for this source-only mix claim, zero separate adoption uplift and no new independent event weight.
MIZ_OPT_05	A paid-input proxy requires Tower-paid material share×input price change; a bottleneck-output proxy requires allocated good lasers×customer acceptance×billing terms. The >80%/>30% capacity estimates have no matched wafer-size, supplier-allocation or good-output denominator. Silicon PIC fabrication and module laser sourcing have separate cost ownership.	Retain the existing25% outcome and all pricing, unit-cost, capex and funding controls; zero independent procurement-price or capacity-growth multiplier.
MIZ_OPT_06	Cost per accepted unit can scale as1/yield for one matched paid process stage. The15 ranges cover die/module/engine stages with unpaired cohorts and unknown vendor/payer denominators; no nested chain is supplied. Existing source arithmetic already exposes broad endpoint ranges. A new0.8% qualification surcharge or direct module-yield haircut would require a new Tower cost/qualification amount.	Retain all yield-realization proxies, the1% annual efficiency law,1.2% support rate and every cost allocation; zero extra yield benefit, rework charge or support surcharge.
MIZ_OPT_07	For each named program, captured process receipts require accepted Tower process allocation. AWS/STM PIC100, VCSEL, ELS and other customer alternatives identify competing routes. They supply no measured transfer from the current Tower reference wallet.	Retain existing capture, customer concentration, six product vectors and shared capacity; zero extra named-customer contract or market-share coefficient.
MIZ_OPT_08	Instrument, recipient, generation, quantity and purchase/capacity rights must map to a Tower invoice or cost. The OCS customer hypotheses and broad sole-source phrase have no matched Tower receivable/prepayment/process-sales amount.	Zero new Tower cash, revenue, debt, customer advance or independent competitive probability. Keep all current competition assumptions.

Claim	Economic mapping	Selected treatment
MIZ_OPT_09	Rounded45%/38% implies1620GP/1368OP at3600revenue and cannot replace the source-dollar calibration. The sevenfold EPS bridge needs exact2025 EPS, GAAP/adjusted scope and2029 weighted diluted shares. The sanctioned beginning-target-quarter share proxy supplies a separate valuation denominator.	Retain full current operating/cash paths,20×OP method and share schedule; zero EPS multiplier, margin reset or second3.6B revenue wallet.
MIZ_OPT_10	Every six-stock target/multiple and commentary row was preserved. Tower appendix PEG and other-company PE/PS methods have different scopes. Additional risk expense requires a matched Tower invoice, date or cash owner.	Retain raw45, analytical75, protected Excel75,20×OP and all other company decisions; zero score, multiple or independent risk-probability change.

Complete supplied owner note reviewed. Existing optical receipts, dated60/15/25 outcomes, support and capacity remain selected; new engineering detail and precise source gaps are retained.

Attributed optical exhibit E1

Source record	Preserved content
1	{"product": "Pluggables", "year2026": "800G and1.6T ramping", "year2027plus": "Scaling1.6T as3.2T qualification expands"}
2	{"product": "NPO", "year2026": "Early programs/engines; detachableFAU not required; easier implementation", "year2027plus": "Target6.4T deployments with more engine aggregation"}
3	{"product": "CPO", "year2026": "Many customers developing;NVDA/AVGO leaders", "year2027plus": "Pre-production2028/29; high volume2029/30"}
4	{"product": "Compute optical I/O", "year2026": "R&D", "year2027plus": "2031+ ramp"}

Owner-supplied broker/expert note, page2. Proprietary Industry Expert Presentation, MSUSA. Original units and estimates retained.

Attributed optical exhibit E2

Source record	Preserved content
1	{"layout": "Socketed SiPho + attachedCW", "source_location": "Laser beside PIC near ASIC", "tradeoff": "Compact; heat remains near engine"}
2	{"layout": "SiPho + remoteELS", "source_location": "Cooler serviceable laser", "tradeoff": "Extra fibers, split loss, redundancy"}
3	{"layout": "Laser-integrated PIC engine", "source_location": "III-V laser integrated withSiPho", "tradeoff": "Fewer interfaces; laser/PIC yields coupled; broker associatesInnoLight300308.CH"}
4	{"layout": "VCSEL NPO engine", "source_location": "GaAs emitter near ASIC", "tradeoff": "Short reach/multimode; narrative~50m; broker associatesCRDO"}

Owner-supplied broker/expert note, page2. Proprietary Industry Expert Presentation, MSUSA. Original units and estimates retained.

Attributed optical exhibit E3

Source record	Preserved content
1	{"component": "EML die200G/lane", "ranges": [[50, 70], [62, 81], [68, 87]]}
2	{"component": "EML-based module", "ranges": [[84, 89], [86, 94], [87, 96]]}
3	{"component": "CW die", "ranges": [[73, 86], [76, 89], [78, 93]]}
4	{"component": "CW + SiPho module", "ranges": [[74, 87], [82, 93], [82, 95]]}
5	{"component": "Socketable SiPho NPO engine", "ranges": [[55, 75], [73, 86], [80, 92]]}

Owner-supplied broker/expert note, page3. Proprietary Industry Expert Presentation, MSUSA. Original units and estimates retained.

Attributed optical exhibit E4

Source record	Preserved content
1	{"customer": "NVDA", "architecture": "Quantum/SpectrumX switchCPO,1.6T optics", "comment": "Compute package/NPO mix developing in parallel with sameSiPho silicon"}
2	{"customer": "AVGO", "architecture": "6.4TCPO TH6-Davisson;3.2TVCSEL NPO", "comment": "Parallel deployment"}
3	{"customer": "AWS", "architecture": "STM PIC100 collaboration", "comment": "Working withSTM onNPO/CPO"}
4	{"customer": "GCP", "architecture": "ICI software resiliency plusOCS betweenTPU cubes", "comment": "1.6T/3.2T/6.4TNPO floorplans;ethernet focus"}
5	{"customer": "META", "architecture": "OCP switches and pluggable optics", "comment": "NPO interest;interoperability key"}

Owner-supplied broker/expert note, page3. Proprietary Industry Expert Presentation, MSUSA. Original units and estimates retained.

Attributed optical exhibit E5

Source record	Preserved content
1	{"year": 2025, "share_pct": 43}
2	{"year": 2030, "share_pct": 76, "estimate": true}

Owner-supplied broker/expert note, page3. Proprietary Industry Expert Presentation, LightCounting, MSUSA. Original units and estimates retained.

NPO Ramps Ahead of CPO as Volume Slips to 2029/30E on Supply Chain Readiness

Our expert noted NPO ramps ongoing as a bridge to CPO, with CPO early ramps into 2028-29E and volume ramp pushed to 2029-30E on supply chain readiness. We believe NPO sits farther from the ASIC and closer to the laser source, making it easier to engineer (detachable FAU), with early programs ramping in 2026E and 6.4T deployments targeted for 2027E, providing ~5-10% cost savings vs. pluggables. For CPO, with more integrated design we see ~30% cost savings and lower latency vs pluggables. We see CPO led by NVDA and AVGO, with Ayar Labs, Lightmatter and potentially AMD following with hyperscaler interest growing. However, CPO supply chain remains needs development, with **a)** high power CW laser availability (NVDA injected $2B into each LITE/COHR - NC), **b)** FAU yields and capacity, **c)** optical/electrical test capacity and **d)** assembly automation. Meanwhile, pluggables are scaling to 1.6T as 3.2T qualification expands, with China leaning on NPO, potentially sidelining CPO adoption due to its complexity.

Exhibit 1 - NPO to Serve as Crucial Bridge with CPO Potentially Delayed to 2029/30E

Product	2026	2027E+
Pluggables	800G and 1.6T ramping	Scaling 1.6T as 3.2T qualification expands
NPO	Early programs and engines, detachable FAU not required, easier implementation	Targeting 6.4T deployments with more engine aggregation
CPO	Many customers in development, NVDA and AVGO leaders	Pre-Production in 2028/29 and high volume manufacturing in 2029/30
Compute Optical I/O	R&D	2031+ Ramp

Source: Proprietary Industry Expert Presentation, MSUSA

NPO Architectures: Trading Off Heat, Fiber Count, Yield and Reach

Our call noted four leading NPO architectures, with SiPho component often similar to CPO as we see layouts including: **1) socketed SiPho with attached CW** which places the laser beside the PIC near the ASIC, which is compact but keeps laser heat near the engine, **2) SiPho with remote ELS** moves the laser to a cooler, serviceable location, we believe at some cost of added design complexity and split loss, we believe NVDA is a key adopter, implementing lasers off package with ELS similar to its CPO design, **3) The laser-integrated PIC engine NPO**, we believe pursued by Innolight (300308.CH, NC), has fewer interfaces and higher yield potential but needs time to mature and ties laser and PIC yields together, and **4) VCSEL/micro-emitter engines**, led by CRDO, potentially easier to implement, slow-and-wide, with reach-limited to ~50m and rely on fragile light sources and multimode fiber.

Exhibit 2 - NPO Architectures Give Customers Multiple Options to Help Meet Different Needs

NPO Layout	Light Source/Location	Comments
Socketed SiPho + attached CW	Laser beside PIC, near ASIC	Compact but laser heat stays near engine
SiPho + remote ELS	Laser at cooler, serviceable location	Extra fibers, split loss and redundancy
Laser-integrated PIC engine	III-V laser integrated with SiPho	Fewer interfaces, tighter yield coupling
VCSEL NPO Engine	GaAs emitter near ASIC	Short reach and multi-mode fiber limits

Source: Proprietary Industry Expert Presentation, MSUSA

Owner-supplied Mizuho optical note, printed October15,2026, page2. Attributed expert/industry context. All five exhibits are transcribed with their original units and scope in the adjoining tables.

LT Yields Could Favor CW/SiPho, with EML Challenged into 400G/lane and Beyond

Our call noted EML and CW (SiPho) yields improving steadily into 2026-28E with CW die simpler and already at higher yields vs EML (73-86% vs 50-70%), while SiPho modulator integration with CW is the main challenge removing ~10-20pp from the final yield. We note EML yield improvement is potentially limited at higher data rates (into 400G/lane and beyond), as design complexity grows, with 200G/Lane EML die yields at 50-70% bin 2026E, potentially stalling at 68-87% in 2027-28E, with 400G/lane ramps. We see broader CW/SiPho yields rapidly improving to reach 80-92% by 2028E and enabling more efficient designs/deployments.

Exhibit 3 - CW Expected to Close the GAP to EML Yields

Optical Component Yield	2026	2027	2028
EML die (200G/lane)	50-70%	62-81%	68-87%
EML-based module	84-89%	86-94%	87-96%
CW die	73-86%	76-89%	78-93%
CW + SiPho module	74-87%	82-93%	82-95%
Socketable SiPho NPO engine	55-75%	73-86%	80-92%

Source: Proprietary Industry Expert Presentation, MSUSA

Multiple Approaches to Drive Optical Roadmap

Our speaker noted that different optical customers are applying different roadmaps to ramp deployments. We note NVDA ramping Quantum/Spectrum X switches with its current Rubin deployments, as we note we see it accelerating CPO adoption with the move to Rubin Ultra. For AVGO, we note it is currently ramping Tomahawk 6 (TH6) Davisson, its first 6.4T CPO product, with deployments remaining limited, while it has also begun shipments of its 3.2T VCSEL NPO. On the hyperscaler front, we note AWS is ramping its SiPho products in partnership with STM, with that roadmap evolving into NPO/CPO down the road, while GCP is ramping OCS now, with 1.6-6.4T NPO in its roadmap and META is still mostly deploying pluggables but looking into potential NPO products down the line.

Exhibit 4 - Customers taking Very Different Routes with Optical Roadmaps

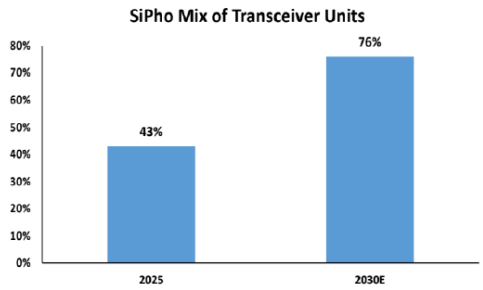
Customer	Architecture	Comments
NVDA	Quantum/Spectrum X switch CPO, 1.6T optics	Compute package and NPO mix, developing in parallel with same SiPho silicon
AVGO	6.4T CPO engine (TH6-Davisson), 3.2T VCSEL NPO	Parallel deployment
AWS	STM PIC100 collab	Working with STM on NPO and CPO
GCP	ICI (SW resiliency), plus OCS between TPU cubes	1.6T/3.2T/6.4T NPO floorplans, ethernet focus
META	OCP switches and pluggable optics	Interest in NPO, interoperability key

Source: Proprietary Industry Expert Presentation, MSUSA

SiPho Mix of Transceiver Units Increasing as NPO/CPO Ramp

With NPO ramping, and CPO ramps now expected to begin late 2028/early 2029E, we see SiPho continuing to take a higher mix of transceiver market. We note pluggables remain the dominant form factor, especially with 800G deployments and below, but as the market deploys more 1.6T-enabled clusters, we see SiPho mix accelerating, potentially to as high as 76% by 2030E from 43% in 2025. Additionally, we note that the rise in SiPho deployments coincides with the ramp of CW lasers, as we believe EML will see degrading yields as lane speeds increase to 400G on 3.2T/6.4T deployments.

Exhibit 5 - SiPho Transceiver Mix Ramping Potentially to >75% by 2030E



Source: Proprietary Industry Expert Presentation, LightCounting, MSUSA

Owner-supplied Mizuho optical note, printed October15,2026, page3. Attributed expert/industry context. All five exhibits are transcribed with their original units and scope in the adjoining tables.

4. Six complete probability-weighted outcomes

The retained optical reference, accelerated and delayed-competition paths carry 60%, 15% and 25% weights. Each crosses with an equal 50/50 interpretation of the new prepaid service cost payer. The resulting complete-state weights are 30%, 30%, 7.50%, 7.50%, 12.50% and 12.50%.

Gamma 0 reclassifies the new service consumption within the existing fixed cash-cost budget. Gamma 1 recognizes that consumption as incremental book cost. Each state separately carries product profit, physical capacity, capital, cash tax, working capital, debt and finite funding before weighting.

Six complete joint accounting outcomes

State	Probability	Gamma	Ready lag, q	Operating min cash	Funding tail min cash	Settlement stress min cash
reference_reclassification	30.000%	0	1	1,119.55	6,669.37	5,874.58
reference_incremental	30.000%	1	1	1,111.21	6,632.38	5,837.59
accelerated_reclassification	7.500%	0	0	1,135.10	7,712.72	6,845.21
accelerated_incremental	7.500%	1	0	1,128.86	7,675.73	6,808.22
delayed_reclassification	12.500%	0	3	1,034.16	4,948.71	4,246.75
delayed_incremental	12.500%	1	3	1,023.69	4,911.73	4,209.76

Reference/accelerated/delayed economics retain 60/15/25 weights. Each is crossed once with the 50/50 payer interpretation. Cash is solved in each complete state.

5. Six-product revenue and accepted capacity

Core SiPho capacity and accepted shipments remain separately constrained, with integrated-laser process content shown once alongside the core. Qualified capacity can be available before customer acceptance or paid revenue. RF, power, sensing and other products retain their original selected vectors.

The Japan capacity bridge uses nominal physical deployment and selected readiness lags. The capital diagnostics change paid cost and depreciation while holding nominal capacity and accepted core output fixed. Customer module demand, market size and unrelated program receipts enter the investment case only through the selected foundry wallet.

Six-product revenue

Quarter	SiPho	SiGe	RF_mobile	Power	Sensors	Other
Q4 2026	275.00	75.00	62.00	80.00	54.00	54.00
Q1 2027	346.60	79.75	64.88	89.84	55.91	54.04
Q2 2027	452.15	89.65	74.78	95.78	59.87	34.04
Q3 2027	554.45	99.55	81.71	101.72	63.83	34.04
Q4 2027	651.00	109.45	87.65	107.66	67.79	34.04
Q1 2028	675.62	114.40	91.61	112.61	70.76	34.04
Q2 2028	696.00	119.35	95.57	117.56	73.73	34.04
Q3 2028	715.16	124.30	99.53	122.51	76.70	34.04
Q4 2028	731.88	129.25	103.49	127.46	79.67	34.04
Q1 2029	811.50	134.20	107.45	132.41	82.64	34.04
Q2 2029	909.88	144.10	111.41	137.36	85.61	34.04
Q3 2029	1,010.62	154.00	115.37	142.31	88.58	34.04
Q4 2029	1,113.75	163.90	119.33	147.26	91.55	34.04
Q1 2030	1,216.88	173.80	123.29	152.21	94.52	34.04
Q2 2030	1,317.00	183.70	127.25	157.16	97.49	34.04
Q3 2030	1,415.62	193.60	131.21	162.11	100.46	34.04
Q4 2030	1,512.75	203.50	135.17	167.06	103.43	34.04

USD millions. The six product vectors share the accepted-capacity and cost wallet selected in the financial model.

Six-product gross profit

Quarter	SiPho	SiGe	RF_mobile	Power	Sensors	Other
Q4 2026	125.86	31.33	14.80	26.88	15.07	6.84
Q1 2027	170.53	34.04	16.12	32.25	15.99	6.77
Q2 2027	235.40	39.58	20.55	35.21	17.76	3.41
Q3 2027	297.90	45.00	23.44	38.00	19.42	2.88
Q4 2027	356.75	50.44	25.85	40.78	21.06	2.31
Q1 2028	368.99	52.99	27.32	43.01	22.21	1.75
Q2 2028	379.82	55.56	28.82	45.27	23.37	1.20
Q3 2028	389.94	58.16	30.33	47.55	24.55	0.6621
Q4 2028	398.56	60.76	31.85	49.84	25.74	0.1223
Q1 2029	445.71	63.37	33.39	52.15	26.93	-0.4151
Q2 2029	506.47	68.93	34.96	54.49	28.15	-0.9223
Q3 2029	568.94	74.54	36.56	56.88	29.40	-1.41
Q4 2029	633.11	80.17	38.18	59.28	30.66	-1.88
Q1 2030	698.14	85.98	40.01	61.92	32.09	-2.12
Q2 2030	763.57	92.32	42.45	65.31	34.05	-1.65
Q3 2030	826.23	98.17	44.30	67.97	35.50	-1.90
Q4 2030	888.27	104.06	46.18	70.68	36.98	-2.11

USD millions. The six product vectors share the accepted-capacity and cost wallet selected in the financial model.

Six-product cost

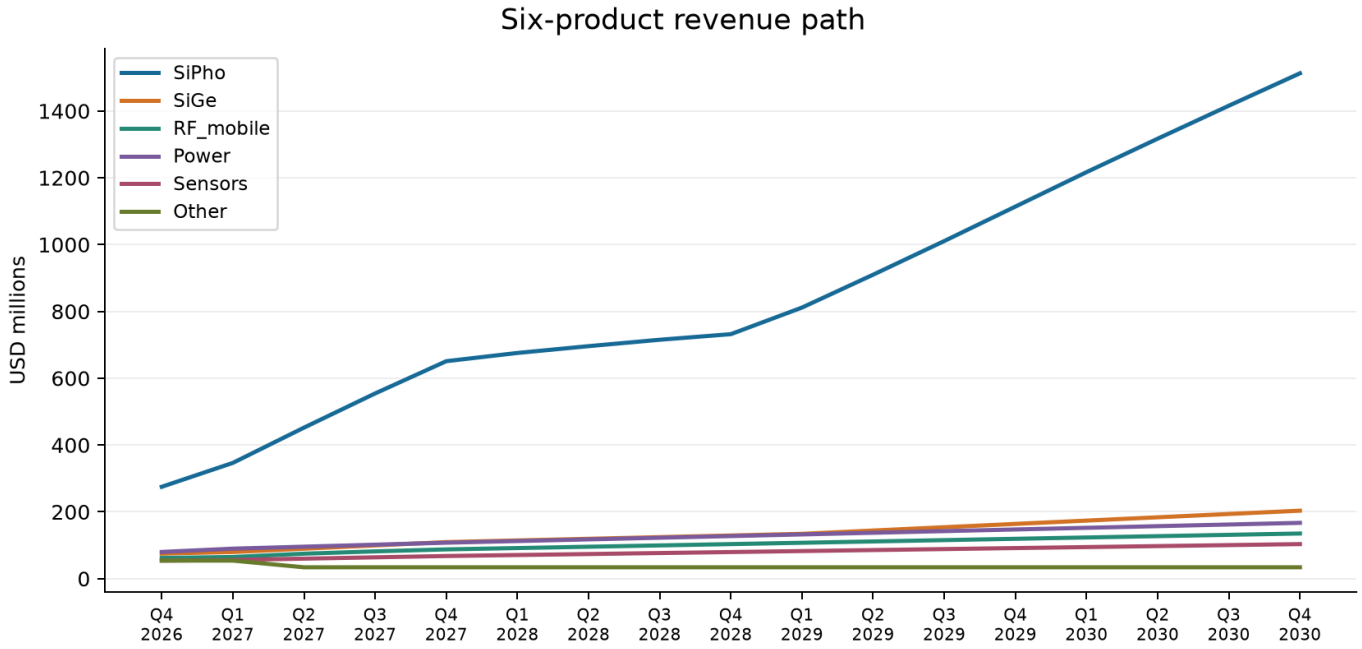
Quarter	SiPho	SiGe	RF_mobile	Power	Sensors	Other
Q4 2026	149.14	43.67	47.20	53.12	38.93	47.16
Q1 2027	176.07	45.70	48.76	57.58	39.92	47.27
Q2 2027	216.75	50.07	54.22	60.56	42.11	30.63
Q3 2027	256.55	54.54	58.27	63.72	44.42	31.16
Q4 2027	294.25	59.01	61.79	66.88	46.73	31.72
Q1 2028	306.64	61.41	64.29	69.60	48.56	32.29
Q2 2028	316.18	63.79	66.75	72.29	50.36	32.84
Q3 2028	325.21	66.14	69.20	74.95	52.15	33.38
Q4 2028	333.32	68.49	71.63	77.61	53.94	33.92
Q1 2029	365.79	70.83	74.06	80.26	55.71	34.45
Q2 2029	403.40	75.16	76.45	82.86	57.46	34.96
Q3 2029	441.68	79.46	78.81	85.43	59.18	35.44
Q4 2029	480.64	83.73	81.15	87.98	60.89	35.92
Q1 2030	518.73	87.82	83.28	90.28	62.43	36.16
Q2 2030	553.43	91.38	84.79	91.85	63.44	35.69
Q3 2030	589.39	95.43	86.91	94.14	64.97	35.94
Q4 2030	624.48	99.43	88.99	96.37	66.46	36.15

USD millions. The six product vectors share the accepted-capacity and cost wallet selected in the financial model.

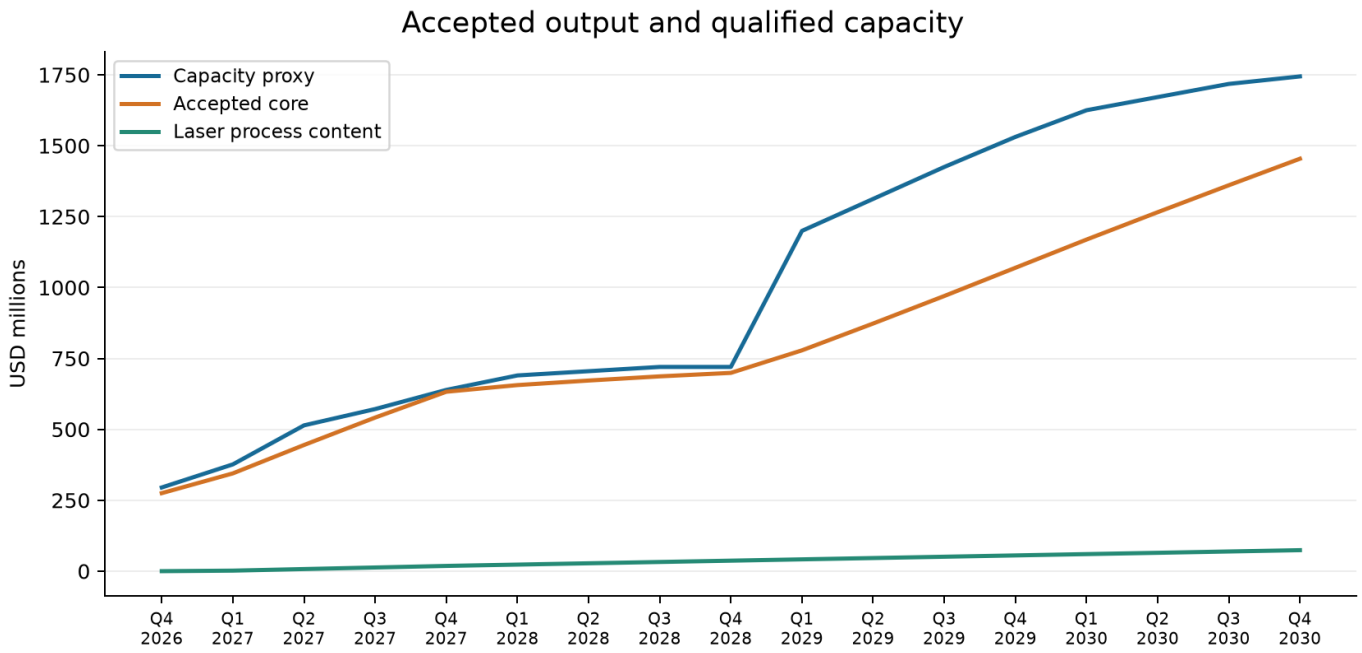
Accepted SiPho core, capacity and integrated-laser content

Quarter	Core capacity proxy	Accepted core	Integrated laser	Nominal Japan ready	Paid Japan ready asset
Q4 2026	295.00	275.00	0	0	0
Q1 2027	376.50	344.75	1.85	37.50	37.50
Q2 2027	514.00	444.75	7.40	225.00	225.00
Q3 2027	571.50	541.50	12.95	412.50	412.50
Q4 2027	639.00	632.50	18.50	662.50	662.50
Q1 2028	690.00	656.00	23.12	912.50	912.50
Q2 2028	705.00	672.00	27.75	1,162.50	1,162.50
Q3 2028	720.00	686.75	32.38	1,412.50	1,412.50
Q4 2028	720.00	699.00	37.00	1,662.50	1,662.50
Q1 2029	1,199.65	778.50	41.62	1,905.00	1,905.00
Q2 2029	1,312.28	873.00	46.25	2,117.50	2,117.50
Q3 2029	1,424.90	970.00	50.88	2,330.00	2,330.00
Q4 2029	1,530.90	1,069.50	55.50	2,530.00	2,530.00
Q1 2030	1,624.97	1,169.00	60.12	2,707.50	2,707.50
Q2 2030	1,671.35	1,265.50	64.75	2,795.00	2,795.00
Q3 2030	1,717.72	1,360.50	69.38	2,882.50	2,882.50
Q4 2030	1,744.22	1,454.00	74.00	2,932.50	2,932.50

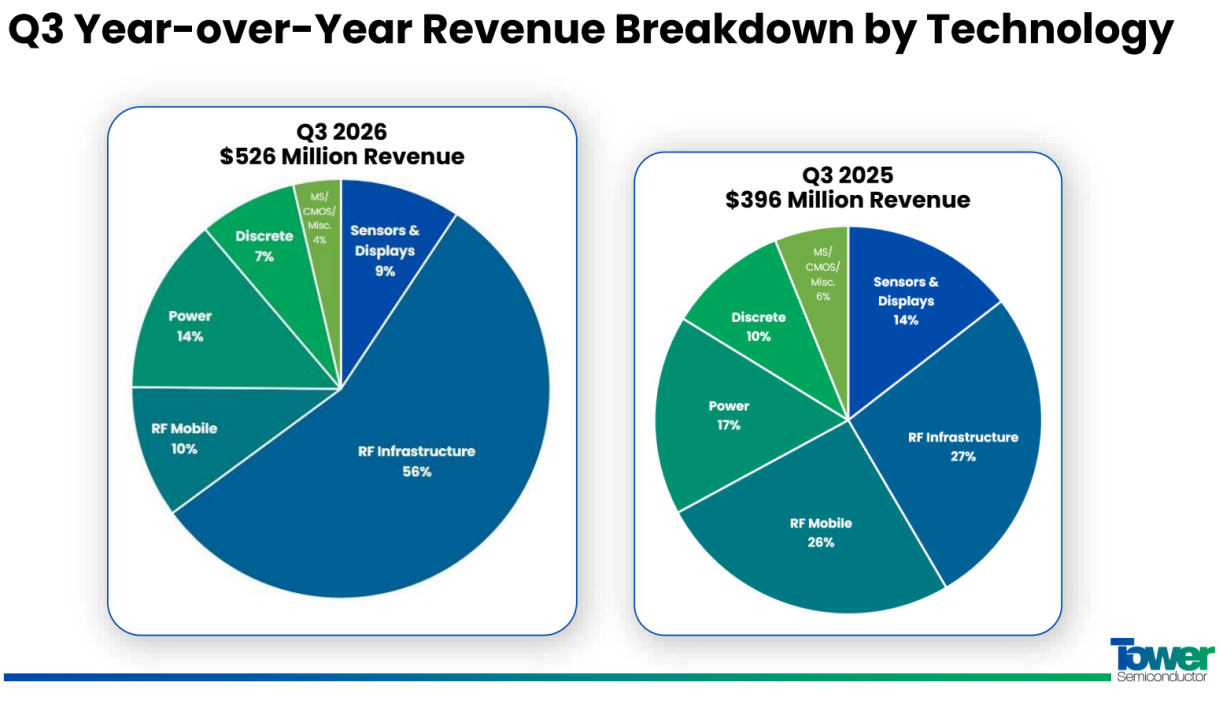
Selected probability-weighted operating forecast; USD millions. Saved financial values copied directly.



Each product vector is copied from the full financial model. SiPho core and laser content appear once.



Capacity, accepted core shipments and laser content retain their individual modeled boundaries.



Tower issuer presentation, November 2,2026, PDF page 4. Original source image.

6. Full operating profit, tax and recurring income

The consolidated OP numerator includes recurring PPE depreciation, stock compensation, acquired-intangible amortization, ordinary lease book expense and prepaid service consumption. Incremental SiPho support and factory costs retain their owning product and operating-cost scope.

Operating book and central cash tax apply 15% to positive taxable income under the selected proxy. Cash deductions for all three prepaid cohorts have their own diagnostic factors. The model grants no cash refund or unverified loss-utilization

receipt. Consolidated OP, consolidated NI, parent NI and noncontrolling attribution remain separate saved quantities.

Complete consolidated operating forecast

Quarter	revenue	COGS	GP	opex	OP
Q4 2026	600.00	379.23	220.77	52.89	167.88
Q1 2027	691.01	415.31	275.70	56.00	219.70
Q2 2027	806.26	454.33	351.93	59.92	292.00
Q3 2027	935.29	508.65	426.64	64.07	362.57
Q4 2027	1,057.58	560.38	497.20	68.10	429.10
Q1 2028	1,099.04	582.79	516.25	70.40	445.85
Q2 2028	1,136.24	602.21	534.03	72.62	461.41
Q3 2028	1,172.23	621.03	551.20	74.85	476.35
Q4 2028	1,205.78	638.91	566.87	77.06	489.81
Q1 2029	1,302.23	681.10	621.13	80.78	540.36
Q2 2029	1,422.39	730.29	692.09	85.02	607.07
Q3 2029	1,544.92	780.01	764.91	89.35	675.56
Q4 2029	1,669.82	830.31	839.51	93.78	745.74
Q1 2030	1,794.73	878.71	916.02	98.24	817.78
Q2 2030	1,916.63	920.58	996.05	102.63	893.42
Q3 2030	2,037.04	966.77	1,070.27	107.00	963.26
Q4 2030	2,155.94	1,011.88	1,144.06	111.38	1,032.69

Selected probability-weighted operating forecast; USD millions. Saved financial values copied directly.

Operating profit to consolidated and parent net income

Quarter	OP	interest_income	book_interest	pretax	book_tax	NI	NCI	parent_NI
Q4 2026	167.88	11.05	0.7001	178.22	26.73	151.49	1.10	150.39
Q1 2027	219.70	11.14	0.6799	230.16	34.52	195.64	1.42	194.22
Q2 2027	292.00	9.31	0.6653	300.65	45.10	255.55	0	255.55
Q3 2027	362.57	8.41	0.6505	370.33	55.55	314.78	0	314.78
Q4 2027	429.10	8.27	0.6027	436.76	65.51	371.25	0	371.25
Q1 2028	445.85	8.51	0.5548	453.81	68.07	385.74	0	385.74
Q2 2028	461.41	9.64	0.5094	470.54	70.58	399.96	0	399.96
Q3 2028	476.35	10.84	0.4641	486.72	73.01	413.71	0	413.71
Q4 2028	489.81	12.41	0.4186	501.81	75.27	426.54	0	426.54
Q1 2029	540.36	14.04	0.3731	554.02	83.10	470.92	0	470.92
Q2 2029	607.07	16.17	0.3283	622.91	93.44	529.47	0	529.47
Q3 2029	675.56	18.57	0.2834	693.85	104.08	589.77	0	589.77
Q4 2029	745.74	21.55	0.2385	767.05	115.06	651.99	0	651.99
Q1 2030	817.78	24.91	0.1935	842.50	126.38	716.13	0	716.13
Q2 2030	893.42	29.94	0.1502	923.21	138.48	784.73	0	784.73
Q3 2030	963.26	35.38	0.1068	998.54	149.78	848.76	0	848.76
Q4 2030	1,032.69	41.42	0.0634	1,074.04	161.11	912.93	0	912.93

Selected probability-weighted operating forecast; USD millions. Saved financial values copied directly.

Recurring noncash and lease/prepaid book expense

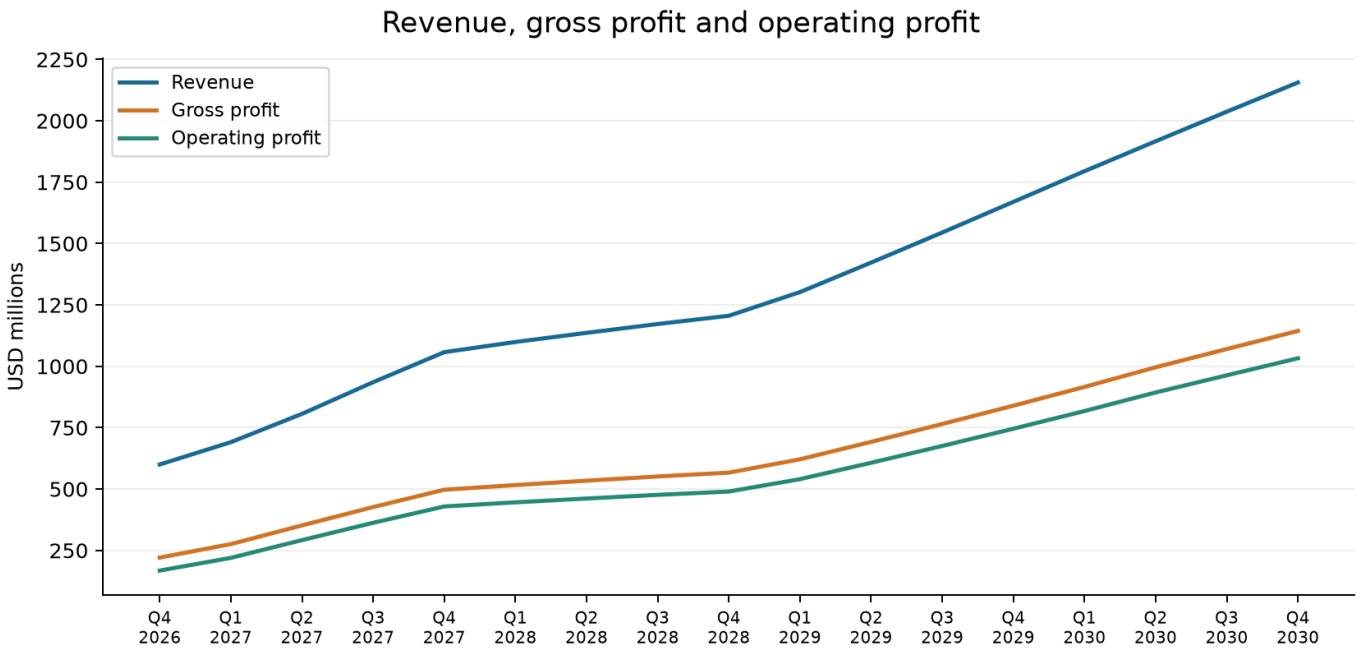
Quarter	PPE_DA	SBC	PPA	ordinary_book_cost	original_prepaid_consumption	new_prepaid_consumption
Q4 2026	72.59	10.72	0.3220	1.09	6.00	2.43
Q1 2027	73.49	10.98	0.2420	1.09	6.00	2.43
Q2 2027	76.56	11.24	0	1.09	6.00	2.43
Q3 2027	80.73	11.51	0	1.09	6.00	2.43
Q4 2027	85.07	11.79	0	1.09	6.00	2.43
Q1 2028	89.47	12.08	0	1.09	6.00	2.43
Q2 2028	93.69	12.37	0	1.09	6.00	2.43
Q3 2028	97.83	12.67	0	1.09	6.00	2.43
Q4 2028	101.99	12.97	0	1.09	6.00	2.43
Q1 2029	106.13	13.28	0	1.09	6.00	2.43
Q2 2029	110.03	13.60	0	1.09	6.00	2.43
Q3 2029	113.75	13.93	0	1.09	6.00	2.43
Q4 2029	117.40	14.27	0	1.09	6.00	2.43
Q1 2030	120.81	14.61	0	0	5.68	2.43
Q2 2030	123.40	14.96	0	0	0	2.43
Q3 2030	125.33	15.33	0	0	0	2.43
Q4 2030	126.99	15.70	0	0	0	2.43

Selected probability-weighted operating forecast; USD millions. Saved financial values copied directly.

Book and cash tax bridge

Quarter	pretax	book_tax	cash_tax_base	cash_tax	NI
Q4 2026	178.22	26.73	178.22	26.73	151.49
Q1 2027	230.16	34.52	230.16	34.52	195.64
Q2 2027	300.65	45.10	300.65	45.10	255.55
Q3 2027	370.33	55.55	370.33	55.55	314.78
Q4 2027	436.76	65.51	436.76	65.51	371.25
Q1 2028	453.81	68.07	453.81	68.07	385.74
Q2 2028	470.54	70.58	470.54	70.58	399.96
Q3 2028	486.72	73.01	486.72	73.01	413.71
Q4 2028	501.81	75.27	501.81	75.27	426.54
Q1 2029	554.02	83.10	554.02	83.10	470.92
Q2 2029	622.91	93.44	622.91	93.44	529.47
Q3 2029	693.85	104.08	693.85	104.08	589.77
Q4 2029	767.05	115.06	767.05	115.06	651.99
Q1 2030	842.50	126.38	842.50	126.38	716.13
Q2 2030	923.21	138.48	923.21	138.48	784.73
Q3 2030	998.54	149.78	998.54	149.78	848.76
Q4 2030	1,074.04	161.11	1,074.04	161.11	912.93

Selected probability-weighted operating forecast; USD millions. Saved financial values copied directly.



The operating-profit series includes all selected recurring noncash and lease/prepaid expenses.

7. Conserved source costs and the ordinary ROU convention

The Q3 cash-flow noncash line is 90.46 and includes combined SBC/acquired-intangible amortization of 11.04. The retained selected split is 10.72 SBC and 0.32 PPA. The resulting 79.42 residual already excludes both items. The historical 73.42 PPE-plus 6 prepaid decomposition remains visible in the preserved vintage.

The current convention places ordinary ROU consumption inside the reported noncash envelope. Its standalone Q3 amount is unavailable; the first-forward lease reconstruction supplies the explicit allocation proxy of 1.02. The active initial PPE depreciation anchor is 72.40. Matched cash-COGS and cash-opex reclassifications conserve sourced 347.40 COGS, 178.76 GP, 51.62 opex and 90.46 noncash.

For ordinary leases, CFO adds back the full book expense once and pays gross lease cash once. Its implicit interest cancels within the ROU/liability bridge. The outside-envelope diagnostic retains the older PPE residual and explicitly tests the classification alternative.

Selected noncash calibration and lease allocation

Selected field	Saved value
Reported total noncash envelope	90.46
First-forward ordinary ROU consumption proxy	1.02
Active initial PPE depreciation anchor	72.40
Ordinary quarterly book expense	1.09
Original quarterly prepaid calibration	6

USD millions. Ordinary ROU attribution is a selected reconstruction proxy. Source Q3 COGS, gross profit, opex and the reported noncash aggregate retain their original amounts.

8. Three already-paid service cohorts and cost payer

The original Newport cash prepayment was 105 during 2025, and the note describes approximately 6 of quarterly rent expense through the extended term. That statement does not identify a standalone prepayment-amortization amount. The selected 83.68 opening is a conditional aggregate prepaid/ROU-excess anchor; the preserved report retains its original 87 proxy. [T8, T9]

The separate 41.34 Q3 cash use in other long-term assets is already paid. Alpha 0.5 allocates 20.67 to Newport and 20.67 to other service prepayments, with both central lives 17 quarters. Their future consumption creates no repeat prepayment cash. The service attribution and exact carrying amount remain source assumptions.

Gamma 0 reduces an existing fixed cash-cost payer by the new cohort consumption before recognizing that noncash service cost. Gamma 1 adds the book cost above the fixed budget. Both add back noncash consumption once in CFO. The gamma 1 increment is excluded from the inventory/AP cash-intensity proxy. Early original expiry creates a standalone noncash catch-up; only its extra amount is excluded from that driver, and gamma credits remain confined to the new cohorts.

Separate already-paid service cohorts

Quarter	original_prepaid_asset	new_Newport_prepaid_asset	new_other_prepaid_asset	original_prepaid_consumption	new_prepaid_consumption	original_extra_catchup
Q4 2026	77.68	19.45	19.45	6.00	2.43	0
Q1 2027	71.68	18.24	18.24	6.00	2.43	0
Q2 2027	65.68	17.02	17.02	6.00	2.43	0
Q3 2027	59.68	15.81	15.81	6.00	2.43	0
Q4 2027	53.68	14.59	14.59	6.00	2.43	0
Q1 2028	47.68	13.37	13.37	6.00	2.43	0
Q2 2028	41.68	12.16	12.16	6.00	2.43	0
Q3 2028	35.68	10.94	10.94	6.00	2.43	0
Q4 2028	29.68	9.73	9.73	6.00	2.43	0
Q1 2029	23.68	8.51	8.51	6.00	2.43	0
Q2 2029	17.68	7.29	7.29	6.00	2.43	0
Q3 2029	11.68	6.08	6.08	6.00	2.43	0
Q4 2029	5.68	4.86	4.86	6.00	2.43	0
Q1 2030	0	3.65	3.65	5.68	2.43	0
Q2 2030	0	2.43	2.43	0	2.43	0
Q3 2030	0	1.22	1.22	0	2.43	0
Q4 2030	0	0.0000	0.0000	0	2.43	0

Selected probability-weighted operating forecast; USD millions. Saved financial values copied directly.

9. Paid capital, readiness and finite depreciation

The selected forward Japan program retains the 3,000 reserve with its existing phased cash schedule, separate tools and maintenance. Nominal project amounts determine physical capacity; paid ready assets determine depreciation and support. The 2,500 Japan-reserve and 20% cost-overrun diagnostics retain the same nominal deployment and accepted core rows.

New equipment and building cohorts use the retained 60- and 100-quarter lives with the selected commissioning and first/final-period convention. Depreciation is capped by each remaining cohort. Long-life PPE remains an explicit book residual when the operating forecast ends; the funding tail assumes no asset-sale recovery.

Paid capital and finite property/equipment

Quarter	Japan_capex	tools_capex	maintenance_capex	capex	PPE	legacy_DA	new_DA
Q4 2026	0	130.00	35.00	165.00	1,917.81	72.40	0.1939
Q1 2027	250.00	120.00	40.00	410.00	2,254.32	71.85	1.64
Q2 2027	250.00	72.00	40.00	362.00	2,539.76	71.30	5.25
Q3 2027	250.00	0	40.00	290.00	2,749.03	70.76	9.97
Q4 2027	250.00	0	40.00	290.00	2,953.96	70.23	14.84
Q1 2028	250.00	0	50.00	300.00	3,164.49	69.69	19.78
Q2 2028	250.00	0	50.00	300.00	3,370.79	69.16	24.53
Q3 2028	250.00	0	50.00	300.00	3,572.96	68.64	29.19
Q4 2028	250.00	0	50.00	300.00	3,770.97	68.12	33.87
Q1 2029	200.00	0	60.00	260.00	3,924.85	67.60	38.52
Q2 2029	200.00	0	60.00	260.00	4,074.82	67.09	42.94
Q3 2029	200.00	0	60.00	260.00	4,221.06	66.58	47.17
Q4 2029	200.00	0	60.00	260.00	4,363.66	66.08	51.32
Q1 2030	50.00	0	70.00	120.00	4,362.86	65.57	55.23
Q2 2030	50.00	0	70.00	120.00	4,359.46	65.08	58.32
Q3 2030	50.00	0	70.00	120.00	4,354.13	64.58	60.75
Q4 2030	50.00	0	70.00	120.00	4,347.14	64.09	62.90

Selected probability-weighted operating forecast; USD millions. Saved financial values copied directly.

10. Debt, lease gross cash and named residual obligation

The reported current and long-term debt aggregate is 153.73, including loans and lease obligations. The current reconstruction conserves that aggregate through bank 92.57, ordinary lease 13.70, finance lease 30.83 and the named unallocated obligation 16.62. The detailed September instrument/FX allocation remains a source gap.

Ordinary lease cash follows 13 selected remaining quarters, with 14.15 gross cash and 1.95% annual discount rate. Full straight-line book expense is 1.09 per quarter. The corresponding liability and ROU asset run down under the same selected schedule. The liability PV and gross contractual cash remain separately presented.

The legacy finance lease uses the selected Q4 gross 3.20 proxy, the cited annual payment calendar and 5.15 distributed from Q1 2031 through Q1 2032 at 2%. Interest is included within each gross cash payment; principal enters financing cash. Existing leased assets remain within opening PPE. The unallocated obligation has its own 16-payment 2% annuity, with immediate, bullet and higher-rate diagnostics.

Ordinary Schedule: full 22-quarter ledger

Quarter	ordinary liability open	ordinary interest	ordinary gross cash	ordinary principal	ordinary liability close	ordinary ROU close
Q4 2026	13.70	0.0668	0.8325	0.7657	12.94	12.68
Q1 2027	12.94	0.0631	1.25	1.19	11.74	11.65
Q2 2027	11.74	0.0573	1.25	1.20	10.55	10.62
Q3 2027	10.55	0.0514	1.25	1.20	9.35	9.59
Q4 2027	9.35	0.0456	1.25	1.21	8.14	8.54
Q1 2028	8.14	0.0397	1.25	1.21	6.93	7.50
Q2 2028	6.93	0.0338	1.25	1.22	5.71	6.44
Q3 2028	5.71	0.0278	1.25	1.22	4.48	5.38
Q4 2028	4.48	0.0219	1.25	1.23	3.25	4.31
Q1 2029	3.25	0.0159	0.8233	0.8074	2.45	3.24
Q2 2029	2.45	0.0119	0.8233	0.8113	1.63	2.16
Q3 2029	1.63	0.0080	0.8233	0.8153	0.8193	1.08
Q4 2029	0.8193	0.0040	0.8233	0.8193	0.0000	0.0000
Q1 2030	0.0000	0.0000	0	-0.0000	0.0000	0.0000
Q2 2030	0.0000	0.0000	0	-0.0000	0.0000	0.0000
Q3 2030	0.0000	0.0000	0	-0.0000	0.0000	0.0000
Q4 2030	0.0000	0.0000	0	-0.0000	0.0000	0.0000
Q1 2031	0.0000	0.0000	0	-0.0000	0.0000	0.0000
Q2 2031	0.0000	0.0000	0	-0.0000	0.0000	0.0000
Q3 2031	0.0000	0.0000	0	-0.0000	0.0000	0.0000
Q4 2031	0.0000	0.0000	0	-0.0000	0.0000	0.0000
Q1 2032	0.0000	0.0000	0	-0.0000	0.0000	0.0000

USD millions. Gross cash, interest, principal and closing stock are separately retained; later quarters contain selected funding runoff.

Finance Schedule: full 22-quarter ledger

Quarter	finance open	finance interest	finance gross cash	finance principal cash	finance close
Q4 2026	30.83	0.1542	3.20	3.05	27.79
Q1 2027	27.79	0.1389	2.06	1.92	25.87
Q2 2027	25.87	0.1293	2.06	1.93	23.93
Q3 2027	23.93	0.1197	2.06	1.94	21.99
Q4 2027	21.99	0.1100	2.06	1.95	20.04
Q1 2028	20.04	0.1002	1.53	1.43	18.61
Q2 2028	18.61	0.0931	1.53	1.43	17.18
Q3 2028	17.18	0.0859	1.53	1.44	15.74
Q4 2028	15.74	0.0787	1.53	1.45	14.29
Q1 2029	14.29	0.0714	1.37	1.30	12.98
Q2 2029	12.98	0.0649	1.37	1.31	11.68
Q3 2029	11.68	0.0584	1.37	1.32	10.36
Q4 2029	10.36	0.0518	1.37	1.32	9.04
Q1 2030	9.04	0.0452	1.03	0.9843	8.05
Q2 2030	8.05	0.0403	1.03	0.9892	7.06
Q3 2030	7.06	0.0353	1.03	0.9942	6.07
Q4 2030	6.07	0.0304	1.03	0.9991	5.07
Q1 2031	5.07	0.0254	1.03	1.00	4.07
Q2 2031	4.07	0.0203	1.03	1.01	3.06
Q3 2031	3.06	0.0153	1.03	1.01	2.04
Q4 2031	2.04	0.0102	1.03	1.02	1.02
Q1 2032	1.02	0.0051	1.03	1.02	0.0000

USD millions. Gross cash, interest, principal and closing stock are separately retained; later quarters contain selected funding runoff.

Residual Schedule: full 22-quarter ledger

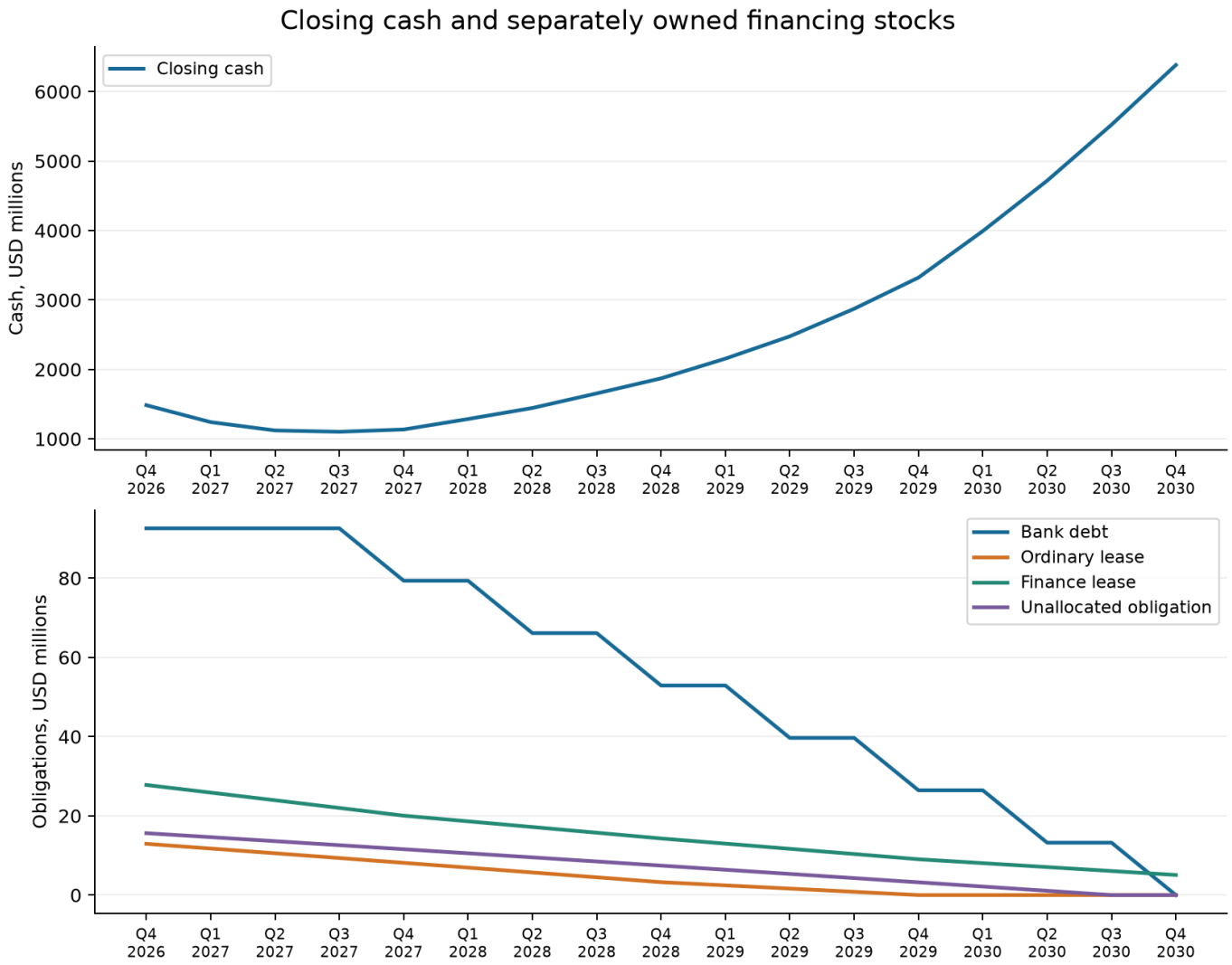
Quarter	unallocated open	unallocated interest	unallocated gross cash	unallocated principal cash	unallocated close
Q4 2026	16.62	0.0831	1.08	1.00	15.62
Q1 2027	15.62	0.0781	1.08	1.01	14.62
Q2 2027	14.62	0.0731	1.08	1.01	13.61
Q3 2027	13.61	0.0680	1.08	1.02	12.59
Q4 2027	12.59	0.0630	1.08	1.02	11.57
Q1 2028	11.57	0.0579	1.08	1.03	10.54
Q2 2028	10.54	0.0527	1.08	1.03	9.51
Q3 2028	9.51	0.0476	1.08	1.04	8.48
Q4 2028	8.48	0.0424	1.08	1.04	7.44
Q1 2029	7.44	0.0372	1.08	1.05	6.39
Q2 2029	6.39	0.0319	1.08	1.05	5.34
Q3 2029	5.34	0.0267	1.08	1.06	4.28
Q4 2029	4.28	0.0214	1.08	1.06	3.22
Q1 2030	3.22	0.0161	1.08	1.07	2.15
Q2 2030	2.15	0.0108	1.08	1.07	1.08
Q3 2030	1.08	0.0054	1.08	1.08	-0.0000
Q4 2030	-0.0000	-0.0000	0	0.0000	-0.0000
Q1 2031	-0.0000	-0.0000	0	0.0000	-0.0000
Q2 2031	-0.0000	-0.0000	0	0.0000	-0.0000
Q3 2031	-0.0000	-0.0000	0	0.0000	-0.0000
Q4 2031	-0.0000	-0.0000	0	0.0000	-0.0000
Q1 2032	-0.0000	-0.0000	0	0.0000	-0.0000

USD millions. Gross cash, interest, principal and closing stock are separately retained; later quarters contain selected funding runoff.

Separate bank, lease and unallocated obligations

Quarter	bank_debt	ordinary_lease_liability	finance_lease_liability	unallocated_obligation	other_LT	required_liquidity	available_cash_after_reserve
Q4 2026	92.57	12.94	27.79	15.62	35.84	335.84	1,149.24
Q1 2027	92.57	11.74	25.87	14.62	35.84	335.84	905.33
Q2 2027	92.57	10.55	23.93	13.61	35.84	335.84	785.52
Q3 2027	92.57	9.35	21.99	12.59	35.84	335.84	766.48
Q4 2027	79.34	8.14	20.04	11.57	35.84	335.84	799.15
Q1 2028	79.34	6.93	18.61	10.54	35.84	335.84	949.90
Q2 2028	66.12	5.71	17.18	9.51	35.84	335.84	1,108.86
Q3 2028	66.12	4.48	15.74	8.48	35.84	335.84	1,318.99
Q4 2028	52.90	3.25	14.29	7.44	35.84	335.84	1,535.59
Q1 2029	52.90	2.45	12.98	6.39	35.84	335.84	1,819.61
Q2 2029	39.67	1.63	11.68	5.34	35.84	335.84	2,140.28
Q3 2029	39.67	0.8193	10.36	4.28	35.84	335.84	2,537.30
Q4 2029	26.45	0.0000	9.04	3.22	35.84	335.84	2,986.09
Q1 2030	26.45	0.0000	8.05	2.15	35.84	335.84	3,656.18
Q2 2030	13.22	0.0000	7.06	1.08	35.84	335.84	4,381.66
Q3 2030	13.22	0.0000	6.07	-0.0000	35.84	335.84	5,186.56
Q4 2030	0	0.0000	5.07	-0.0000	35.84	335.84	6,046.52

Selected probability-weighted operating forecast; USD millions. Saved financial values copied directly.



Cash and each financing stock are copied from their saved financial rows. Every obligation keeps its own finite cash ledger.

11. Cash, working capital and every source liability

Reported cash 250.75 and short-term deposits 1,222.12 anchor opening liquidity of 1,472.87. AR, inventory, AP, ordinary accruals and operating prepayments retain the selected source ratios and their once-only cash changes. Supplier cash follows its owned cash-content proxy; noncash recognition changes receive the selected exclusions.

The opening 340.98 customer advance/deferred-revenue pool is already included in liquidity and is consumed through delivery credits. No second receipt is assumed. The 35.84 other-long-term liability remains a named stock in the central path, with a matching reserve and a separate settlement stress.

The retained 25 perimeter investing receipt occurs in Q2 2027 as a dated low-confidence transaction proxy. Detailed disposed-asset carrying value and equity ownership are unavailable. The model keeps the named cash receipt and owned rolls; full forecast balance-sheet/equity closure remains qualified. The selected law raises no new credit/equity and assumes no shareholder distributions.

CFO, investing and complete liquidity bridge

Quarter	CFO	direct_CFO	capex	FCF	perimeter_investing_receipt	debt_principal_cash	cash_end
Q4 2026	181.25	181.25	165.00	16.25	0	4.05	1,485.08
Q1 2027	169.02	169.02	410.00	-240.98	0	2.93	1,241.18
Q2 2027	220.13	220.13	362.00	-141.87	25.00	2.94	1,121.36
Q3 2027	273.92	273.92	290.00	-16.08	0	2.96	1,102.33
Q4 2027	338.86	338.86	290.00	48.86	0	16.20	1,134.99
Q1 2028	453.21	453.21	300.00	153.21	0	2.45	1,285.74
Q2 2028	474.64	474.64	300.00	174.64	0	15.69	1,444.70
Q3 2028	512.61	512.61	300.00	212.61	0	2.48	1,654.83
Q4 2028	532.31	532.31	300.00	232.31	0	15.71	1,871.43
Q1 2029	546.37	546.37	260.00	286.37	0	2.35	2,155.45
Q2 2029	596.25	596.25	260.00	336.25	0	15.58	2,476.12
Q3 2029	659.40	659.40	260.00	399.40	0	2.37	2,873.14
Q4 2029	724.40	724.40	260.00	464.40	0	15.61	3,321.94
Q1 2030	792.14	792.14	120.00	672.14	0	2.05	3,992.02
Q2 2030	860.76	860.76	120.00	740.76	0	15.29	4,717.50
Q3 2030	926.97	926.97	120.00	806.97	0	2.07	5,522.40
Q4 2030	994.18	994.18	120.00	874.18	0	14.22	6,382.36

Selected probability-weighted operating forecast; USD millions. Saved financial values copied directly.

Actual cash-cost payers and delivery credits

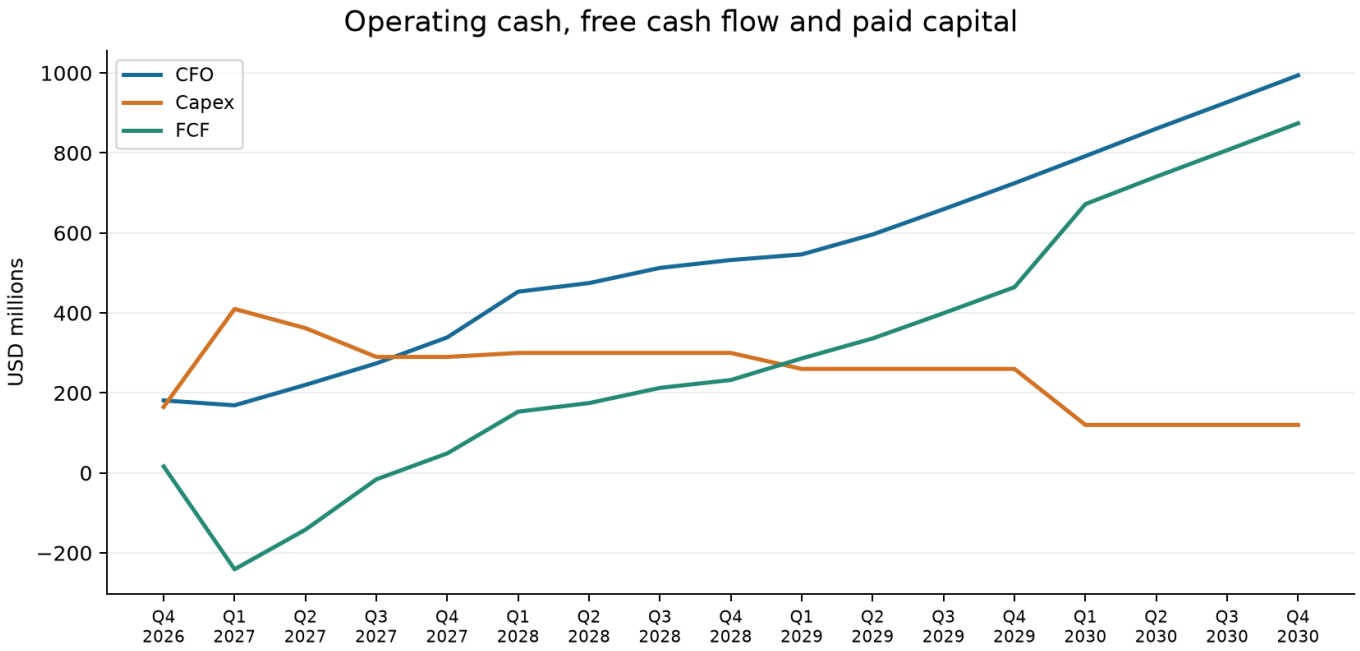
Quarter	cash_COGS_payer	cash_opex	customer_credit	NWC_use	interest_cash	incremental_SiPho_support
Q4 2026	297.76	40.79	20.00	42.56	0.7001	0.4200
Q1 2027	332.99	42.80	70.00	49.59	0.6799	1.28
Q2 2027	369.27	45.12	70.00	61.49	0.6653	2.55
Q3 2027	419.56	47.62	70.00	71.38	0.6505	3.77
Q4 2027	467.10	50.07	70.00	67.51	0.6027	4.93
Q1 2028	485.25	51.64	20.00	22.34	0.5548	5.23
Q2 2028	500.59	53.19	20.00	19.65	0.5094	5.47
Q3 2028	515.41	54.75	0.9820	18.88	0.4641	5.70
Q4 2028	529.25	56.33	0	17.45	0.4186	5.90
Q1 2029	567.44	58.65	0	52.65	0.3731	6.86
Q2 2029	612.84	61.28	0	65.56	0.3283	8.04
Q3 2029	658.94	63.97	0	66.75	0.2834	9.25
Q4 2029	705.69	66.72	0	67.95	0.2385	10.48
Q1 2030	752.18	69.52	0	67.52	0.1935	11.72
Q2 2030	797.18	72.31	0	64.75	0.1502	12.92
Q3 2030	841.44	75.14	0	64.87	0.1068	14.11
Q4 2030	884.88	77.98	0	63.87	0.0634	15.27

Selected probability-weighted operating forecast; USD millions. Saved financial values copied directly.

Working-capital asset and liability stocks

Quarter	AR	inventory	AP	operating_prepaid	operating_accrual	customer_advance
Q4 2026	258.68	286.66	210.94	54.22	86.76	320.98
Q1 2027	297.92	314.02	231.07	62.45	91.85	250.98
Q2 2027	347.61	343.62	252.85	72.86	98.29	180.98
Q3 2027	403.23	384.81	283.16	84.52	105.08	110.98
Q4 2027	455.96	424.04	312.03	95.57	111.70	40.98
Q1 2028	473.83	441.03	324.53	99.32	115.47	20.98
Q2 2028	489.87	455.76	335.37	102.68	119.11	0.9820
Q3 2028	505.39	470.03	345.87	105.93	122.76	0.0000
Q4 2028	519.85	483.58	355.85	108.96	126.39	0.0000
Q1 2029	561.43	515.58	379.39	117.68	132.49	0.0000
Q2 2029	613.24	552.89	406.84	128.54	139.45	0.0000
Q3 2029	666.06	590.59	434.58	139.61	146.55	0.0000
Q4 2029	719.91	628.73	462.65	150.90	153.81	0.0000
Q1 2030	773.76	665.44	489.66	162.19	161.13	0.0000
Q2 2030	826.32	697.19	513.03	173.20	168.34	0.0000
Q3 2030	878.23	732.22	538.80	184.08	175.51	0.0000
Q4 2030	929.50	766.42	563.97	194.83	182.68	0.0000

Selected probability-weighted operating forecast; USD millions. Saved financial values copied directly.



Financial cash flows are solved before weighting, with already-paid prepayments excluded from repeat payments.

12.1 Conditional outcome: Reference, payer reclassification

The operating table shows the full conditional outcome before weighting. The five later quarters retain selected debt/lease and service obligations after the operating horizon. The separate settlement stress pays the modeled operating liabilities with no assumed recovery of AR, inventory or PPE.

Operating outcome: reference reclassification

Quarter	Revenue	GP	OP	Net income	CFO	Capex	Closing cash
Q4 2026	600	222.17	169.29	152.69	182.28	165	1,486.11
Q1 2027	697.00	281.04	224.93	200.08	169.79	410	1,242.96
Q2 2027	828.00	366.16	305.71	267.21	223.42	362	1,126.44
Q3 2027	956.00	438.79	374.16	324.67	286.07	290	1,119.55
Q4 2027	1,088.00	515.23	446.32	386.00	350.28	290	1,163.64
Q1 2028	1,130.00	536.26	465.07	402.25	471.43	300	1,332.61
Q2 2028	1,162.00	550.93	477.65	414.06	493.25	300	1,510.17
Q3 2028	1,194.00	565.58	490.16	425.87	528.61	300	1,736.31
Q4 2028	1,226.00	580.27	502.68	437.99	546.28	300	1,966.87
Q1 2029	1,328.00	639.60	558.17	486.66	561.04	260	2,265.56
Q2 2029	1,455.00	715.22	629.38	549.14	613.82	260	2,603.80
Q3 2029	1,582.00	791.35	701.09	612.28	681.01	260	3,022.43
Q4 2029	1,709.00	867.70	772.97	676.09	748.83	260	3,495.65
Q1 2030	1,836.00	945.67	846.42	741.58	818.06	120	4,191.66
Q2 2030	1,963.00	1,029.48	925.73	813.46	888.24	120	4,944.61
Q3 2030	2,090.00	1,108.86	1,000.61	881.95	957.58	120	5,780.12
Q4 2030	2,217.00	1,188.46	1,075.67	951.11	1,028.62	120	6,674.52

Complete conditional outcome before probability weighting. USD millions.

Selected funding tail: reference reclassification

Quarter	Closing cash	Cash interest	Principal	Liability settlement	Required liquidity	Unfunded gap
Q1 2031	6,673.49	0.0254	1.00	0	335.84	0
Q2 2031	6,672.46	0.0203	1.01	0	335.84	0
Q3 2031	6,671.43	0.0153	1.01	0	335.84	0
Q4 2031	6,670.40	0.0102	1.02	0	335.84	0
Q1 2032	6,669.37	0.0051	1.02	0	335.84	0

Q1 2031-Q1 2032 closed operating horizon: no new sales, capex, financing, distributions, asset-sale proceeds, cash yield or tax refunds.

Liability settlement stress: reference reclassification

Quarter	Closing cash	Cash interest	Principal	Liability settlement	Required liquidity	Unfunded gap
Q1 2031	5,878.69	0.0254	1.00	794.79	300	0
Q2 2031	5,877.66	0.0203	1.01	0	300	0
Q3 2031	5,876.63	0.0153	1.01	0	300	0
Q4 2031	5,875.60	0.0102	1.02	0	300	0
Q1 2032	5,874.58	0.0051	1.02	0	300	0

Q1 2031-Q1 2032 closed operating horizon: no new sales, capex, financing, distributions, asset-sale proceeds, cash yield or tax refunds.

12.2 Conditional outcome: Reference, incremental book cost

The operating table shows the full conditional outcome before weighting. The five later quarters retain selected debt/lease and service obligations after the operating horizon. The separate settlement stress pays the modeled operating liabilities with no assumed recovery of AR, inventory or PPE.

Operating outcome: reference incremental

Quarter	Revenue	GP	OP	Net income	CFO	Capex	Closing cash
Q4 2026	600	219.74	166.85	150.62	180.21	165	1,484.04
Q1 2027	697.00	278.61	222.49	198.00	167.71	410	1,238.82
Q2 2027	828.00	363.73	303.28	265.12	221.33	362	1,120.20
Q3 2027	956.00	436.36	371.73	322.56	283.96	290	1,111.21
Q4 2027	1,088.00	512.80	443.89	383.88	348.16	290	1,153.17
Q1 2028	1,130.00	533.82	462.63	400.12	469.29	300	1,320.01
Q2 2028	1,162.00	548.50	475.22	411.92	491.11	300	1,495.43
Q3 2028	1,194.00	563.14	487.73	423.71	526.45	300	1,719.40
Q4 2028	1,226.00	577.84	500.25	435.82	544.10	300	1,947.79
Q1 2029	1,328.00	637.17	555.74	484.48	558.85	260	2,244.29
Q2 2029	1,455.00	712.79	626.95	546.94	611.62	260	2,580.32
Q3 2029	1,582.00	788.92	698.65	610.06	678.79	260	2,996.74
Q4 2029	1,709.00	865.26	770.53	673.86	746.60	260	3,467.73
Q1 2030	1,836.00	943.24	843.99	739.34	815.81	120	4,161.49
Q2 2030	1,963.00	1,027.05	923.30	811.20	885.98	120	4,912.19
Q3 2030	2,090.00	1,106.43	998.18	879.68	955.31	120	5,745.42
Q4 2030	2,217.00	1,186.03	1,073.23	948.82	1,026.33	120	6,637.53

Complete conditional outcome before probability weighting. USD millions.

Selected funding tail: reference incremental

Quarter	Closing cash	Cash interest	Principal	Liability settlement	Required liquidity	Unfunded gap
Q1 2031	6,636.50	0.0254	1.00	0	335.84	0
Q2 2031	6,635.47	0.0203	1.01	0	335.84	0
Q3 2031	6,634.44	0.0153	1.01	0	335.84	0
Q4 2031	6,633.41	0.0102	1.02	0	335.84	0
Q1 2032	6,632.38	0.0051	1.02	0	335.84	0

Q1 2031-Q1 2032 closed operating horizon: no new sales, capex, financing, distributions, asset-sale proceeds, cash yield or tax refunds.

Liability settlement stress: reference incremental

Quarter	Closing cash	Cash interest	Principal	Liability settlement	Required liquidity	Unfunded gap
Q1 2031	5,841.71	0.0254	1.00	794.79	300	0
Q2 2031	5,840.68	0.0203	1.01	0	300	0
Q3 2031	5,839.65	0.0153	1.01	0	300	0
Q4 2031	5,838.62	0.0102	1.02	0	300	0
Q1 2032	5,837.59	0.0051	1.02	0	300	0

Q1 2031-Q1 2032 closed operating horizon: no new sales, capex, financing, distributions, asset-sale proceeds, cash yield or tax refunds.

12.3 Conditional outcome: Accelerated, payer reclassification

The operating table shows the full conditional outcome before weighting. The five later quarters retain selected debt/lease and service obligations after the operating horizon. The separate settlement stress pays the modeled operating liabilities with no assumed recovery of AR, inventory or PPE.

Operating outcome: accelerated reclassification

Quarter	Revenue	GP	OP	Net income	CFO	Capex	Closing cash
Q4 2026	600.00	220.94	167.99	151.59	182.33	165	1,486.16
Q1 2027	718.88	289.49	232.71	206.70	168.04	410	1,241.27
Q2 2027	855.88	376.41	315.12	275.20	233.78	362	1,135.10
Q3 2027	1,034.58	481.49	414.90	359.35	297.58	290	1,139.72
Q4 2027	1,162.18	555.26	484.57	418.63	389.83	290	1,223.36
Q1 2028	1,198.38	572.24	499.41	431.82	508.75	300	1,429.65
Q2 2028	1,224.58	582.84	508.07	440.54	527.55	300	1,641.52
Q3 2028	1,250.78	593.48	516.74	449.30	559.87	300	1,898.90
Q4 2028	1,276.98	604.15	525.39	458.33	574.44	300	2,157.63
Q1 2029	1,463.18	717.18	632.64	551.18	583.09	260	2,478.37
Q2 2029	1,624.88	814.94	725.22	631.96	681.37	260	2,884.15
Q3 2029	1,786.58	912.97	818.05	713.49	766.91	260	3,388.69
Q4 2029	1,948.28	1,011.28	911.10	795.84	853.30	260	3,966.38
Q1 2030	2,109.98	1,112.62	1,007.20	881.24	941.52	120	4,785.85
Q2 2030	2,251.68	1,206.72	1,096.53	962.43	1,030.97	120	5,681.53
Q3 2030	2,383.38	1,288.95	1,174.17	1,034.18	1,109.00	120	6,668.46
Q4 2030	2,505.08	1,364.96	1,245.79	1,101.38	1,183.63	120	7,717.87

Complete conditional outcome before probability weighting. USD millions.

Selected funding tail: accelerated reclassification

Quarter	Closing cash	Cash interest	Principal	Liability settlement	Required liquidity	Unfunded gap
Q1 2031	7,716.84	0.0254	1.00	0	335.84	0
Q2 2031	7,715.81	0.0203	1.01	0	335.84	0
Q3 2031	7,714.78	0.0153	1.01	0	335.84	0
Q4 2031	7,713.75	0.0102	1.02	0	335.84	0
Q1 2032	7,712.72	0.0051	1.02	0	335.84	0

Q1 2031-Q1 2032 closed operating horizon: no new sales, capex, financing, distributions, asset-sale proceeds, cash yield or tax refunds.

Liability settlement stress: accelerated reclassification

Quarter	Closing cash	Cash interest	Principal	Liability settlement	Required liquidity	Unfunded gap
Q1 2031	6,849.33	0.0254	1.00	867.51	300	0
Q2 2031	6,848.30	0.0203	1.01	0	300	0
Q3 2031	6,847.27	0.0153	1.01	0	300	0
Q4 2031	6,846.24	0.0102	1.02	0	300	0
Q1 2032	6,845.21	0.0051	1.02	0	300	0

Q1 2031-Q1 2032 closed operating horizon: no new sales, capex, financing, distributions, asset-sale proceeds, cash yield or tax refunds.

12.4 Conditional outcome: Accelerated, incremental book cost

The operating table shows the full conditional outcome before weighting. The five later quarters retain selected debt/lease and service obligations after the operating horizon. The separate settlement stress pays the modeled operating liabilities with no assumed recovery of AR, inventory or PPE.

Operating outcome: accelerated incremental

Quarter	Revenue	GP	OP	Net income	CFO	Capex	Closing cash
Q4 2026	600.00	218.51	165.56	149.52	180.27	165	1,484.09
Q1 2027	718.88	287.06	230.28	204.62	165.96	410	1,237.12
Q2 2027	855.88	373.98	312.68	273.10	231.68	362	1,128.86
Q3 2027	1,034.58	479.05	412.47	357.24	295.47	290	1,131.38
Q4 2027	1,162.18	552.83	482.13	416.51	387.71	290	1,212.89
Q1 2028	1,198.38	569.80	496.98	429.69	506.61	300	1,417.05
Q2 2028	1,224.58	580.41	505.64	438.40	525.41	300	1,626.77
Q3 2028	1,250.78	591.05	514.30	447.13	557.71	300	1,882.00
Q4 2028	1,276.98	601.72	522.96	456.16	572.26	300	2,138.55
Q1 2029	1,463.18	714.75	630.21	548.99	580.90	260	2,457.10
Q2 2029	1,624.88	812.51	722.79	629.76	679.17	260	2,860.68
Q3 2029	1,786.58	910.54	815.62	711.27	764.70	260	3,363.00
Q4 2029	1,948.28	1,008.85	908.67	793.61	851.07	260	3,938.46
Q1 2030	2,109.98	1,110.19	1,004.76	878.99	939.28	120	4,755.69
Q2 2030	2,251.68	1,204.29	1,094.09	960.17	1,028.71	120	5,649.11
Q3 2030	2,383.38	1,286.51	1,171.74	1,031.90	1,106.72	120	6,633.76
Q4 2030	2,505.08	1,362.53	1,243.36	1,099.09	1,181.34	120	7,680.88

Complete conditional outcome before probability weighting. USD millions.

Selected funding tail: accelerated incremental

Quarter	Closing cash	Cash interest	Principal	Liability settlement	Required liquidity	Unfunded gap
Q1 2031	7,679.85	0.0254	1.00	0	335.84	0
Q2 2031	7,678.82	0.0203	1.01	0	335.84	0
Q3 2031	7,677.79	0.0153	1.01	0	335.84	0
Q4 2031	7,676.76	0.0102	1.02	0	335.84	0
Q1 2032	7,675.73	0.0051	1.02	0	335.84	0

Q1 2031-Q1 2032 closed operating horizon: no new sales, capex, financing, distributions, asset-sale proceeds, cash yield or tax refunds.

Liability settlement stress: accelerated incremental

Quarter	Closing cash	Cash interest	Principal	Liability settlement	Required liquidity	Unfunded gap
Q1 2031	6,812.34	0.0254	1.00	867.51	300	0
Q2 2031	6,811.31	0.0203	1.01	0	300	0
Q3 2031	6,810.28	0.0153	1.01	0	300	0
Q4 2031	6,809.25	0.0102	1.02	0	300	0
Q1 2032	6,808.22	0.0051	1.02	0	300	0

Q1 2031-Q1 2032 closed operating horizon: no new sales, capex, financing, distributions, asset-sale proceeds, cash yield or tax refunds.

12.5 Conditional outcome: Delayed competition, payer reclassification

The operating table shows the full conditional outcome before weighting. The five later quarters retain selected debt/lease and service obligations after the operating horizon. The separate settlement stress pays the modeled operating liabilities with no assumed recovery of AR, inventory or PPE.

Operating outcome: delayed reclassification

Quarter	Revenue	GP	OP	Net income	CFO	Capex	Closing cash
Q4 2026	600.00	222.17	169.29	152.69	182.28	165	1,486.11
Q1 2027	659.92	259.49	204.23	182.49	171.94	410	1,245.12
Q2 2027	724.32	307.94	250.10	219.95	208.23	362	1,113.40
Q3 2027	826.02	369.43	308.22	268.54	234.79	290	1,055.24
Q4 2027	921.82	423.95	359.32	311.64	285.12	290	1,034.16
Q1 2028	965.12	439.51	372.47	322.72	380.41	300	1,112.12
Q2 2028	1,021.42	469.05	399.30	346.07	402.53	300	1,198.96
Q3 2028	1,072.84	496.18	423.83	367.50	450.17	300	1,346.65
Q4 2028	1,114.52	517.21	442.44	384.31	477.87	300	1,508.81
Q1 2029	1,143.82	524.04	447.11	389.35	493.52	260	1,739.99
Q2 2029	1,222.62	567.75	487.50	425.19	507.41	260	1,971.81
Q3 2029	1,310.92	617.49	533.66	465.94	547.47	260	2,256.91
Q4 2029	1,408.72	673.68	586.03	512.31	592.90	260	2,574.19
Q1 2030	1,506.52	731.76	640.25	560.46	644.80	120	3,096.94
Q2 2030	1,604.32	794.28	698.87	613.65	697.21	120	3,658.86
Q3 2030	1,702.12	851.30	751.94	662.38	748.85	120	4,285.65
Q4 2030	1,799.92	909.84	806.53	712.82	802.44	120	4,953.86

Complete conditional outcome before probability weighting. USD millions.

Selected funding tail: delayed reclassification

Quarter	Closing cash	Cash interest	Principal	Liability settlement	Required liquidity	Unfunded gap
Q1 2031	4,952.83	0.0254	1.00	0	335.84	0
Q2 2031	4,951.80	0.0203	1.01	0	335.84	0
Q3 2031	4,950.77	0.0153	1.01	0	335.84	0
Q4 2031	4,949.74	0.0102	1.02	0	335.84	0
Q1 2032	4,948.71	0.0051	1.02	0	335.84	0

Q1 2031-Q1 2032 closed operating horizon: no new sales, capex, financing, distributions, asset-sale proceeds, cash yield or tax refunds.

Liability settlement stress: delayed reclassification

Quarter	Closing cash	Cash interest	Principal	Liability settlement	Required liquidity	Unfunded gap
Q1 2031	4,250.87	0.0254	1.00	701.97	300	0
Q2 2031	4,249.84	0.0203	1.01	0	300	0
Q3 2031	4,248.81	0.0153	1.01	0	300	0
Q4 2031	4,247.78	0.0102	1.02	0	300	0
Q1 2032	4,246.75	0.0051	1.02	0	300	0

Q1 2031-Q1 2032 closed operating horizon: no new sales, capex, financing, distributions, asset-sale proceeds, cash yield or tax refunds.

12.6 Conditional outcome: Delayed competition, incremental book cost

The operating table shows the full conditional outcome before weighting. The five later quarters retain selected debt/lease and service obligations after the operating horizon. The separate settlement stress pays the modeled operating liabilities with no assumed recovery of AR, inventory or PPE.

Operating outcome: delayed incremental

Quarter	Revenue	GP	OP	Net income	CFO	Capex	Closing cash
Q4 2026	600.00	219.74	166.85	150.62	180.21	165	1,484.04
Q1 2027	659.92	257.05	201.80	180.41	169.86	410	1,240.97
Q2 2027	724.32	305.51	247.66	217.86	206.13	362	1,107.16
Q3 2027	826.02	366.99	305.79	266.43	232.68	290	1,046.89
Q4 2027	921.82	421.52	356.89	309.52	283.00	290	1,023.69
Q1 2028	965.12	437.07	370.03	320.58	378.28	300	1,099.52
Q2 2028	1,021.42	466.62	396.87	343.92	400.39	300	1,184.21
Q3 2028	1,072.84	493.74	421.40	365.34	448.01	300	1,329.75
Q4 2028	1,114.52	514.77	440.01	382.13	475.70	300	1,489.73
Q1 2029	1,143.82	521.61	444.68	387.16	491.33	260	1,718.72
Q2 2029	1,222.62	565.32	485.07	422.99	505.21	260	1,948.34
Q3 2029	1,310.92	615.06	531.23	463.73	545.25	260	2,231.22
Q4 2029	1,408.72	671.25	583.60	510.08	590.66	260	2,546.27
Q1 2030	1,506.52	729.32	637.81	558.21	642.55	120	3,066.77
Q2 2030	1,604.32	791.85	696.44	611.40	694.95	120	3,626.44
Q3 2030	1,702.12	848.87	749.51	660.11	746.58	120	4,250.95
Q4 2030	1,799.92	907.41	804.10	710.53	800.15	120	4,916.88

Complete conditional outcome before probability weighting. USD millions.

Selected funding tail: delayed incremental

Quarter	Closing cash	Cash interest	Principal	Liability settlement	Required liquidity	Unfunded gap
Q1 2031	4,915.85	0.0254	1.00	0	335.84	0
Q2 2031	4,914.82	0.0203	1.01	0	335.84	0
Q3 2031	4,913.79	0.0153	1.01	0	335.84	0
Q4 2031	4,912.76	0.0102	1.02	0	335.84	0
Q1 2032	4,911.73	0.0051	1.02	0	335.84	0

Q1 2031-Q1 2032 closed operating horizon: no new sales, capex, financing, distributions, asset-sale proceeds, cash yield or tax refunds.

Liability settlement stress: delayed incremental

Quarter	Closing cash	Cash interest	Principal	Liability settlement	Required liquidity	Unfunded gap
Q1 2031	4,213.88	0.0254	1.00	701.97	300	0
Q2 2031	4,212.85	0.0203	1.01	0	300	0
Q3 2031	4,211.82	0.0153	1.01	0	300	0
Q4 2031	4,210.79	0.0102	1.02	0	300	0
Q1 2032	4,209.76	0.0051	1.02	0	300	0

Q1 2031-Q1 2032 closed operating horizon: no new sales, capex, financing, distributions, asset-sale proceeds, cash yield or tax refunds.

13. Finite funding scope and residual assets

The operating forecast covers Q4 2026 through Q4 2030. The five-quarter funding tail extends to Q1 2032 with zero new operating sales, capex, financing, distributions, cash yield or tax refunds. It closes selected debt/lease/prepaid obligations while preserving disclosed nonliquid book stocks.

The central liquidity requirement is 300 plus the 35.84 unsettled other-long-term liability. The separate solvency stress settles AP, accruals, customer liabilities and other-long-term obligations according to the selected schedule. All six central states and 34 diagnostics passed their saved operating, tail and settlement funding checks; future source allocation and execution uncertainty remains explicit.

Terminal operating book residuals

State	Cash	PPE	AR	Inventory	Operating prepaid	AP	Accrual
reference_reclassification	6,674.52	4,325.64	955.82	779.98	200.35	573.95	185.00
reference_incremental	6,637.53	4,325.64	955.82	779.98	200.35	573.95	185.00
accelerated_reclassification	7,717.87	4,260.20	1,080.02	864.60	226.38	636.21	195.46
accelerated_incremental	7,680.88	4,260.20	1,080.02	864.60	226.38	636.21	195.46
delayed_reclassification	4,953.86	4,450.88	776.00	674.98	162.65	496.68	169.44
delayed_incremental	4,916.88	4,450.88	776.00	674.98	162.65	496.68	169.44

USD millions at Q4 2030. Long-life assets remain disclosed book stocks; the funding tail includes no assumed recovery sale.

14. Valuation

The sanctioned method is 20x current-plus-next-three-quarter consolidated GAAP-style OP divided by the target-start economic diluted-share proxy. The numerator retains SBC, PPA and all finite depreciation. Shares progress from 114.863 million in Q4 2026 to 121.263 million in Q4 2030 under the original 0.4 million quarterly allowance.

The active Q4 2027 window contains OP of $429.10 million, $445.85 million, $461.41 million and $476.35 million. Its approved F4 total is $1,812.71 million; at 20x and 116.463 million starting shares, the ceiling is $311.29.

Fourteen complete valued windows are retained. Q2, Q3 and Q4 2030 remain true blanks because their forward windows are incomplete. The published Q3 2026 historical atom remains 113.64 with its original source row and information vintage.

Four-quarter OP components copied from all 14 valued windows

Start quarter	OP t	OP t+1	OP t+2	OP t+3	F4 OP
Q4 2026	167.88	219.70	292.00	362.57	1,042.16
Q1 2027	219.70	292.00	362.57	429.10	1,303.38
Q2 2027	292.00	362.57	429.10	445.85	1,529.52
Q3 2027	362.57	429.10	445.85	461.41	1,698.93
Q4 2027	429.10	445.85	461.41	476.35	1,812.71
Q1 2028	445.85	461.41	476.35	489.81	1,873.43
Q2 2028	461.41	476.35	489.81	540.36	1,967.93
Q3 2028	476.35	489.81	540.36	607.07	2,113.59
Q4 2028	489.81	540.36	607.07	675.56	2,312.80
Q1 2029	540.36	607.07	675.56	745.74	2,568.73
Q2 2029	607.07	675.56	745.74	817.78	2,846.15
Q3 2029	675.56	745.74	817.78	893.42	3,132.49
Q4 2029	745.74	817.78	893.42	963.26	3,420.20
Q1 2030	817.78	893.42	963.26	1,032.69	3,707.15

USD millions. All components and their saved total are copied from the approved pure valuation; the report performs no F4 calculation.

Exact sanctioned valuation inputs and ceilings

Quarter	F4 OP, USD M	Multiple	Start shares, M	Ceiling, USD/share
Q4 2026	1,042.156044	20	114.863	181.46070437
Q1 2027	1,303.375435	20	115.263	226.15677800
Q2 2027	1,529.523251	20	115.663	264.47926314
Q3 2027	1,698.930777	20	116.063	292.76010053
Q4 2027	1,812.706656	20	116.463	311.29314141
Q1 2028	1,873.425519	20	116.863	320.61910418
Q2 2028	1,967.931930	20	117.263	335.64413845
Q3 2028	2,113.593674	20	117.663	359.26224448
Q4 2028	2,312.802837	20	118.063	391.79130407
Q1 2029	2,568.725376	20	118.463	433.67555704
Q2 2029	2,846.147720	20	118.863	478.89548800
Q3 2029	3,132.492161	20	119.263	525.30829530
Q4 2029	3,420.196647	20	119.663	571.63812483
Q1 2030	3,707.145974	20	120.063	617.53345727

20x consolidated GAAP-style OP divided by the target-start economic diluted shares. Values come from the approved 14-window valuation.

Sanctioned starting-quarter economic diluted shares

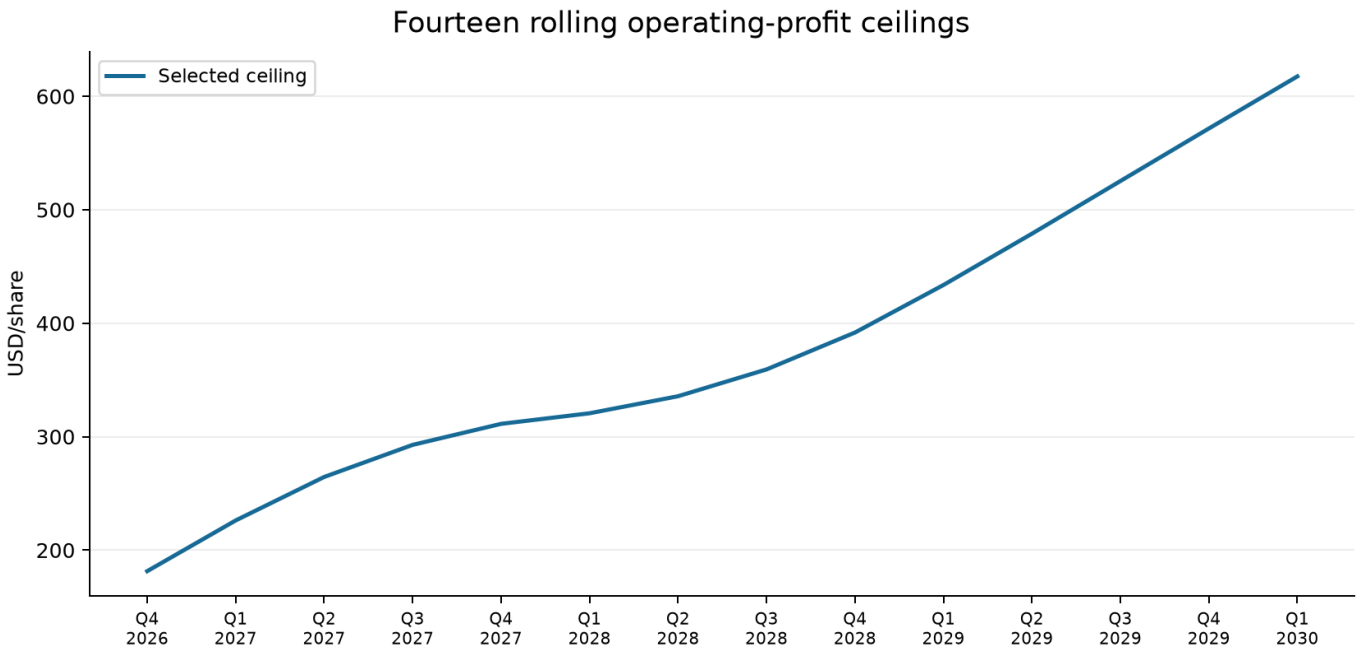
Quarter	Million shares
Q4 2026	114.86
Q1 2027	115.26
Q2 2027	115.66
Q3 2027	116.06
Q4 2027	116.46
Q1 2028	116.86
Q2 2028	117.26
Q3 2028	117.66
Q4 2028	118.06
Q1 2029	118.46
Q2 2029	118.86
Q3 2029	119.26
Q4 2029	119.66
Q1 2030	120.06
Q2 2030	120.46
Q3 2030	120.86
Q4 2030	121.26

Selected probability-weighted operating forecast; USD millions. Saved financial values copied directly.

Incomplete valuation windows remain blank

Quarter	Value meaning	Ceiling
Q2 2030	blank	
Q3 2030	blank	
Q4 2030	blank	

The final three operating quarters lack complete forward-four-quarter windows. Their saved output type is blank.



Approved current-plus-next-three-quarter OP valuation. The three unavailable tail outputs remain blank in the adjoining table.

15. Complete accounting and capital diagnostics

Thirty-four complete saved financial cases cover unallocated-debt timing/rates, Q4 finance gross cash, original prepaid balances and expiry, other-service lives, Newport attribution, cash-tax rates/deductions, ordinary ROU classification, other-long-term settlement and the two capital boundaries. Every displayed result comes from the audited saved case receipt.

The 2,500 Japan-reserve and 20% capex cases preserve 102 conditional capacity/nominal/accepted-core comparisons against the saved central model. Higher paid cost changes depreciation, cash and profit while the same tools retain their physical capacity. The ordinary ROU outside-envelope case tests the unavailable historical classification.

Cash-tax deduction factors are bounded accounting assumptions; they establish no legal tax entitlement. All diagnostics preserve the selected operating revenue paths, source dates and historical controls within their defined scope.

All 34 complete financial diagnostics

Diagnostic	Result	Operating gap	Tail gap	Settlement gap	Maximum identity error
unallocated_amortizing_4	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
unallocated_amortizing_6	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
unallocated_immediate_2	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
unallocated_immediate_4	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
unallocated_immediate_6	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
unallocated_bullet_2	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
unallocated_bullet_4	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
unallocated_bullet_6	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
Q4_finance_gross_0	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
Q4_finance_gross_6.459	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
original_77.682_expiry_index13	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
original_77.682_expiry_index14	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
original_77.682_expiry_index15	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
original_77.682_expiry_index16	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
original_83.682_expiry_index13	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
original_83.682_expiry_index14	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
original_83.682_expiry_index15	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
original_89.682_expiry_index13	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
original_89.682_expiry_index14	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
original_89.682_expiry_index15	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13

Diagnostic	Result	Operating gap	Tail gap	Settlement gap	Maximum identity error
original_89.682_expiry_index16	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
other_prepaid_life_12	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
other_prepaid_life_20	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
Newport_alpha_0	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
Newport_alpha_1	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
cash_tax_0_deduction_0	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
cash_tax_0_deduction_1	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
cash_tax_0.15_deduction_0	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
cash_tax_0.25_deduction_0	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
cash_tax_0.25_deduction_1	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
ordinary_ROU_outside_envelope	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
other_LT_early_settlement	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13
Japan_forward2500	FINANCIAL_ARITHMETIC_PASS	0	0	0	1.81899e-12
capex20pct	FINANCIAL_ARITHMETIC_PASS	0	0	0	9.09495e-13

Each saved complete case passed the independent financial audit. Zero gaps apply to the selected cases; actual source accounting and future execution uncertainty remain explicit.

16. Risks, breadcrumbs and revision triggers

Factory execution and funding: monitor equipment readiness, qualification, wafer run-through, accepted shipments and actual invoice timing. Compare the Q4 guidance and year-end starts with Q2 2027 financial conversion, Track 1 starts in Q3 2027 and the selected 2029 Track 2 schedule.

Competitive pricing and concentration: track captured foundry content, customer allocation, realized wafer prices and alternatives including competing photonic processes and laser architectures. The supplied unit-mix and yield ranges remain industry/expert context with incomplete vendor, cohort and payer denominators.

Geopolitics: regional security, trade restrictions and supply continuity can affect qualification, cost and market access. Litigation and termination recoveries contribute no selected recurring cash receipt. Four scored risk classes continue to determine the retained risk deduction.

Accounting triggers: obtain the current instrument/FX split, remaining lease maturities, original prepaid carrying value, new service attribution, ordinary ROU classification, other-long-term liability movements and disposed-asset accounts. Each missing fact has a named proxy or sensitivity and an owning cash/stock boundary.

Remaining company accounting-source gaps

Gap	Preserved scope
1	Sep2026 instrument/FX split and actual remaining lease maturities
2	Newport allocation and other-prepayment service-life attribution
3	Ordinary ROU historical noncash classification
4	35.843 other-LT composition and actual forward movements
5	25M perimeter investing receipt lacks source disposed-asset/equity allocation; no balancing stock is invented

The selected accounting scenarios bound these unavailable facts. Detailed source completeness and full forecast balance-sheet/equity closure remain qualified.

17. Sources, dated broker appendices and preserved history

The source hierarchy combines issuer releases, complete supported management/Q&A text, original slides, annual/H1 filings and attributed owner evidence. The complete original report and all source pictures remain available in the dated historical section. The nine-page optical note keeps its five exhibits and six company appendices in the retained source bundle.

The following broker appendix reproduces dated opinions and their stated valuation scopes. Its price context is October 14, 2026. TSEM’s current report follows the approved 20x OP/start-share method and its own 14 valued windows; each other company retains its saved review decision.

The linked workbook retains the genuine original valuation-control formulas and a complete frozen view of the published Q3 2026 forecast. The complete earlier model, original worksheet XML, historical formulas and their style and text dependencies remain recoverable in a separately linked, hash-verified source archive and snapshot register. Current financial calculations use the live source-control chain. The frozen forecast preserves its original values and information vintage as an immutable reference.

Source catalogue and scope

ID	Source/date	URL or retained source scope
T1	Tower Q3 release and complete financial tables; November2,2026	https://ir.towersemi.com/node/17171/pdf
T2	Full Q3 issuer transcript; event November2,cover November3,2026	https://ir.towersemi.com/static-files/9b81b24b-caa5-4a70-8545-40c79b88aca8
T3	Original Q3 issuer slides; November2,2026	https://towersemi.com/wp-content/uploads/2026/11/TSEM_Q32026_IRCALL_SLIDES_FF_1.pdf
T4	Full Q2 issuer transcript; August4,2026	https://ir.towersemi.com/static-files/da25365d-20d1-4c75-83d9-93b39badcb42
T5	Tower/InnoLight first NPO early production and300mm tape-outs; November3,2026	https://towersemi.com/2026/11/03/11032026/
T6	Tower/Semtech long-term capacity agreement; October13,2026	https://towersemi.com/2026/10/13/10132026-2/
T7	Japan expansion FAQ; July14,2026	https://towersemi.com/wp-content/uploads/2026/07/FAQ-Japan-expansion-_-July-2026-_FINAL_AC.pdf
T8	2025 Form20-F; Note9 obligations and Note12D Newport prepayment	https://www.sec.gov/Archives/edgar/data/928876/000117891326002318/zk2635149.htm
T9	June2026 financial statements and lease/source balance context	https://www.sec.gov/Archives/edgar/data/928876/000117891326004158/exhibit_99-1.htm
O1	Owner-supplied Mizuho optical note; printed October15,2026	Complete nine-page anonymized supplied note; expert identity, original presentation and LightCounting dataset unavailable. Five exhibits and six appendices retained.
M1	Selected November2026 full accounting and cash law	Six complete joint states; explicit source assumptions, finite debt/lease/prepaid ledgers and34 complete financial diagnostics.
H1	November4,2026 published report and financial model	Complete original60-page PDF and entire original Markdown preserved as dated history; source citations and images retain their own dates.

Issuer sources, attributed owner evidence, selected assumptions and retained completeness gaps are separately identified.

Dated six-company broker appendix inventory

Ticker	Base	Bull	Bear	Broker method
LITE	1,140	1,600	700	~33/40/22× F28E P/E
CRDO	245	345	150	~13/16/9×F28E P/S
AVGO	530	720	350	~23/29/17×C27E P/E
NVDA	315	450	185	~20/24/14×F28E P/E
STM	80	120	55	~28/37/22×F27E P/E
TSEM	300	450	160	0.6/0.9/0.4×F27E PEG

Attributed October14 report-price context from the supplied note. The TSEM model retains its sanctioned20xOP/start-share law; other-company decisions retain their saved scope.

Preserved scope of the six broker appendices

Ticker	Attributed appendix context
LITE	Broker cites more than50% high-speed EML share, more than70% optical-cable TAM CAGR during2024–29, and more than50% InP laser unit CAGR during2024–29. Exact market perimeters are absent.
CRDO	Broker cites approximately68% GM against a long-term63–65% range, AEC revenue run rate above USD1B/year, and a long-term addressable market around USD10B against USD3B in mid2024. Product categories include AEC, optical DSP, ALC, ZeroFlap and Omniconnect. TSMC sole-foundry dependence is a risk.
AVGO	Broker estimates approximately75% GM,67% OM, USD48B FY2026 FCF, USD230B-plus FY2028 AI revenue, and70–80% custom-silicon market share in2025. It describes more than90% of software bookings as recurring.
NVDA	Broker estimates more than USD1T Blackwell/Rubin revenue over2025–27, USD3–4T TAM by2030, USD25–45B revenue opportunity per GW, more than30% VR200 NVL72 ASP tailwind, approximately USD20B FY2027 CPU revenue and more than100% FY2028 growth. Export, customer concentration and CoWoS constraints remain risks.
STM	Broker discusses LEO, AI servers and optical markets collectively above USD1B in2026 and above USD2B in2027. The aggregate has several business scopes. The current STM model separates AI optical, power and space.
TSEM	Broker emphasizes PH18, Japan300mm, qualified capacity and RF-SOI/InP/BiCMOS/GaAs migration. It identifies competitive capacity, input pricing, construction and equipment delays as risks.

Dated broker assertions preserve their original market, recipient and source gaps. Each other company retains its own completed or pending decision.

November 4, 2026: complete historical report

The complete November 4 report follows with its original text, exhibits, model figures and forecast vintage. The preceding November review supplies the current assumptions and outputs.

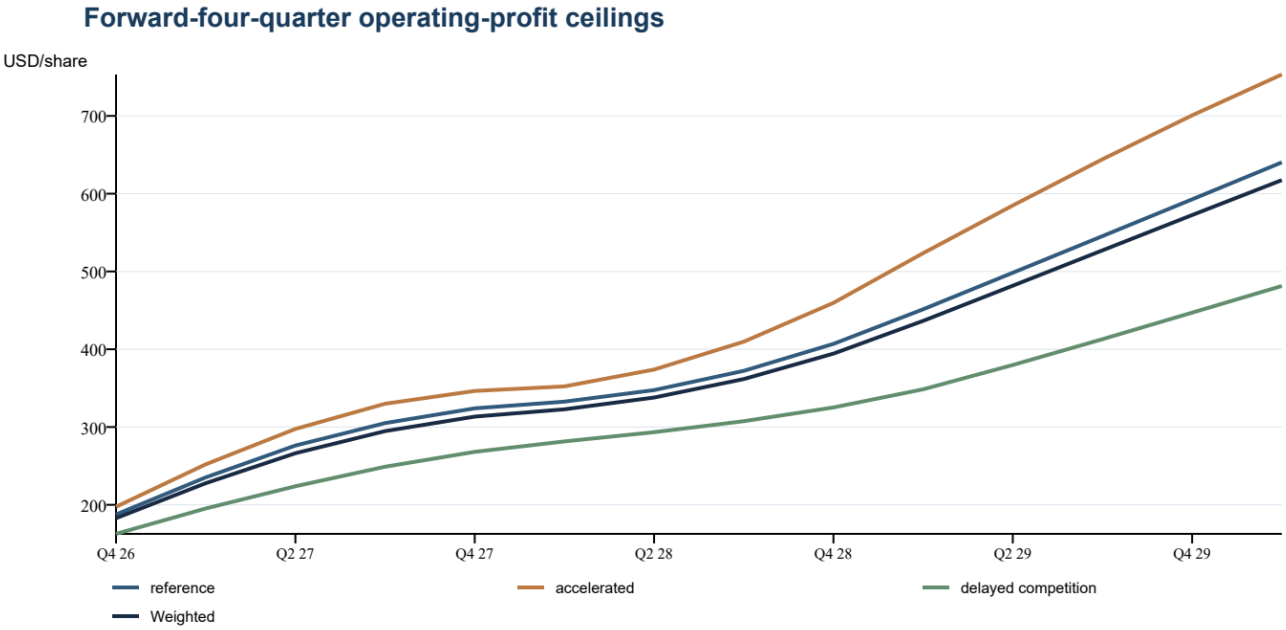
Tower Semiconductor | TSEM

Full investment review | November 4,2026 | Framework 8.0

The active Q4 2027 operating-profit ceiling is USD 313.40 per share. It values Q4 2027 through Q3 2028 at 20 times consolidated GAAP-style operating profit and 116.463 million economic diluted shares.

The investment case rests on qualified SiPho and SiGe manufacturing, committed customer roadmaps, and the conversion of capacity starts into accepted shipments. The model includes manufacturing depreciation, stock compensation, operating support and the cash needed to build the capacity.

Analytical score 45/60, equivalent to 75/100. Protected Excel Base 75 remains. Financial amounts are USD millions and shares are millions unless stated otherwise.



Current conditional and probability-weighted operating-profit valuation. Final three incomplete windows remain blank.

Numerical data: Forward-four-quarter operating-profit ceilings

The table gives the exact model-chart series to four decimal places. Financial amounts follow the units printed on the chart.

Quarter	F4 window	reference	accelerated	delayed competition	Weighted
Q4 2026	Q4 2026 to Q3 2027	187.5656	197.4885	162.6639	182.8286
Q1 2027	Q1 2027 to Q4 2027	235.2482	252.0304	195.2576	227.7679
Q2 2027	Q2 2027 to Q1 2028	276.1903	297.5252	223.8532	266.3062
Q3 2027	Q3 2027 to Q2 2028	305.0354	329.9322	248.9572	294.7504
Q4 2027	Q4 2027 to Q3 2028	324.0272	346.3906	268.0922	313.3979
Q1 2028	Q1 2028 to Q4 2028	332.6315	352.2442	281.5088	322.7928
Q2 2028	Q2 2028 to Q1 2029	347.4728	373.8913	293.3830	337.9131
Q3 2028	Q3 2028 to Q2 2029	372.2252	409.7212	307.4919	361.6663
Q4 2028	Q4 2028 to Q3 2029	406.8826	459.6305	325.1889	394.3714
Q1 2029	Q1 2029 to Q4 2029	451.3728	523.5170	348.4927	436.4744
Q2 2029	Q2 2029 to Q1 2030	498.3626	584.8470	379.7664	481.6862
Q3 2029	Q3 2029 to Q2 2030	545.4395	644.2556	412.9432	527.1379
Q4 2029	Q4 2029 to Q3 2030	592.7323	700.7151	447.0569	572.5109
Q1 2030	Q1 2030 to Q4 2030	640.2373	753.2070	481.3136	617.4518

1. Investment thesis

Tower provides specialty analog foundry processes for photonics, high-speed analog connectivity, power devices, image sensors and RF applications. Its customer value comes from process performance, qualification, yield, manufacturing consistency and a roadmap that customers can use across product generations.

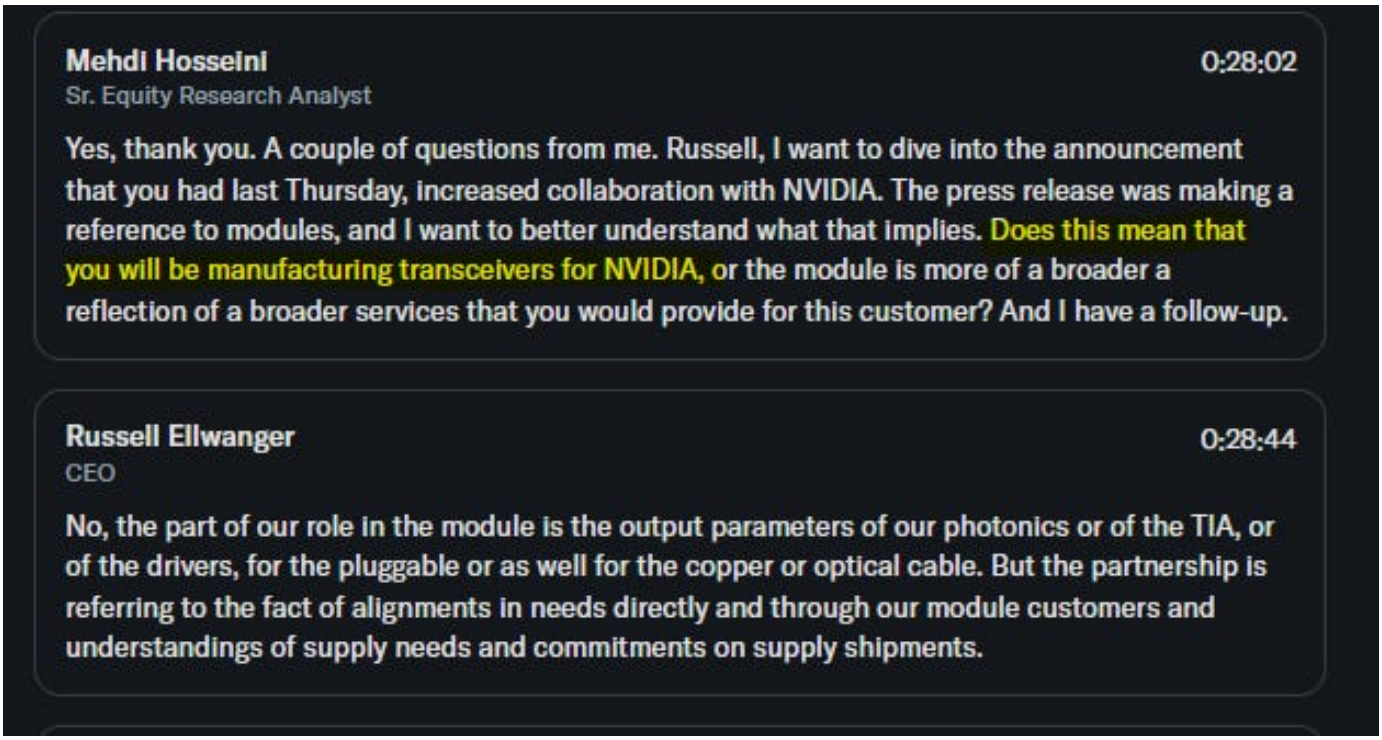
The SiPho opportunity expands as optical links carry more data inside and between AI systems. SiGe TIAs and drivers complement the photonic devices. Qualified manufacturing capacity, reliable delivery and physical integration govern the revenue conversion.

The forecast distinguishes external foundry revenue from module and system revenue. Customer module ASP, network bandwidth and estimated market size do not become Tower revenue without the corresponding wafer, process and invoice allocation.

2. Physics and the invoice boundary

Higher integration can increase die area and process content while also changing yield, cycle time and customer design choices. A 200 mm wafer and a 300 mm wafer have different area, die counts and economic costs. The 2.25 area ratio is applied only when converting physical area, and it is excluded from an already priced 300 mm wafer calculation.

NPO combines more optical channels near the compute package. Tower earns its manufacturing and integration content. Integrated lasers are modeled as additional process value within the same SiPho customer wallet; their modeled revenue is separate from the core capacity constraint and carries its own manufacturing and support cost.

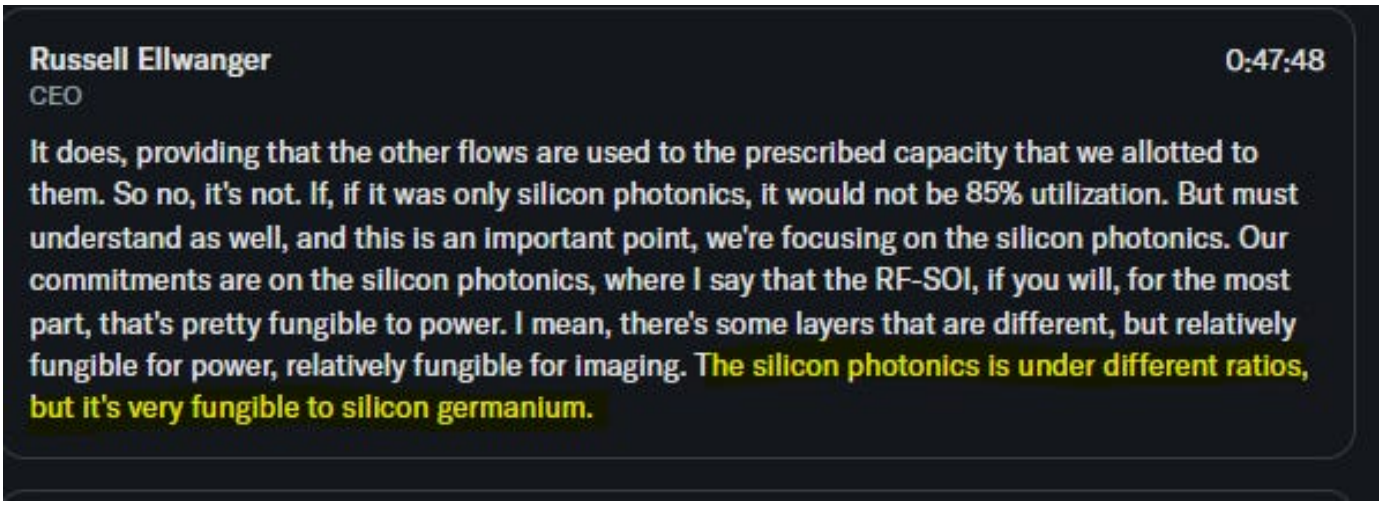


Irrational Analysis market memo, February 12,2026. Preserved excerpt about the Tower foundry invoice and customer module value.

2. Qualification and manufacturing context

A customer-qualified flow is defined by process capability, foundry location, test and reliability requirements. Nominal spare tools can coexist with a shortage in the qualified process route. The model converts capacity through a dated commissioning and shipment schedule.

The preserved February market commentary supports the technical context. It remains an attributed secondary source. The current forecast uses the dated issuer releases, full management calls and financial statements as its operating anchor.



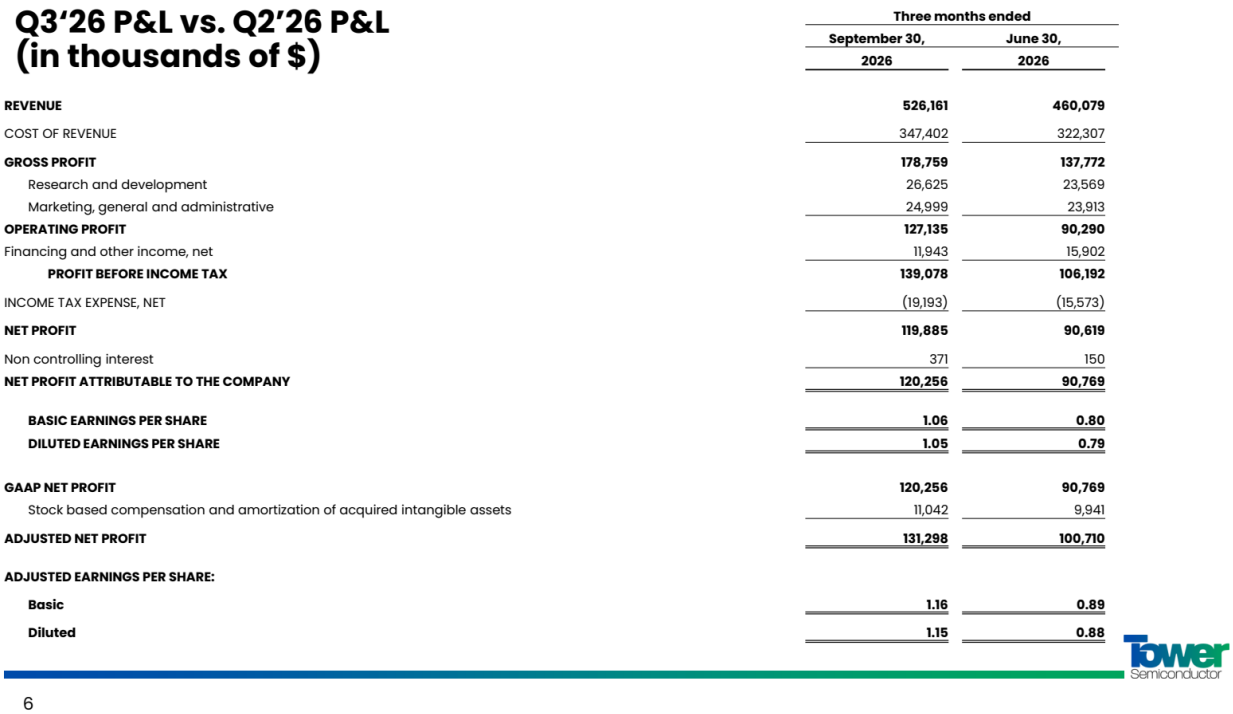
Irrational Analysis market memo, February 12,2026. Preserved management excerpt about tool/process compatibility and yield.

3. Latest reported results

For the quarter ended September 30,2026, revenue was 526.161, gross profit 178.759 and operating profit 127.135. Operating expenses were 51.624, comprising 26.625 of research and development and 24.999 of marketing/general/administrative expense. [T 1]

Net profit was 119.885 before a 0.371 noncontrolling loss attribution; parent net profit was 120.256. Diluted EPS was 1.05 on 114.463 million reported weighted-average diluted shares. Adjusted parent profit 131.298 excludes 11.042 of stock compensation and acquired-intangible amortization. The selected valuation retains these recurring costs.

Q3 metric	USD million
Revenue	526.161
Gross profit	178.759
Operating expense	51.624
Operating profit	127.135
Parent net income	120.256
Cash from operations	185.159
Cash net capital spending	190.683



Q3'26 P&L vs. Q2'26 P&L (in thousands of $)

	Three months ended September 30, 2026	Three months ended June 30, 2026
REVENUE	**526,161**	**460,079**
COST OF REVENUE	347,402	322,307
GROSS PROFIT	**178,759**	**137,772**
Research and development	26,625	23,569
Marketing, general and administrative	24,999	23,913
OPERATING PROFIT	**127,135**	**90,290**
Financing and other income, net	11,943	15,902
PROFIT BEFORE INCOME TAX	**139,078**	**106,192**
INCOME TAX EXPENSE, NET	(19,193)	(15,573)
NET PROFIT	**119,885**	**90,619**
Non controlling interest	371	150
NET PROFIT ATTRIBUTABLE TO THE COMPANY	**120,256**	**90,769**
BASIC EARNINGS PER SHARE	**1.06**	**0.80**
DILUTED EARNINGS PER SHARE	**1.05**	**0.79**
GAAP NET PROFIT	**120,256**	**90,769**
Stock based compensation and amortization of acquired intangible assets	11,042	9,941
ADJUSTED NET PROFIT	**131,298**	**100,710**
ADJUSTED EARNINGS PER SHARE:		
Basic	**1.16**	**0.89**
Diluted	**1.15**	**0.88**

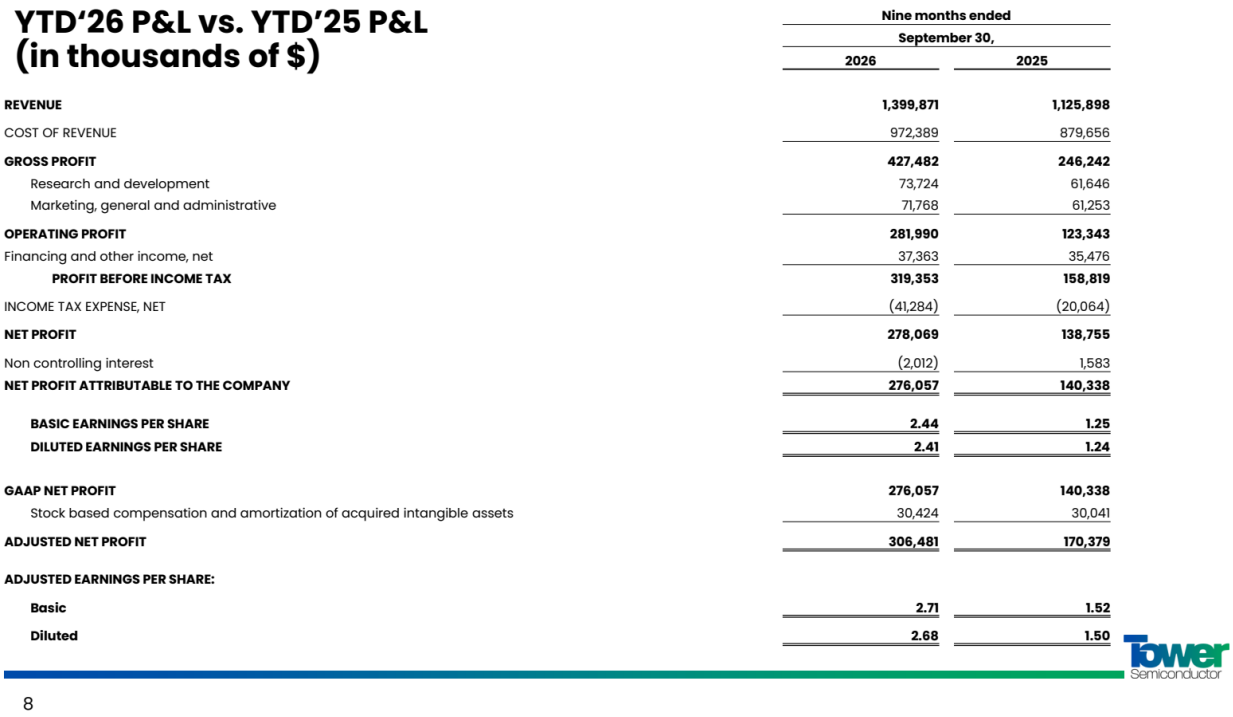
Tower Semiconductor

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Tower issuer presentation, November 2,2026, PDF page 6. Original source image.

3. Year-to-date reported results

The issuer provides nine-month financial results separately from the quarterly forecast. Actual cumulative figures are source anchors and retain their reported scope.



YTD'26 P&L vs. YTD'25 P&L (in thousands of $)

	Nine months ended September 30, 2026	2025
REVENUE	**1,399,871**	**1,125,898**
COST OF REVENUE	972,389	879,656
GROSS PROFIT	**427,482**	**246,242**
Research and development	73,724	61,646
Marketing, general and administrative	71,768	61,253
OPERATING PROFIT	**281,990**	**123,343**
Financing and other income, net	37,363	35,476
PROFIT BEFORE INCOME TAX	**319,353**	**158,819**
INCOME TAX EXPENSE, NET	(41,284)	(20,064)
NET PROFIT	**278,069**	**138,755**
Non controlling interest	(2,012)	1,583
NET PROFIT ATTRIBUTABLE TO THE COMPANY	**276,057**	**140,338**
BASIC EARNINGS PER SHARE	**2.44**	**1.25**
DILUTED EARNINGS PER SHARE	**2.41**	**1.24**
GAAP NET PROFIT	**276,057**	**140,338**
Stock based compensation and amortization of acquired intangible assets	30,424	30,041
ADJUSTED NET PROFIT	**306,481**	**170,379**
ADJUSTED EARNINGS PER SHARE:		
Basic	**2.71**	**1.52**
Diluted	**2.68**	**1.50**

Tower Semiconductor

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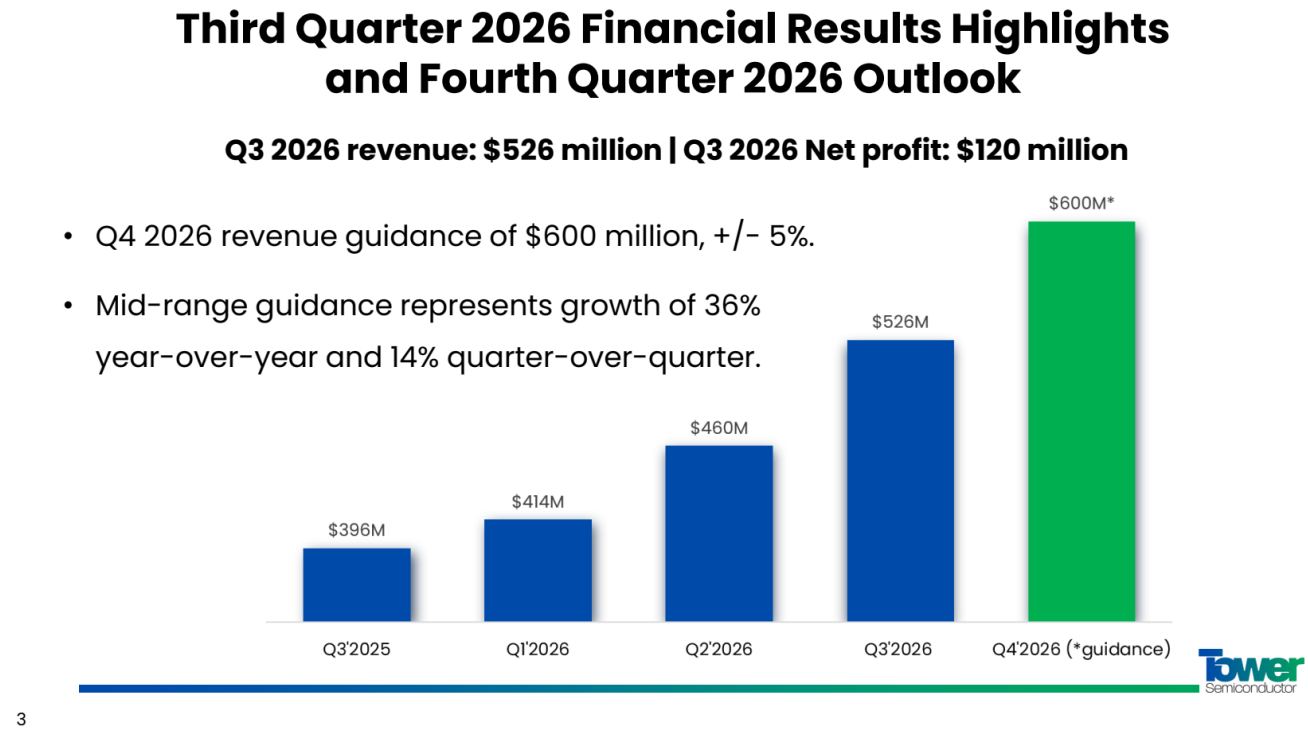
Tower issuer presentation, November 2,2026, PDF page 8. Original source image.

4. Guidance and the newest two calls

The November 2 release and supporting slides guide Q4 revenue to 600, plus or minus 5%. Management targets a 1.1 billion annualized SiPho revenue rate in Q4 and continued sequential growth into 2027. The transcript cover is dated November 3,2026; the release identifies the call as November 2. Both dates remain recorded. [T 1-T 3]

The full Q3 and Q2 issuer-hosted transcript text was read, including every question and answer:635 and 602 extracted lines, respectively. Original transcript PDF downloads returned 403; the complete supported primary text is preserved. Call audio was not listened to.

The August 4 call differentiates the 1.3 billion of 2027 customer commitments from a larger capacity opportunity. The current model treats committed demand and capacity as different inputs, and it requires capacity to become qualified and produce accepted shipments.

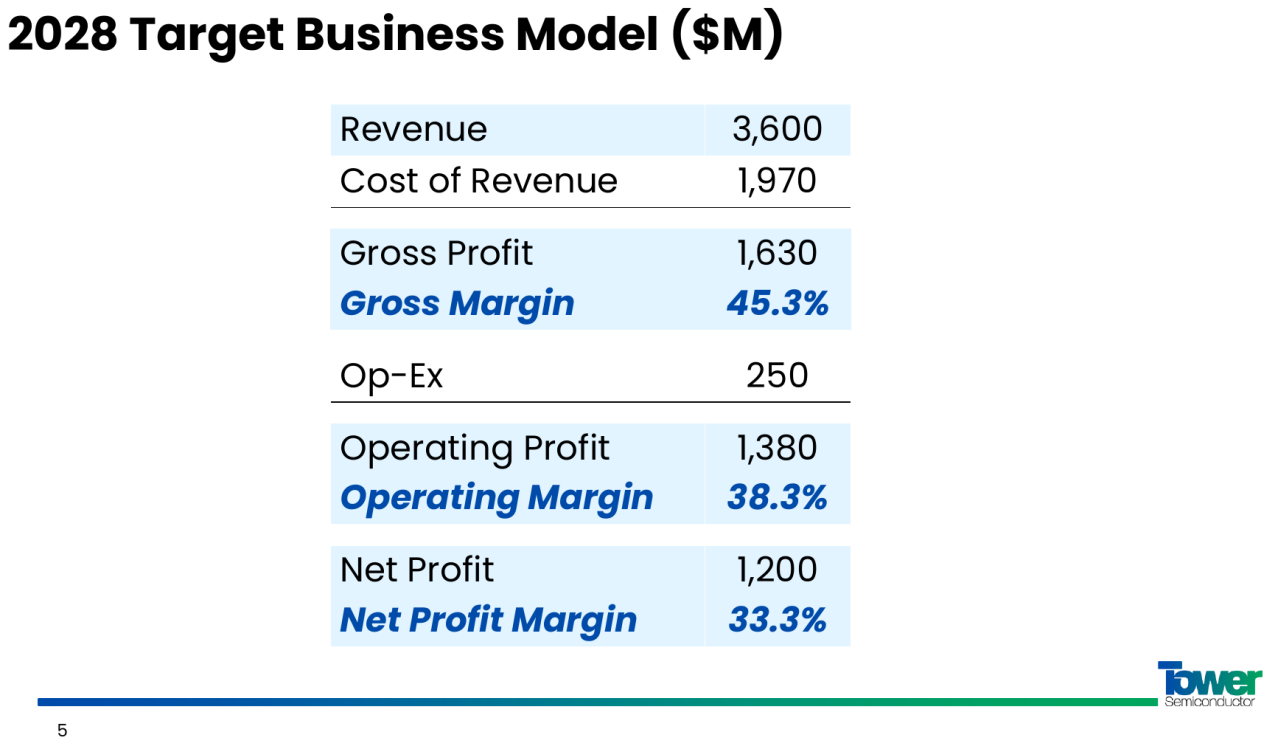


Tower issuer presentation, November 2,2026, PDF page 3. Original source image.

5. Source operating model

Management’s conditional 2028 business model is 3,600 revenue,1,630 gross profit,1,380 operating profit and 1,200 net profit. It assumes 85% utilization, successful equipment qualification, customer orders and selected future wafer prices. It includes Track 1 and excludes a required contribution from Track 2. [T 4]

The current forecast is built from explicit product and capacity inputs. It can differ from this management reference because the November call describes a different sequence of starts, shipments and customer engagement. Costs and cash remain attached to those modeled inputs.



Tower August 4,2026 supporting slides, PDF page 5. Management conditional 2028 model in USD millions; current physical and cost assumptions are stated in the report.

6. Analytical score

The analytical assessment totals 45/60, equivalent to 75/100. The protected Excel Base is 75. The score measures thesis quality separately from individual capacity probabilities.

Category	Points	Maximum
Core thesis	17	20
Cycle stage	8	10
TAM expansion	9	10
Catalysts	5	5
Macro	8	10
Alpha	2	5
Risks	-4	0
Total	45	60

6. Thesis, cycle and market

Core thesis 17/20: Qualified SiPho and SiGe processes support repeated customer generations. InnoLight early NPO production and Semtech’s long-term capacity agreement demonstrate engagement. Competing foundries and architectures remain credible.

Cycle 8/10: Record revenue and profit coincide with an investment phase. Capacity starts still require wafer processing, qualification and acceptance before producing revenue.

TAM 9/10: Pluggable, NPO, coherent and heterogeneous integration broaden process content. These opportunities share customer and wafer wallets, so the forecast applies capacity and overlap limits.

6. Catalysts, macro, information and risk

Catalysts 5/5: Q4 guidance, Q2 shipment conversion, Q3 Track 1 starts, later NPO adoption and 2029 Track 2 are dated operating tests.

Macro 8/10: AI connectivity and power requirements support optical adoption. Trade conditions, cycles and regional disruption remain material.

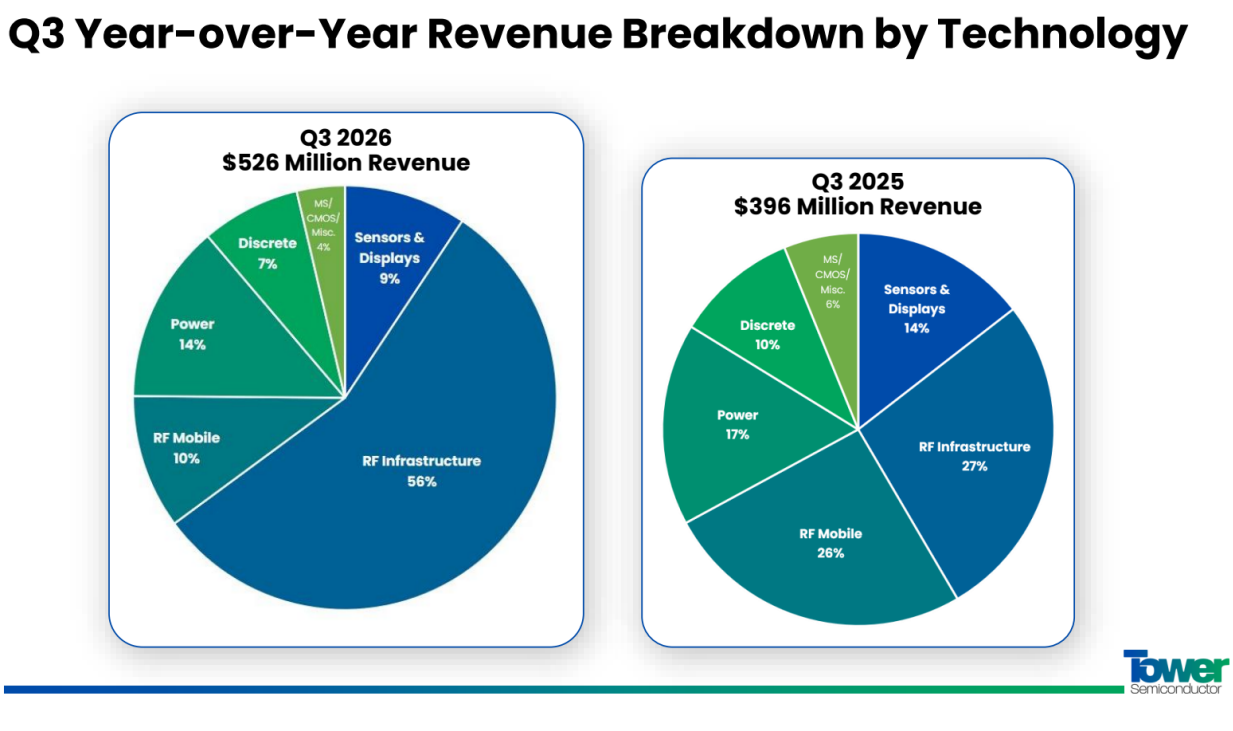
Alpha 2/5: The core financial and capacity claims are public. Local source work improves accounting detail, while precise wafer prices and allocations remain unavailable.

Risks-4: One point each for factory execution/funding, competitive pricing, customer concentration and geopolitics. The identified accounting proxies sit within these monitored classes.

7. Revenue mix and product boundaries

Q3 revenue by technology was 56% RF infrastructure,10% RF mobile,14% power,9% sensors/displays and 11% discrete/other. The source percentages are rounded. SiPho revenue was 240 according to management; SiGe is the remaining RF-infrastructure allocation in this model.

The six financial vectors are SiPho, SiGe, RF mobile, power, sensors and discrete/other. These contain the relevant NPO, coherent, laser-integration and customer-program economics once.



Tower issuer presentation, November 2,2026, PDF page 4. Original source image.

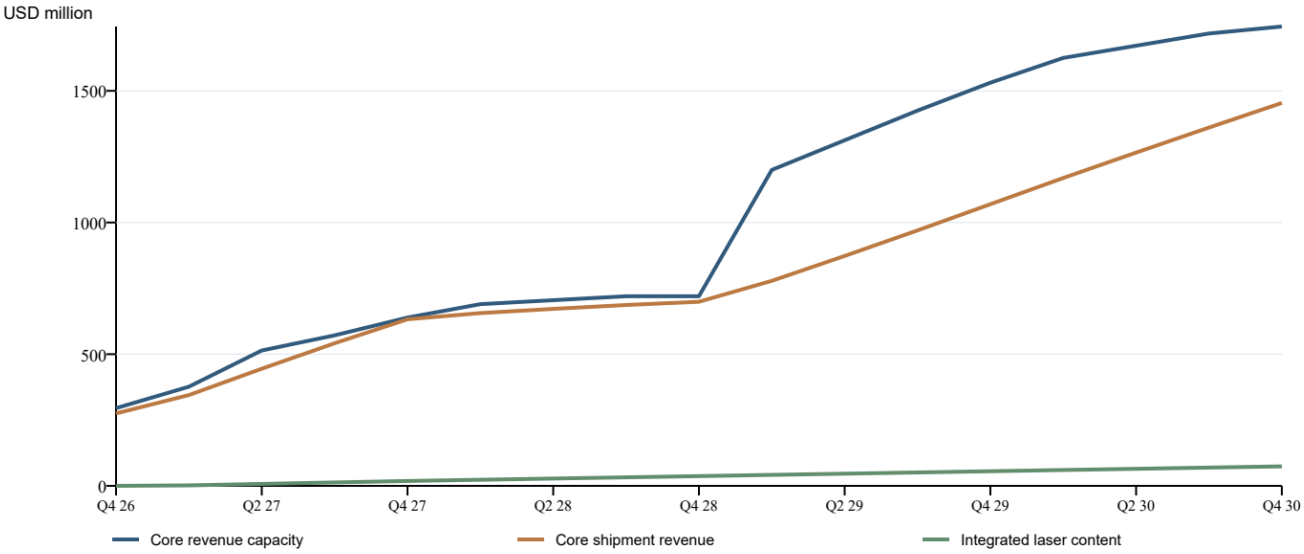
8. Silicon photonics and integrated lasers

Management says year-end 2026 start capacity should be twice the level supporting Q3 SiPho shipments of 240. It expects the full financial effect of this start rate in Q2 2027. Track 1 targets full starts in Q3 2027, creating total core capacity equivalent to three times that Q3 base. [T 2]

Three times 240 is 720 per quarter. The model carries a fabrication and qualification lag before the full shipment effect. The defined core capacity is separate from integrated-laser process content. Revenue from lasers receives 45% direct manufacturing cost and additional operating support.

The central core shipment path is 275 in Q4 2026 and 350/465/560/660 in 2027 before the capacity constraint. Higher or lower realized paths operate under the same physical and funding controls. The forecast gives no separate additive value to the entire module or AI system market.

SiPho core capacity, core shipments and integrated lasers



Core shipment revenue is capped before probability weighting. Integrated lasers are value-added process content inside the same SiPho wallet.

Numerical data: SiPho core capacity, core shipments and integrated lasers

The table gives the exact model-chart series to four decimal places. Financial amounts follow the units printed on the chart.

Quarter	Core revenue capacity	Core shipment revenue	Integrated laser content
Q4 2026	295.0000	275.0000	0.0000
Q1 2027	376.5000	344.7500	1.8500
Q2 2027	514.0000	444.7500	7.4000
Q3 2027	571.5000	541.5000	12.9500
Q4 2027	639.0000	632.5000	18.5000
Q1 2028	690.0000	656.0000	23.1250
Q2 2028	705.0000	672.0000	27.7500
Q3 2028	720.0000	686.7500	32.3750
Q4 2028	720.0000	699.0000	37.0000
Q1 2029	1,199.6500	778.5000	41.6250
Q2 2029	1,312.2750	873.0000	46.2500
Q3 2029	1,424.9000	970.0000	50.8750
Q4 2029	1,530.9000	1,069.5000	55.5000
Q1 2030	1,624.9750	1,169.0000	60.1250
Q2 2030	1,671.3500	1,265.5000	64.7500
Q3 2030	1,717.7250	1,360.5000	69.3750
Q4 2030	1,744.2250	1,454.0000	74.0000

9. Customer programs and competing requests

The November 3 Tower/InnoLight announcement reports first NPO early production on the PH18M process in California, plus multiple 300 mm NPO tape-outs. The products represent manufacturing progress; customer shipment volumes and Tower wafer prices remain undisclosed. [T 5]

The older attributed expert source describes requested customer quantities that can exceed one Japan manufacturing pool. The current financial model uses one capacity budget and one SiPho revenue wallet. It does not add every request as independently available supply.

Q31. Given ST's competitive advantages in capacity and pricing, will its 2027 silicon-photonics revenue be comparable to the company's? How will the company handle share allocation with core customers like InnoLight and Eoptolink?

The revenue comparison depends on how much order share ST ultimately wins away from the company. Take InnoLight as an example: its total demand is about 50,000–60,000 wafers; combined with Eoptolink's roughly 30,000 wafers, total market demand is close to 90,000–100,000 wafers. If the company reaches 60,000 wafers of capacity in 2027, even if InnoLight shifts some orders elsewhere, most of its business is expected to remain with the company. This is because the company has close R&D collaboration with InnoLight across product generations; if InnoLight significantly cut its order volume, it could hurt its own R&D progress, so starting from scratch with ST is not its best option.

The company's strategy is therefore clear: prioritize fully meeting InnoLight's needs. Within its 50,000–60,000-wafer capacity plan, the company will first secure InnoLight's orders, with remainingcapacity allocated next to Eoptolink, then Xihe. By locking in InnoLight — a core customer with more than half the market — the company can secure its market position, with other smaller customers being relatively secondary. It is certain that some share will shift to ST, but the exact amount is still being negotiated.

Q32. Besides STMicroelectronics, who are the other competitors in the 12-inch silicon-photonics space? What is their development status and competitiveness?

Apart from ST, two additional competitors are UMC and Xinyang. UMC collaborates with SilTerra China on 12-inch product development. SilTerra China is not our current customer and remains small-scale, but if UMC and SilTerra's partnership progresses smoothly, they may

P Equity Research / tuolaji, October 2,2026, PDF page 21. Attributed customer requests and allocation priority. Interview identity/date unavailable; publisher describes an AI translation.

10. Silicon germanium and power

The October 13 Semtech agreement reserves dedicated SiGe capacity across Tower’s manufacturing network. TIAs, drivers and equalizers support optical and copper architectures. The model places this business inside its SiGe vector; the agreement supplies no separately disclosed revenue amount. [T 6]

Management expects about 20% higher blended BCD prices in 2027 versus 2026 and identifies growth in AI/cloud, mobile and automotive applications. The power vector includes selected output and price assumptions with associated manufacturing costs. [T 2]

11. RF, sensors and the Japan perimeter

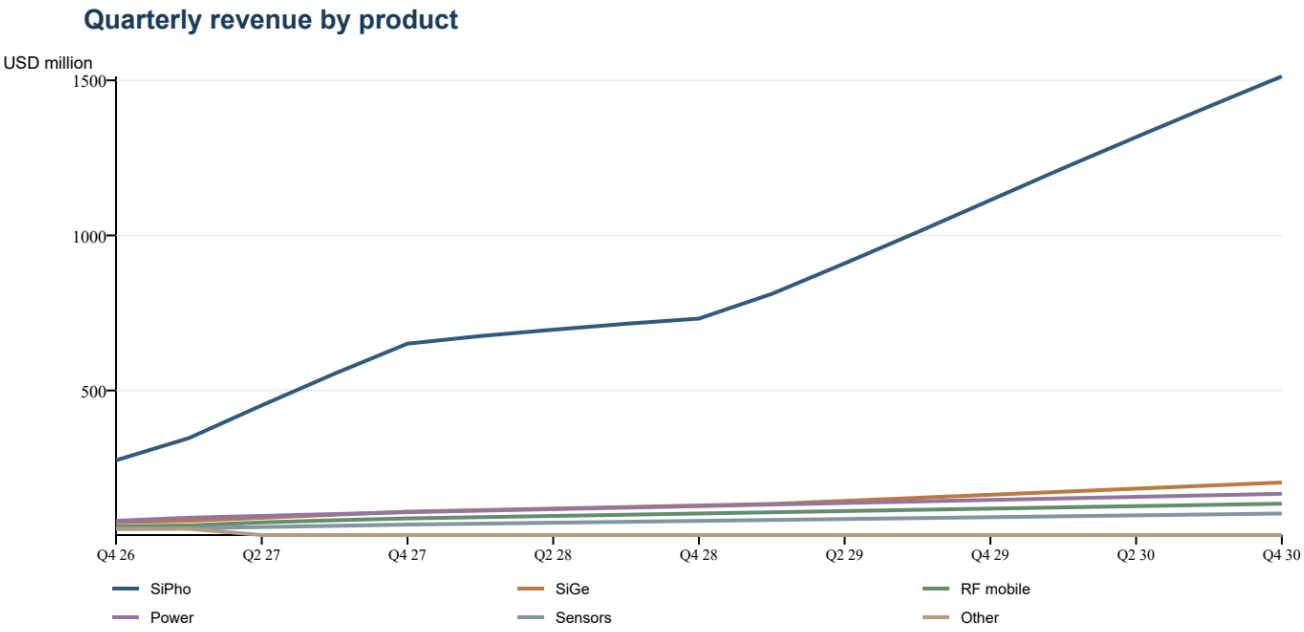
RF mobile migrates toward 300 mm output in Italy while freeing Japan capacity for SiPho and SiGe. Management expects record manufacturing activity during 2027, dependent on qualification and customer timing. Image sensors and OLED-on-silicon displays have distinct application and production paths. [T 2, T 3]

An April 1,2027 transaction is expected to give Tower full ownership of Fab 7 and Nuvoton full ownership of Fab 5, with mutual supply arrangements continuing. Nuvoton pays Tower 25 at closing. Exact disposed revenues, costs, assets and debt allocation are unavailable. [T 8]

The central low-confidence perimeter proxy removes 20 of quarterly other revenue and 17 of avoidable cash manufacturing cost from Q2 2027. Fixed costs, assets and debt receive no assumed release. The 25 receipt is one-time investing cash and contributes zero recurring operating profit. Tests use zero and 40 of removed revenue.

12. Complete quarterly product revenue

Quarter	SiPho	SiGe	RF mobile	Power	Sensors	Other
Q4 2026	275.0	75.0	62.0	80.0	54.0	54.0
Q1 2027	346.6	79.7	64.9	89.8	55.9	54.0
Q2 2027	452.1	89.6	74.8	95.8	59.9	34.0
Q3 2027	554.4	99.5	81.7	101.7	63.8	34.0
Q4 2027	651.0	109.4	87.6	107.7	67.8	34.0
Q1 2028	675.6	114.4	91.6	112.6	70.8	34.0
Q2 2028	696.0	119.3	95.6	117.6	73.7	34.0
Q3 2028	715.2	124.3	99.5	122.5	76.7	34.0
Q4 2028	731.9	129.2	103.5	127.5	79.7	34.0
Q1 2029	811.5	134.2	107.4	132.4	82.6	34.0
Q2 2029	909.9	144.1	111.4	137.4	85.6	34.0
Q3 2029	1,010.6	154.0	115.4	142.3	88.6	34.0
Q4 2029	1,113.8	163.9	119.3	147.3	91.6	34.0
Q1 2030	1,216.9	173.8	123.3	152.2	94.5	34.0
Q2 2030	1,317.0	183.7	127.2	157.2	97.5	34.0
Q3 2030	1,415.6	193.6	131.2	162.1	100.5	34.0
Q4 2030	1,512.8	203.5	135.2	167.1	103.4	34.0



USD million. Rounded technology mix is an analyst allocation of the reported consolidated anchor.

Numerical data: Quarterly revenue by product

The table gives the exact model-chart series to four decimal places. Financial amounts follow the units printed on the chart.

Quarter	SiPho	SiGe	RF mobile	Power	Sensors	Other
Q4 2026	275.0000	75.0000	62.0000	80.0000	54.0000	54.0000
Q1 2027	346.6000	79.7465	64.8762	89.8366	55.9135	54.0388
Q2 2027	452.1500	89.6465	74.7762	95.7766	59.8735	34.0388
Q3 2027	554.4500	99.5465	81.7062	101.7166	63.8335	34.0388
Q4 2027	651.0000	109.4465	87.6462	107.6566	67.7935	34.0388
Q1 2028	675.6250	114.3965	91.6062	112.6066	70.7635	34.0388
Q2 2028	696.0000	119.3465	95.5662	117.5566	73.7335	34.0388
Q3 2028	715.1562	124.2965	99.5262	122.5066	76.7035	34.0388
Q4 2028	731.8750	129.2465	103.4862	127.4566	79.6735	34.0388
Q1 2029	811.5000	134.1965	107.4462	132.4066	82.6435	34.0388
Q2 2029	909.8750	144.0965	111.4062	137.3566	85.6135	34.0388
Q3 2029	1,010.6250	153.9965	115.3662	142.3066	88.5835	34.0388
Q4 2029	1,113.7500	163.8965	119.3262	147.2566	91.5535	34.0388
Q1 2030	1,216.8750	173.7965	123.2862	152.2066	94.5235	34.0388
Q2 2030	1,317.0000	183.6965	127.2462	157.1566	97.4935	34.0388
Q3 2030	1,415.6250	193.5965	131.2062	162.1066	100.4635	34.0388
Q4 2030	1,512.7500	203.4965	135.1662	167.0566	103.4335	34.0388

13. Joint probabilities and overlap

Reference execution carries 60%, accelerated execution 15%, and delayed qualification with competitive pricing 25%. A single state determines manufacturing timing, realized output, price, costs and cash. The resulting company outcomes are valued before weighting.

Attributed wafer-pool and customer hypotheses are incorporated into the selected capacity and product paths. Additional revenue from those hypotheses is zero after overlap with the selected SiPho and SiGe vectors.

NPO, integrated lasers, coherent optics and the announced customer relationships inform the same underlying product wallets. The model does not add market-size, contract, capacity and customer-revenue claims independently.

State	Probability	Q4 2027 ceiling
reference	60%	324.03
accelerated	15%	346.39
delayed competition	25%	268.09

14. Manufacturing costs

Product gross-margin allocations start at 43.5% for SiPho,36% for SiGe,20% for RF mobile,32% for power and 25% for sensors. Other gross margin solves the consolidated Q3 gross-profit anchor. Product margins are low-confidence analyst allocations because the issuer does not disclose these segment margins.

The calibration removes identified depreciation, stock compensation, acquired-intangible amortization and lease costs from the cash manufacturing pool. Eighty-five percent of that cash pool varies with core units, and 15% is fixed. Unit cash costs improve 1% annually; fixed manufacturing cost grows 3% annually.

Ready Japan capital carries cash factory support of 0.2% per quarter. Integrated lasers carry 45% direct cash manufacturing costs. The SiPho operating-support rate is 1.2% of revenue above the source anchor. These selected costs prevent extra process content from entering operating profit without a cost.

Q14. Regarding the yield issues that arose during the process transfer at Fab 9, what is the current progress in resolving them, and what are the future yield-improvement targets?

This issue is being gradually resolved. Process transfers typically take about a year to stabilize; the silicon-photonics process transfer at Fab 9 began in Q4 2025, and the company expects related issues to be fully resolved by Q4 2026. At that point, the target is to raise Fab 9's yield to a level comparable to Fab 3's, i.e., above 90%. It should be noted that not all lots produced at Fab 9 have had serious problems — some products have achieved yields of 50%–60%.

By comparison, the process transfer at Fab 2 went much more smoothly. Fab 2 is one of the company's founding fabs, with extensive experience producing a wide range of product categories (such as sensors, BCD, RF SOI, CMOS, and discretes), and its engineering team has far more experience than Fab 9's. Fab 9 was acquired from Maxim Integrated and previously only produced its own products, soit has relatively less experience handling complex process transfers. Thanks to Fab 2's stable performance, customers like InnoLight and Eoptolink now tend to place new products at Fab 2, only accepting Fab 9 production when there is no other option.

Q15. For 12-inch wafer demand in 2027–2028, especially in NPO-related applications, what is the current market-demand forecast?

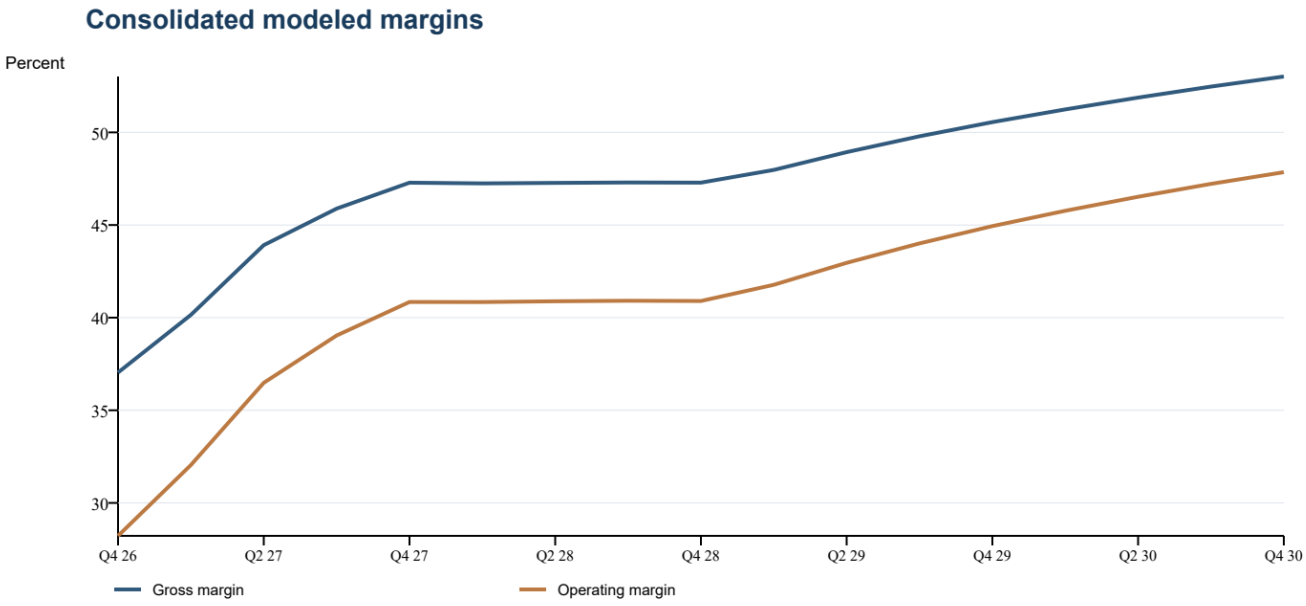
According to forecasts, total market demand for 12-inch wafer NPO over the 2027–2028 delivery period breaks down as follows: NVIDIA is expected to need 25 million 3.2T units for its NVL576 platform; Amazon is expected to need 17 million 6.4T units for its Trainium4 platform; and other smaller CSP customers' combined demand is about 9 million units. In addition, since demand from Google and Meta has not yet fully materialized, more than 10 million additional units of demand may be added in the future.

P Equity Research / tuolaji, October 2,2026, PDF page 14. Attributed Fab 9 transfer and yield discussion. Interview identity/date unavailable; publisher describes an AI translation.

15. Operating support and margins

The cash operating-expense pool is 85% fixed and 15% sales-linked. Fixed operating support grows 12% annually to fund research, qualification and geographic expansion. Stock compensation grows 10% annually from the Q3 source anchor.

Depreciation is 95% in manufacturing and 5% in operating expenses. Stock compensation is 25% in manufacturing and 75% in operating expenses. These allocation assumptions are visible and retain each expense once.



Company gross and operating margins use weighted financial amounts divided by weighted revenue.

Numerical data: Consolidated modeled margins

The table gives the exact model-chart series to four decimal places. Financial amounts follow the units printed on the chart.

Quarter	Gross margin	Operating margin
Q4 2026	37.0375	28.2219
Q1 2027	40.1492	32.0456
Q2 2027	43.9139	36.4825
Q3 2027	45.8843	39.0357
Q4 2027	47.2842	40.8460
Q1 2028	47.2458	40.8419
Q2 2028	47.2732	40.8836
Q3 2028	47.2951	40.9119
Q4 2028	47.2870	40.8983
Q1 2029	47.9734	41.7726
Q2 2029	48.9337	42.9586
Q3 2029	49.7887	44.0073
Q4 2029	50.5534	44.9397
Q1 2030	51.2391	45.7678
Q2 2030	51.8771	46.5247
Q3 2030	52.4707	47.2202
Q4 2030	53.0150	47.8515

16. Current and future capital commitments

The 920 capital program expands existing SiPho and SiGe capabilities. Management states 65% had been paid through Q3, leaving 322. The model schedules the remainder across Q4 2026 and the first half of 2027. [T 2]

The July 14 issuer FAQ describes total dual-track Japan investment of up toUSD 3 billion net of grants. The selected model reserves the full 3,000 as additional future cash spending and depreciable assets. This is a conservative upper-bound reserve: the amount already paid and attributable to those tracks is not separately disclosed. It does not assert that the entire announced total remains unpaid. [T 7]

The selected cash schedule is 1,000 in 2027,1,000 in 2028,800 in 2029 and 200 in 2030, plus the separate 322 tools program and maintenance. There is no additional grant cash inflow or invented gross-grant pool. Cost-overrun and 2,500 forward-capital-intensity tests retain the same physical capacity plan.

Quarter	Japan net reserve	Other tools	Maintenance	Total cash capex
Q4 2026	0.0	130.0	35.0	165.0
Q1 2027	250.0	120.0	40.0	410.0
Q2 2027	250.0	72.0	40.0	362.0
Q3 2027	250.0	0.0	40.0	290.0
Q4 2027	250.0	0.0	40.0	290.0
Q1 2028	250.0	0.0	50.0	300.0
Q2 2028	250.0	0.0	50.0	300.0
Q3 2028	250.0	0.0	50.0	300.0
Q4 2028	250.0	0.0	50.0	300.0
Q1 2029	200.0	0.0	60.0	260.0
Q2 2029	200.0	0.0	60.0	260.0
Q3 2029	200.0	0.0	60.0	260.0
Q4 2029	200.0	0.0	60.0	260.0
Q1 2030	50.0	0.0	70.0	120.0
Q2 2030	50.0	0.0	70.0	120.0
Q3 2030	50.0	0.0	70.0	120.0
Q4 2030	50.0	0.0	70.0	120.0

17. Capacity financed and commissioned

The first 1,000 of nominal ready Japan capital supports 240 of additional quarterly core SiPho capacity in the selected model. The next 2,000 supports 1,060 more, with Track 2 revenue starting in 2029. These dollar-capacity coefficients are low-confidence analytical conversion proxies.

Capacity follows actual readiness timing. The reference uses a one-quarter lag, the accelerated case advances readiness by one quarter, and the delayed case adds two quarters. Planned core shipment revenue is capped by the resulting available capacity.

Spending more for the same tools does not produce more capacity. Cost sensitivities change actual cash spending, asset cost and depreciation while holding nominal physical deployment fixed. The capacity bridge is independent of the amount of cash already paid.

Quarter	Core capacity	Core shipments	Laser content	Ready Japan assets
Q4 2026	295.0	275.0	0.0	0.0
Q1 2027	376.5	344.8	1.8	37.5
Q2 2027	514.0	444.8	7.4	225.0
Q3 2027	571.5	541.5	13.0	412.5
Q4 2027	639.0	632.5	18.5	662.5
Q1 2028	690.0	656.0	23.1	912.5
Q2 2028	705.0	672.0	27.8	1,162.5
Q3 2028	720.0	686.8	32.4	1,412.5
Q4 2028	720.0	699.0	37.0	1,662.5
Q1 2029	1,199.7	778.5	41.6	1,905.0
Q2 2029	1,312.3	873.0	46.2	2,117.5
Q3 2029	1,424.9	970.0	50.9	2,330.0
Q4 2029	1,530.9	1,069.5	55.5	2,530.0
Q1 2030	1,625.0	1,169.0	60.1	2,707.5
Q2 2030	1,671.3	1,265.5	64.8	2,795.0
Q3 2030	1,717.7	1,360.5	69.4	2,882.5
Q4 2030	1,744.2	1,454.0	74.0	2,932.5

company's total available capacity ceiling is 10,000 wafers per month, of which 9,000 will go to silicon-photonics production. During the ramp-up phase, full-year 2027 12-inch silicon-photonics capacity is expected to be about 50,000–60,000 wafers.

Q10. Given such large-scale capital investment, how does the company assess the return on investment and strategic necessity? What does this mean for solidifying its market position and addressing future risk?

This large-scale investment is based on considerations of strategic necessity and a high return on investment. Without this expansion, the company would be unable to meet customer demand, leading to customer loss. Through bold investment in its 8-inch line, the company has successfully locked in four major customers through 2028, effectively blocking competitors from entering this market segment.

Although Sirui does not work with the company, its market share is relatively small, mainly supplying customers like Accelink and AOI, with monthly volume of only a few thousand wafers. In terms of ROI, although capital expenditure is large, the silicon-photonics business is highly profitable. In addition, building the new 12-inch fab is also meant to resolve the company's long-standing shortage of 12-inch capacity. Currently, the company's 65nm RF SOI products for mobile front-end devices are made by leasing fab space from STMicroelectronics in Italy; building its own new fab would eliminate potential future supply-chain risk and ensure the company controls its own capacity.

Q11. Of the 10,000 wafers of total 12-inch capacity, why is only 9,000 being converted to silicon photonics? What is the remaining 1,000 used for?

Of the 10,000 wafers per month of total 12-inch capacity, 1,000 wafers are reserved to meet sensor demand.

P Equity Research / tuolaji, October 2,2026, PDF page 12. Attributed Japan wafer and capacity discussion. Interview identity/date unavailable; publisher describes an AI translation.

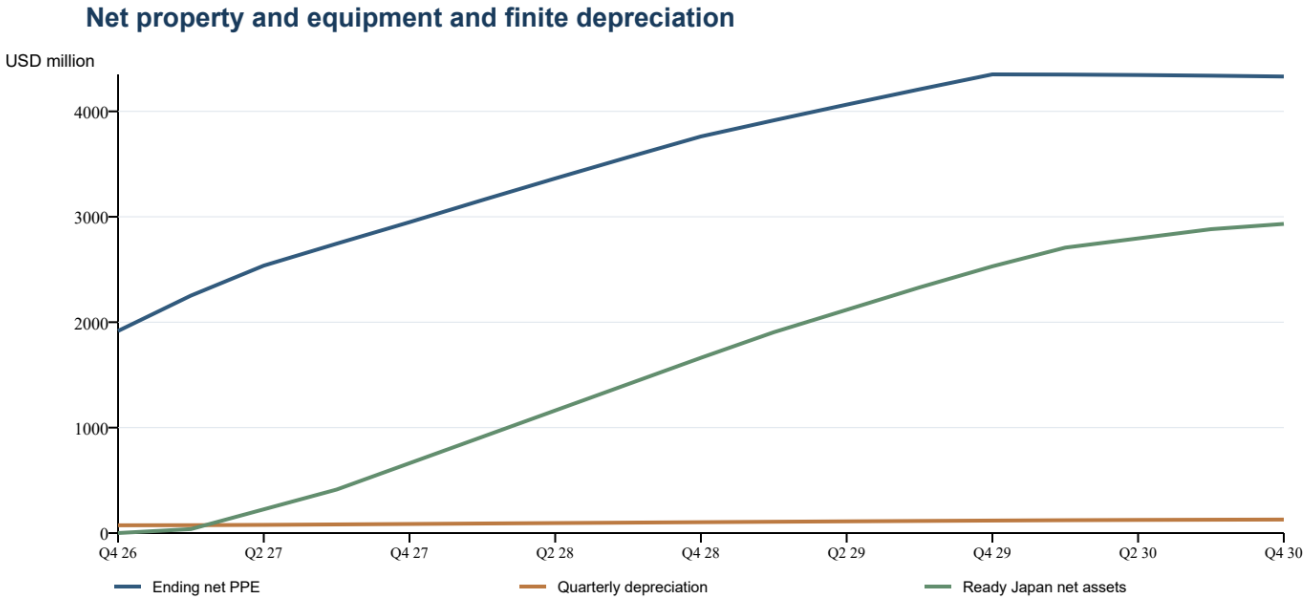
18. Finite assets and depreciation

Reported Q3 net property and equipment is 1,825.403. Legacy depreciation follows a declining quarterly expense capped by the remaining opening book.

The annual filing specifies 15 years for machinery/equipment and 7-25 years for buildings and infrastructure. New equipment uses 60 quarters and buildings 100 quarters. Half-quarter first and final depreciation applies. These lives match the disclosed class ranges; the actual mix and in-service dates remain modeled. [T 9]

The Q3 cash-flow line of 90.461 includes 11.042 of stock compensation and acquired-intangible amortization. The selected low-confidence split assigns 73.419 to PPE depreciation and 6 to prepaid-rent amortization. It reconciles the full 90.461. Alternative zero and 12 prepaid-rent allocations preserve this total and change PPE depreciation accordingly.

Quarter	Legacy depreciation	New depreciation	Ending net PPE
Q4 2026	73.4	0.2	1,916.8
Q1 2027	72.9	1.6	2,252.3
Q2 2027	72.3	5.3	2,536.7
Q3 2027	71.8	10.0	2,745.0
Q4 2027	71.2	14.8	2,948.9
Q1 2028	70.7	19.8	3,158.5
Q2 2028	70.1	24.5	3,363.8
Q3 2028	69.6	29.2	3,565.0
Q4 2028	69.1	33.9	3,762.1
Q1 2029	68.6	38.5	3,915.0
Q2 2029	68.0	42.9	4,064.0
Q3 2029	67.5	47.2	4,209.3
Q4 2029	67.0	51.3	4,351.0
Q1 2030	66.5	55.2	4,349.2
Q2 2030	66.0	58.3	4,344.9
Q3 2030	65.5	60.7	4,338.7
Q4 2030	65.0	62.9	4,330.8



Net assets and depreciation are finite modeled balances. Undisclosed Fab 5 disposed assets receive no assumed write-off or cost relief.

Numerical data: Net property and equipment and finite depreciation

The table gives the exact model-chart series to four decimal places. Financial amounts follow the units printed on the chart.

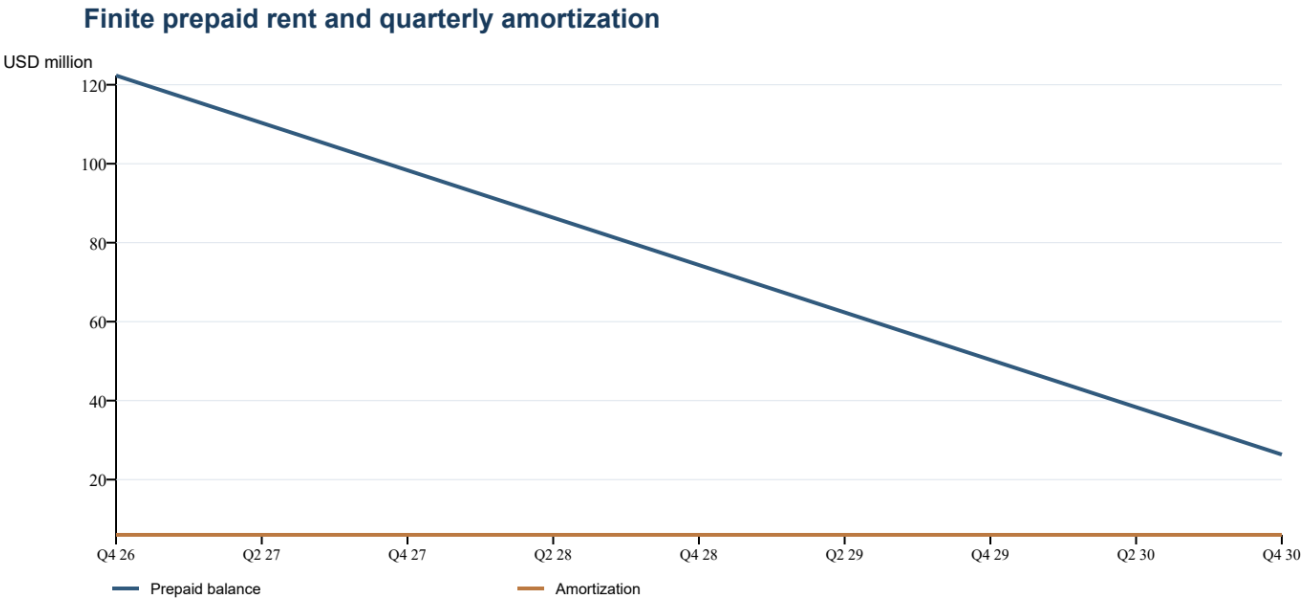
Quarter	Ending net PPE	Quarterly depreciation	Ready Japan net assets
Q4 2026	1,916.7901	73.6129	0.0000
Q1 2027	2,252.2831	74.5071	37.5000
Q2 2027	2,536.7191	77.5639	225.0000
Q3 2027	2,744.9861	81.7330	412.5000
Q4 2027	2,948.9255	86.0606	662.5000
Q1 2028	3,158.4741	90.4514	912.5000
Q2 2028	3,363.8040	94.6701	1,162.5000
Q3 2028	3,565.0051	98.7989	1,412.5000
Q4 2028	3,762.0538	102.9513	1,662.5000
Q1 2029	3,914.9735	107.0802	1,905.0000
Q2 2029	4,063.9954	110.9782	2,117.5000
Q3 2029	4,209.3033	114.6921	2,330.0000
Q4 2029	4,350.9718	118.3315	2,530.0000
Q1 2030	4,349.2397	121.7321	2,707.5000
Q2 2030	4,344.9258	124.3139	2,795.0000
Q3 2030	4,338.6841	126.2416	2,882.5000
Q4 2030	4,330.7851	127.8990	2,932.5000

19. Prepaid rent and operating leases

The 2025 annual filing reports 105 of Newport lease cash prepaid during 2025 and about 6 of quarterly expense through the extended lease term. That cash is already spent. The model uses 87 of remaining original prepaid value at Q3 as an explicit carry-forward proxy. [T 9]

The Q3 statement records a 41.337 cash use in other long-term assets. Management describes the long-term asset increase as mainly Newport lease and other prepayments. Assigning the full 41.337 to a separate prepaid-rent budget is a low-confidence attribution. It produces no new future cash receipt or payment. [T 1, T 2]

The combined prepaid budget amortizes at the selected 6 per quarter until exhausted. Ordinary recurring lease expense is separated from cash operating costs and replaced in cash flow with scheduled lease payments. The precise current lease split and prepaid carrying amount require the next detailed financial notes.



The original prepaid cash and the new Q3 cash use are modeled separately from future scheduled lease payments.

Numerical data: Finite prepaid rent and quarterly amortization

The table gives the exact model-chart series to four decimal places. Financial amounts follow the units printed on the chart.

Quarter	Prepaid balance	Amortization
Q4 2026	122.3370	6.0000
Q1 2027	116.3370	6.0000
Q2 2027	110.3370	6.0000
Q3 2027	104.3370	6.0000
Q4 2027	98.3370	6.0000
Q1 2028	92.3370	6.0000
Q2 2028	86.3370	6.0000
Q3 2028	80.3370	6.0000
Q4 2028	74.3370	6.0000
Q1 2029	68.3370	6.0000
Q2 2029	62.3370	6.0000
Q3 2029	56.3370	6.0000
Q4 2029	50.3370	6.0000
Q1 2030	44.3370	6.0000
Q2 2030	38.3370	6.0000
Q3 2030	32.3370	6.0000
Q4 2030	26.3370	6.0000

20. Complete operating forecast

Quarter	Revenue	Gross profit	Opex	Operating profit	OP margin
Q4 2026	600.0	222.2	52.9	169.3	28.2%
Q1 2027	691.0	277.4	56.0	221.4	32.0%
Q2 2027	806.3	354.1	59.9	294.1	36.5%
Q3 2027	935.3	429.2	64.1	365.1	39.0%
Q4 2027	1,057.6	500.1	68.1	432.0	40.8%
Q1 2028	1,099.0	519.2	70.4	448.9	40.8%
Q2 2028	1,136.2	537.1	72.6	464.5	40.9%
Q3 2028	1,172.2	554.4	74.8	479.6	40.9%
Q4 2028	1,205.8	570.2	77.0	493.1	40.9%
Q1 2029	1,302.2	624.7	80.7	544.0	41.8%
Q2 2029	1,422.4	696.0	85.0	611.0	43.0%
Q3 2029	1,544.9	769.2	89.3	679.9	44.0%
Q4 2029	1,669.8	844.2	93.7	750.4	44.9%
Q1 2030	1,794.7	919.6	98.2	821.4	45.8%
Q2 2030	1,916.6	994.3	102.6	891.7	46.5%
Q3 2030	2,037.0	1,068.8	107.0	961.9	47.2%
Q4 2030	2,155.9	1,143.0	111.3	1,031.6	47.9%



All operating expenses include the selected recurring stock compensation, depreciation, amortization and support costs.

Numerical data: Gross profit, operating costs and operating profit

The table gives the exact model-chart series to four decimal places. Financial amounts follow the units printed on the chart.

Quarter	Gross profit	Operating expenses	Operating profit
Q4 2026	222.2248	52.8935	169.3312
Q1 2027	277.4358	55.9970	221.4387
Q2 2027	354.0609	59.9163	294.1445
Q3 2027	429.1524	64.0547	365.0977
Q4 2027	500.0691	68.0898	431.9793
Q1 2028	519.2485	70.3811	448.8673
Q2 2028	537.1373	72.6010	464.5362
Q3 2028	554.4058	74.8254	479.5804
Q4 2028	570.1752	77.0327	493.1425
Q1 2029	624.7248	80.7488	543.9761
Q2 2029	696.0266	84.9886	611.0380
Q3 2029	769.1935	89.3168	679.8768
Q4 2029	844.1523	93.7398	750.4125
Q1 2030	919.6013	98.1952	821.4060
Q2 2030	994.2920	102.5852	891.7069
Q3 2030	1,068.8474	106.9542	961.8932
Q4 2030	1,142.9728	111.3228	1,031.6500

21. Shares, subsidiary interests and method

The sanctioned valuation is 20 times forward-four-quarter consolidated GAAP-style operating profit divided by the target quarter’s economic diluted-share proxy. There is no cash or net-debt addition to this OP-based price.

Reported Q3 weighted-average diluted shares are 114.463 million. The retained 0.4 million quarterly allowance gives 114.863 million for Q4 2026 and 116.463 million for Q4 2027. This is a forward economic dilution proxy; actual common shares and weighted diluted reporting quantities remain distinct.

The Japan restructuring changes the operating perimeter. The model retains consolidated OP treatment and separately shows a small net minority claim before closing. The parent net-income illustration removes this claim once; it does not create an additional OP ownership discount.

22. Tax and recurring net income

The model applies 15% book and cash tax to positive recurring pretax income, reflecting the disclosed minimum-tax risk from 2026. It assumes no cash benefit from unverified future loss utilization. Actual jurisdictional income, tax credits and payments may differ.

Recurring interest income uses a 3% annual rate on modeled opening cash and deposits. Bank and finance-lease interest remain separate expenses. Current FX gains, asset-sale gains and potential litigation receipts are excluded from recurring income.

The 25 Japan transaction receipt is investing cash at closing and has zero recurring operating-profit contribution. The precise accounting gain, asset transfer and debt allocation are unavailable.

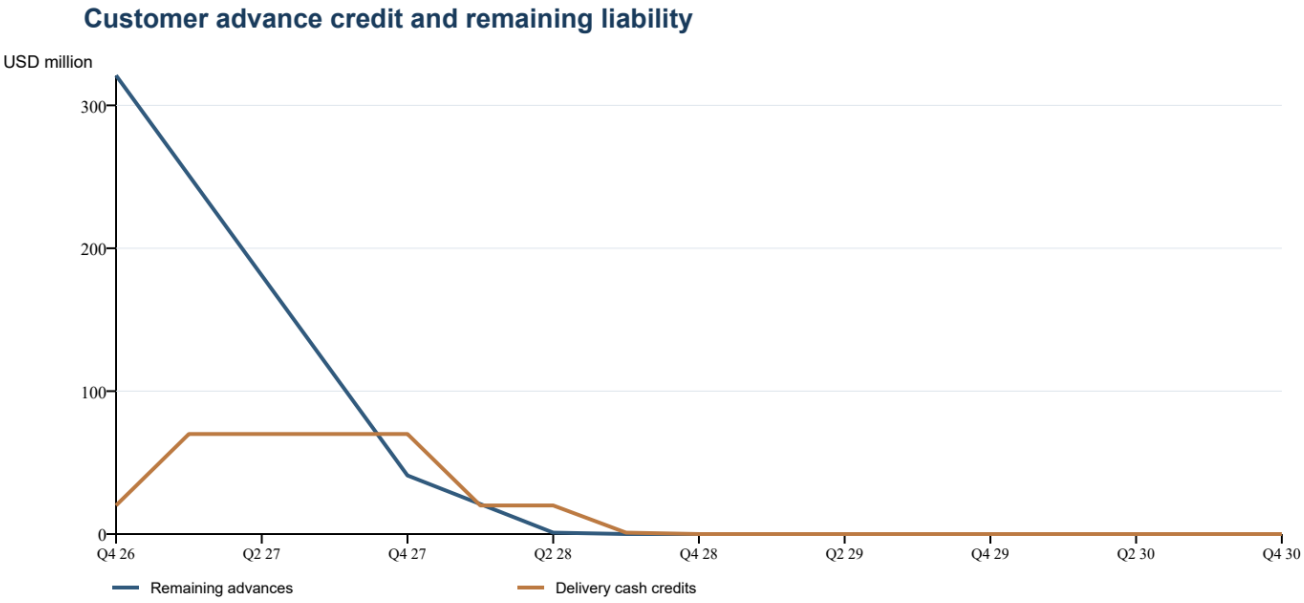
Quarter	Pretax	Tax	Net income	Parent NI	Minority claim
Q4 2026	179.7	27.0	152.7	151.6	1.1
Q1 2027	231.9	34.8	197.1	195.7	1.4
Q2 2027	302.8	45.4	257.4	257.4	0.0
Q3 2027	372.9	55.9	317.0	317.0	0.0
Q4 2027	439.7	66.0	373.7	373.7	0.0
Q1 2028	456.9	68.5	388.4	388.4	0.0
Q2 2028	473.8	71.1	402.7	402.7	0.0
Q3 2028	490.1	73.5	416.6	416.6	0.0
Q4 2028	505.3	75.8	429.5	429.5	0.0
Q1 2029	557.8	83.7	474.1	474.1	0.0
Q2 2029	627.1	94.1	533.0	533.0	0.0
Q3 2029	698.4	104.8	593.6	593.6	0.0
Q4 2029	772.0	115.8	656.2	656.2	0.0
Q1 2030	846.4	127.0	719.4	719.4	0.0
Q2 2030	921.8	138.3	783.5	783.5	0.0
Q3 2030	997.5	149.6	847.9	847.9	0.0
Q4 2030	1,073.4	161.0	912.4	912.4	0.0

23. Cash and deposits

Reported cash 250.748 plus short-term deposits 1,222.124 produce 1,472.872 of opening liquidity. The annual accounting policy describes deposits with original maturities beyond three months and remaining maturities below one year. The model treats the pool as available liquidity with maturity timing acknowledged. [T 1, T 9]

Trade receivables, inventories, payables, operating prepayments and ordinary accruals scale from the Q3 source ratios. Their cash changes are charged once. Cash flow adds back modeled noncash depreciation, stock compensation, amortization and prepaid rent, then replaces recurring lease cost with cash lease payments.

Customer advances fund earlier capacity but require future delivery credits. The opening 340.982 combined advance/deferred-revenue pool is drawn down through an explicit schedule, with no assumed new customer prepayment.



The opening customer cash is already included in liquidity and is not received a second time.

Numerical data: Customer advance credit and remaining liability

The table gives the exact model-chart series to four decimal places. Financial amounts follow the units printed on the chart.

Quarter	Remaining advances	Delivery cash credits
Q4 2026	320.9820	20.0000
Q1 2027	250.9820	70.0000
Q2 2027	180.9820	70.0000
Q3 2027	110.9820	70.0000
Q4 2027	40.9820	70.0000
Q1 2028	20.9820	20.0000
Q2 2028	0.9820	20.0000
Q3 2028	0.0000	0.9820
Q4 2028	0.0000	0.0000
Q1 2029	0.0000	0.0000
Q2 2029	0.0000	0.0000
Q3 2029	0.0000	0.0000
Q4 2029	0.0000	0.0000
Q1 2030	0.0000	0.0000
Q2 2030	0.0000	0.0000
Q3 2030	0.0000	0.0000
Q4 2030	0.0000	0.0000

23. Reported balance sheet

The September 30 balance sheet supplies the current liquidity, asset and liability anchors. The model retains separate loan, lease and customer-advance schedules.

Balance Sheet ($ in million)

	September 30, 2026	December 31, 2025
ASSETS		
Cash and cash equivalents	251	235
Short-term deposits	1,222	917
Trade accounts receivable	227	223
Inventories	263	257
Other current assets	48	78
Total current assets	**2,011**	**1,710**
Property and equipment, net	1,825	1,463
Other long-term assets, net	181	149
TOTAL ASSETS	**4,017**	**3,322**
LIABILITIES AND SHAREHOLDERS' EQUITY		
Short-term debt	13	28
Trade accounts payable	194	124
Customer prepayment and deferred revenue	249	26
Other current liabilities	85	86
Total current Liabilities	**541**	**264**
Long-term debt	140	133
Long-term customers' advances	92	2
Other long-term liabilities	36	18
TOTAL LIABILITIES	**809**	**417**
SHAREHOLDERS' EQUITY	**3,208**	**2,905**
TOTAL LIABILITIES & EQUITY	**4,017**	**3,322**

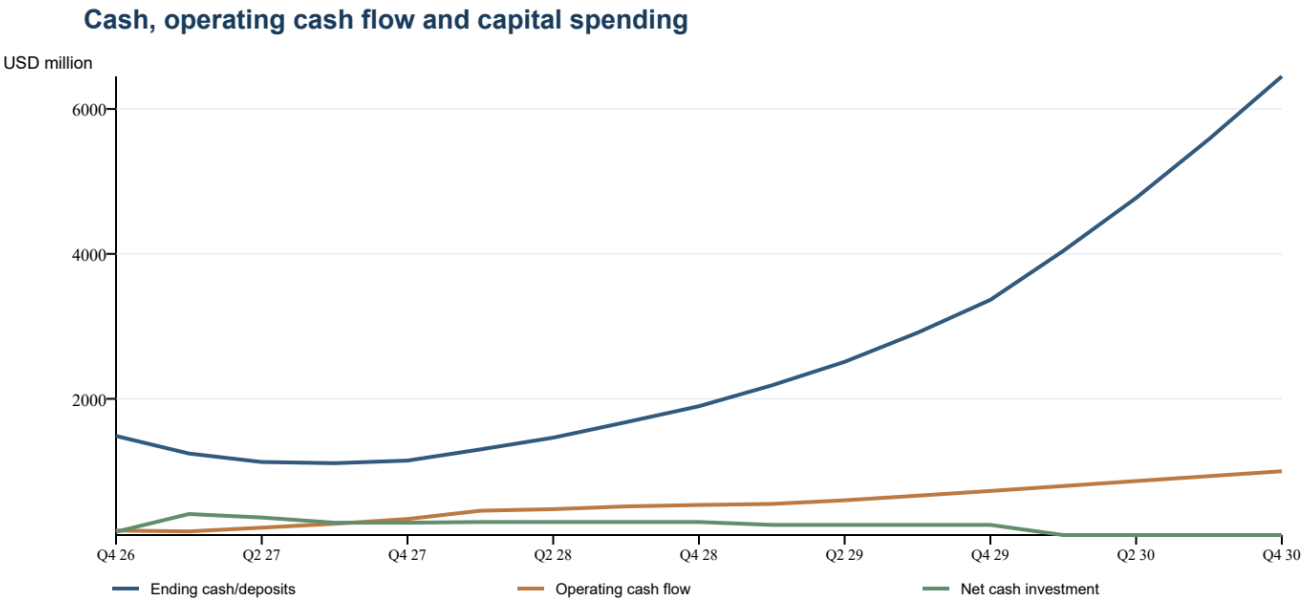
Tower Semiconductor

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Tower issuer presentation, November 2,2026, PDF page 5. Original source image.

24. Quarterly cash and funding

Quarter	CFO	Net capex	FCF	Delivery credits	End cash
Q4 2026	182.3	165.0	17.3	20.0	1,486.9
Q1 2027	170.3	410.0	-239.7	70.0	1,245.2
Q2 2027	221.8	362.0	-140.2	70.0	1,127.8
Q3 2027	275.9	290.0	-14.1	70.0	1,111.7
Q4 2027	341.1	290.0	51.1	70.0	1,147.5
Q1 2028	455.5	300.0	155.5	20.0	1,301.5
Q2 2028	477.1	300.0	177.1	20.0	1,463.8
Q3 2028	515.1	300.0	215.1	1.0	1,677.4
Q4 2028	534.9	300.0	234.9	0.0	1,897.6
Q1 2029	549.3	260.0	289.3	0.0	2,185.5
Q2 2029	599.5	260.0	339.5	0.0	2,510.4
Q3 2029	663.0	260.0	403.0	0.0	2,912.0
Q4 2029	728.3	260.0	468.3	0.0	3,365.7
Q1 2030	796.3	120.0	676.3	0.0	4,040.9
Q2 2030	865.2	120.0	745.2	0.0	4,771.9
Q3 2030	932.9	120.0	812.9	0.0	5,583.7
Q4 2030	1,000.4	120.0	880.4	0.0	6,449.8



Each scenario is fully solved before probability weighting. The minimum conditional forecast cash is 1,040.494; opening liquidity is 1,472.872.

Numerical data: Cash, operating cash flow and capital spending

The table gives the exact model-chart series to four decimal places. Financial amounts follow the units printed on the chart.

Quarter	Ending cash/deposits	Operating cash flow	Net cash investment
Q4 2026	1,486.9364	182.2644	165.0000
Q1 2027	1,245.1506	170.2755	410.0000
Q2 2027	1,127.8438	221.7544	362.0000
Q3 2027	1,111.6538	275.8712	290.0000
Q4 2027	1,147.4875	341.1189	290.0000
Q1 2028	1,301.4999	455.5404	300.0000
Q2 2028	1,463.8253	477.0774	300.0000
Q3 2028	1,677.4395	515.1423	300.0000
Q4 2028	1,897.6247	534.9371	300.0000
Q1 2029	2,185.5415	549.2906	260.0000
Q2 2029	2,510.4325	599.4887	260.0000
Q3 2029	2,912.0115	662.9528	260.0000
Q4 2029	3,365.6916	728.2778	260.0000
Q1 2030	4,040.9297	796.2676	120.0000
Q2 2030	4,771.8771	865.2009	120.0000
Q3 2030	5,583.7089	932.8614	120.0000
Q4 2030	6,449.8408	1,000.3854	120.0000

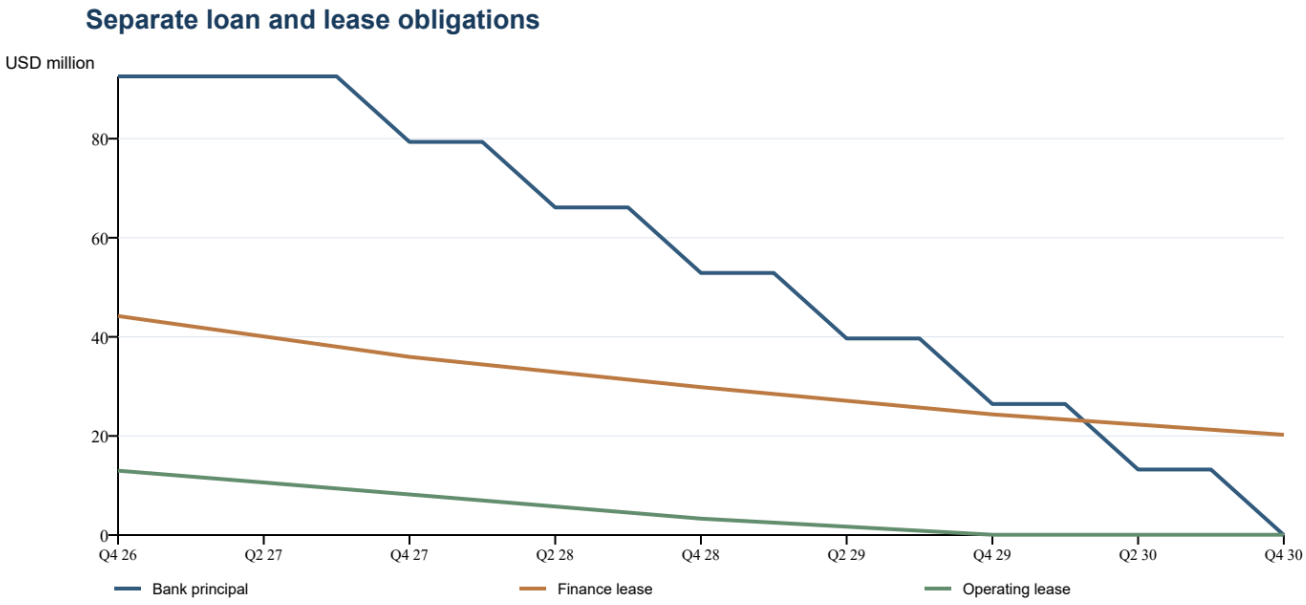
25. Loans and lease obligations

The Q3 reported 153.727 of current and long-term debt includes loans and lease obligations. The model splits it into 92.568 of loans,13.756 of operating leases and 47.403 of finance leases, with the latter two representing dated/residual allocation proxies. It adds no duplicate lease debt.

The annual loan schedule begins principal repayment in December 2027 and continues semiannually through December 2030 at a 2% stated rate. The current USD carrying amount can change with yen. Finance-lease principal and operating-lease payments use separate finite schedules. [T 9]

The model reserves all existing obligations without assuming debt relief from the undisclosed Fab 5 transfer terms. It raises no new credit or equity. Each scenario maintains the 300 cash floor; any shortfall would be exposed as an unfunded gap.

Quarter	Loan principal	Finance lease principal	Bank balance	Finance lease	Operating lease
Q4 2026	0.0	3.2	92.6	44.2	13.0
Q1 2027	0.0	2.1	92.6	42.1	11.8
Q2 2027	0.0	2.1	92.6	40.1	10.6
Q3 2027	0.0	2.1	92.6	38.0	9.4
Q4 2027	13.2	2.1	79.3	36.0	8.2
Q1 2028	0.0	1.5	79.3	34.4	7.0
Q2 2028	13.2	1.5	66.1	32.9	5.8
Q3 2028	0.0	1.5	66.1	31.4	4.5
Q4 2028	13.2	1.5	52.9	29.8	3.3
Q1 2029	0.0	1.4	52.9	28.5	2.5
Q2 2029	13.2	1.4	39.7	27.1	1.7
Q3 2029	0.0	1.4	39.7	25.7	0.9
Q4 2029	13.2	1.4	26.4	24.4	0.1
Q1 2030	0.0	1.0	26.4	23.3	0.1
Q2 2030	13.2	1.0	13.2	22.3	0.1
Q3 2030	0.0	1.0	13.2	21.3	0.1
Q4 2030	13.2	1.0	0.0	20.2	0.1



Existing loan and lease balances remain distinct. No contingent credit commitment is treated as available funding.

Numerical data: Separate loan and lease obligations

The table gives the exact model-chart series to four decimal places. Financial amounts follow the units printed on the chart.

Quarter	Bank principal	Finance lease	Operating lease
Q4 2026	92.5680	44.2030	12.9906
Q1 2027	92.5680	42.1418	11.7999
Q2 2027	92.5680	40.0805	10.6034
Q3 2027	92.5680	38.0192	9.4011
Q4 2027	79.3440	35.9580	8.1929
Q1 2028	79.3440	34.4300	6.9811
Q2 2028	66.1200	32.9020	5.7634
Q3 2028	66.1200	31.3740	4.5398
Q4 2028	52.8960	29.8460	3.3101
Q1 2029	52.8960	28.4722	2.5030
Q2 2029	39.6720	27.0985	1.6920
Q3 2029	39.6720	25.7248	0.8770
Q4 2029	26.4480	24.3510	0.0580
Q1 2030	26.4480	23.3215	0.0580
Q2 2030	13.2240	22.2920	0.0580
Q3 2030	13.2240	21.2625	0.0580
Q4 2030	0.0000	20.2330	0.0580

26. Shareholder returns

No future common dividend or buyback is assumed in the selected model. Management intends to fund expansion internally; the forecast tests that intention against operating cash, existing liquidity, customer credits and all selected capital spending.

The full 3,000 additional forward Japan reserve understates cash if part of the announced total has already been paid. The lower-capital-intensity and 20% overrun cases show the effect of this uncertainty without changing the physical capacity plan.

27. Complete rolling ceilings

Each valuation quarter uses that quarter and the next three quarters of consolidated OP. The final three forecast quarters have incomplete windows and remain blank. Scenario values use the same selected share convention and are weighted once.

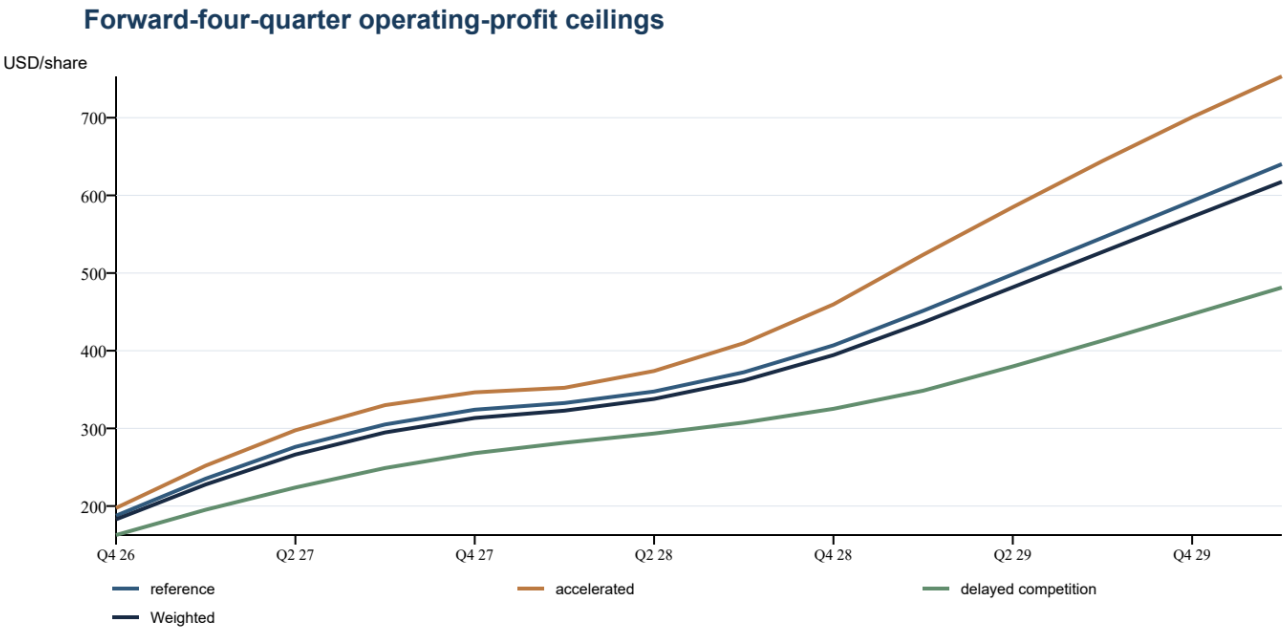
Quarter	F4 window	F4 operating profit	Multiple	Shares M	Ceiling USD
Q4 2026	Q4 2026 to Q3 2027	1,050.0	20	114.863	182.83
Q1 2027	Q1 2027 to Q4 2027	1,312.7	20	115.263	227.77
Q2 2027	Q2 2027 to Q1 2028	1,540.1	20	115.663	266.31
Q3 2027	Q3 2027 to Q2 2028	1,710.5	20	116.063	294.75
Q4 2027	Q4 2027 to Q3 2028	1,825.0	20	116.463	313.40
Q1 2028	Q1 2028 to Q4 2028	1,886.1	20	116.863	322.79
Q2 2028	Q2 2028 to Q1 2029	1,981.2	20	117.263	337.91
Q3 2028	Q3 2028 to Q2 2029	2,127.7	20	117.663	361.67
Q4 2028	Q4 2028 to Q3 2029	2,328.0	20	118.063	394.37
Q1 2029	Q1 2029 to Q4 2029	2,585.3	20	118.463	436.47
Q2 2029	Q2 2029 to Q1 2030	2,862.7	20	118.863	481.69
Q3 2029	Q3 2029 to Q2 2030	3,143.4	20	119.263	527.14
Q4 2029	Q4 2029 to Q3 2030	3,425.4	20	119.663	572.51
Q1 2030	Q1 2030 to Q4 2030	3,706.7	20	120.063	617.45
Q2 2030	-	-	20	120.463	-
Q3 2030	-	-	20	120.863	-
Q4 2030	-	-	20	121.263	-

28. Active valuation chain

Q4 2027 through Q3 2028 contains 1,824.963 of modeled consolidated operating profit. At 20 times and 116.463 million economic diluted shares, the current ceiling is USD 313.397949 per share.

Core capacity, accepted shipments, integrated process content, product costs, finite depreciation and operating support determine the numerator. The share allowance defines the denominator. Base 75 remains the separate protected portfolio ranking input.

Conditional state	Probability	F4 OP	Ceiling USD
reference	60%	1,886.9	324.03
accelerated	15%	2,017.1	346.39
delayed competition	25%	1,561.1	268.09
Weighted	100%	1,825.0	313.40



The current operating-profit valuation retains the sanctioned 20 times method.

Numerical data: Forward-four-quarter operating-profit ceilings

The table gives the exact model-chart series to four decimal places. Financial amounts follow the units printed on the chart.

Quarter	F4 window	reference	accelerated	delayed competition	Weighted
Q4 2026	Q4 2026 to Q3 2027	187.5656	197.4885	162.6639	182.8286
Q1 2027	Q1 2027 to Q4 2027	235.2482	252.0304	195.2576	227.7679
Q2 2027	Q2 2027 to Q1 2028	276.1903	297.5252	223.8532	266.3062
Q3 2027	Q3 2027 to Q2 2028	305.0354	329.9322	248.9572	294.7504
Q4 2027	Q4 2027 to Q3 2028	324.0272	346.3906	268.0922	313.3979
Q1 2028	Q1 2028 to Q4 2028	332.6315	352.2442	281.5088	322.7928
Q2 2028	Q2 2028 to Q1 2029	347.4728	373.8913	293.3830	337.9131
Q3 2028	Q3 2028 to Q2 2029	372.2252	409.7212	307.4919	361.6663
Q4 2028	Q4 2028 to Q3 2029	406.8826	459.6305	325.1889	394.3714
Q1 2029	Q1 2029 to Q4 2029	451.3728	523.5170	348.4927	436.4744
Q2 2029	Q2 2029 to Q1 2030	498.3626	584.8470	379.7664	481.6862
Q3 2029	Q3 2029 to Q2 2030	545.4395	644.2556	412.9432	527.1379
Q4 2029	Q4 2029 to Q3 2030	592.7323	700.7151	447.0569	572.5109
Q1 2030	Q1 2030 to Q4 2030	640.2373	753.2070	481.3136	617.4518

29. Calendar-year forecast

The 2026 row contains Q4 only. Annual totals sum full modeled calendar years from 2027. These totals have a different time basis from an annualized quarter-end capacity or sales rate.

Year	Revenue	Gross profit	OP	Net income	Net capex
2026 Q4 only	600.0	222.2	169.3	152.7	165.0
2027	3,490.1	1,560.7	1,312.7	1,145.2	1,352.0
2028	4,613.3	2,181.0	1,886.1	1,637.1	1,200.0
2029	5,939.4	2,934.1	2,585.3	2,256.9	1,040.0
2030	7,904.3	4,125.7	3,706.7	3,263.2	480.0

30. Sensitivities and uncertain estimates

The prepaid-rent tests preserve the Q3 noncash total while shifting its allocation between rent amortization and PPE depreciation. Fab 5 tests retain fixed costs and vary the removed revenue/cash-cost amount together.

The 20% capex overrun increases cash spending and depreciable cost without buying extra physical capacity. The 2,500 Japan-reserve case lowers forward capital intensity for the same plan. Track 2 revenue is excluded before 2029 in every base and sensitivity path.

The zero-laser case removes the value-added laser revenue and its costs. The standalone current core-capacity model therefore remains visible.

Sensitivity	Active ceiling	Minimum forecast cash	Max gap
Prepaid rent amortization 0	313.46	1,040.0	0.0
Prepaid rent amortization 12	313.34	1,041.0	0.0
Fab 5 revenue removed 0	315.30	1,034.0	0.0
Fab 5 revenue removed 40	311.49	1,047.0	0.0
Cash capex +20%	310.08	733.4	0.0
Readiness +2 quarters	298.00	1,042.0	0.0
Tax rate 20%	313.40	972.9	0.0
Zero laser value-add	304.20	1,037.2	0.0
No Track 2 expansion	313.40	1,040.5	0.0
Japan forward reserve 2,500	315.27	1,185.6	0.0

31. Conditional path: reference

Joint probability 60%. This complete conditional outcome is shown before weighting.

Quarter	F4 window	Revenue	OP	FCF	Ending cash	Ceiling
Q4 2026	Q4 2026 to Q3 2027	600.0	169.5	17.3	1,486.9	187.57
Q1 2027	Q1 2027 to Q4 2027	697.0	225.5	-240.0	1,244.9	235.25
Q2 2027	Q2 2027 to Q1 2028	828.0	306.7	-137.9	1,129.9	276.19
Q3 2027	Q3 2027 to Q2 2028	956.0	375.5	-3.0	1,124.8	305.04
Q4 2027	Q4 2027 to Q3 2028	1,088.0	448.1	61.6	1,171.1	324.03
Q1 2028	Q1 2028 to Q4 2028	1,130.0	466.9	172.8	1,342.3	332.63
Q2 2028	Q2 2028 to Q1 2029	1,162.0	479.6	194.7	1,522.2	347.47
Q3 2028	Q3 2028 to Q2 2029	1,194.0	492.2	230.1	1,750.8	372.23
Q4 2028	Q4 2028 to Q3 2029	1,226.0	504.8	247.8	1,983.9	406.88
Q1 2029	Q1 2029 to Q4 2029	1,328.0	560.6	302.9	2,285.4	451.37
Q2 2029	Q2 2029 to Q1 2030	1,455.0	632.2	356.0	2,626.9	498.36
Q3 2029	Q3 2029 to Q2 2030	1,582.0	704.3	423.5	3,049.0	545.44
Q4 2029	Q4 2029 to Q3 2030	1,709.0	776.5	491.7	3,526.1	592.73
Q1 2030	Q1 2030 to Q4 2030	1,836.0	848.9	701.1	4,226.2	640.24
Q2 2030	-	1,963.0	922.9	771.6	4,983.5	-
Q3 2030	-	2,090.0	998.1	842.4	5,824.9	-
Q4 2030	-	2,217.0	1,073.5	913.8	6,724.4	-

31. Conditional path: accelerated

Joint probability 15%. This complete conditional outcome is shown before weighting.

Quarter	F4 window	Revenue	OP	FCF	Ending cash	Ceiling
Q4 2026	Q4 2026 to Q3 2027	600.0	168.2	17.3	1,487.0	197.49
Q1 2027	Q1 2027 to Q4 2027	718.9	233.3	-241.7	1,243.3	252.03
Q2 2027	Q2 2027 to Q1 2028	855.9	316.2	-127.5	1,138.7	297.53
Q3 2027	Q3 2027 to Q2 2028	1,034.6	416.5	8.7	1,145.3	329.93
Q4 2027	Q4 2027 to Q3 2028	1,162.2	486.5	101.3	1,231.3	346.39
Q1 2028	Q1 2028 to Q4 2028	1,198.4	501.5	210.2	1,440.0	352.24
Q2 2028	Q2 2028 to Q1 2029	1,224.6	510.2	229.1	1,654.4	373.89
Q3 2028	Q3 2028 to Q2 2029	1,250.8	518.9	261.5	1,914.3	409.72
Q4 2028	Q4 2028 to Q3 2029	1,277.0	527.6	276.1	2,175.7	459.63
Q1 2029	Q1 2029 to Q4 2029	1,463.2	635.4	325.3	2,499.6	523.52
Q2 2029	Q2 2029 to Q1 2030	1,624.9	728.5	424.0	2,908.9	584.85
Q3 2029	Q3 2029 to Q2 2030	1,786.6	821.7	509.9	3,417.4	644.26
Q4 2029	Q4 2029 to Q3 2030	1,948.3	915.2	596.7	3,999.5	700.72
Q1 2030	Q1 2030 to Q4 2030	2,110.0	1,010.4	825.2	4,823.7	753.21
Q2 2030	-	2,251.7	1,094.4	915.0	5,724.5	-
Q3 2030	-	2,383.4	1,172.4	994.5	6,717.9	-
Q4 2030	-	2,505.1	1,244.4	1,069.4	7,773.1	-

31. Conditional path: delayed competition

Joint probability 25%. This complete conditional outcome is shown before weighting.

Quarter	F4 window	Revenue	OP	FCF	Ending cash	Ceiling
Q4 2026	Q4 2026 to Q3 2027	600.0	169.5	17.3	1,486.9	162.66
Q1 2027	Q1 2027 to Q4 2027	659.9	204.7	-237.9	1,246.9	195.26
Q2 2027	Q2 2027 to Q1 2028	724.3	250.8	-153.4	1,116.4	223.85
Q3 2027	Q3 2027 to Q2 2028	826.0	309.2	-54.6	1,059.8	248.96
Q4 2027	Q4 2027 to Q3 2028	921.8	360.6	-4.0	1,040.5	268.09
Q1 2028	Q1 2028 to Q4 2028	965.1	373.9	81.4	1,120.4	281.51
Q2 2028	Q2 2028 to Q1 2029	1,021.4	400.9	103.7	1,209.3	293.38
Q3 2028	Q3 2028 to Q2 2029	1,072.8	425.6	151.4	1,359.2	307.49
Q4 2028	Q4 2028 to Q3 2029	1,114.5	444.4	179.3	1,523.7	325.19
Q1 2029	Q1 2029 to Q4 2029	1,143.8	449.2	235.0	1,757.4	348.49
Q2 2029	Q2 2029 to Q1 2030	1,222.6	489.8	249.1	1,991.9	379.77
Q3 2029	Q3 2029 to Q2 2030	1,310.9	536.3	289.4	2,280.0	412.94
Q4 2029	Q4 2029 to Q3 2030	1,408.7	588.9	335.1	2,600.5	447.06
Q1 2030	Q1 2030 to Q4 2030	1,506.5	642.0	527.2	3,126.7	481.31
Q2 2030	-	1,604.3	695.3	579.9	3,692.4	-
Q3 2030	-	1,702.1	748.6	632.9	4,324.3	-
Q4 2030	-	1,799.9	803.5	686.8	4,996.8	-

32. Historical forecast retained

The published Q3 2026 forecast remains immutable with its original information vintage, quantities and rolling window. It is separate from the reported Q3 results elsewhere in this report.

Historical quarter	Original ceiling USD	Original diluted proxy M
Q3 2026	113.64102852424031	114.827

33. Technology and source limits

The retained source exhibits describe shared manufacturing tools, customer requests, yield assumptions and process capabilities. Expert quantities are attributed hypotheses. Customer demand can exceed the same fabrication pool, and an announced opportunity can overlap another product architecture.

The July issuer source identifies Track 1 as the basis of its 2028 financial model and Track 2 as a later expansion. The current model keeps those financial and timing scopes distinct.

6. What is the updated 2028 business model and how does Track Two impact it?

Based solely on the expected contribution from Track One Tower is increasing its 2028 business model to *approximately $3.6 billion of revenue and $1.2 billion of net profit*. These targets are achievable without any contribution from Track Two. The additional 300mm facility contemplated under Track Two is expected to begin contributing meaningfully starting in 2029 and is therefore not required to achieve the announced 2028 targets. Management views Track Two as a separate long-term growth platform that provides a pathway for continued expansion beyond the current business model horizon.

7. What level of customer demand supports this expansion?

The expansion is supported by strong customer engagement, forecast and direct requests as a result of multi-generation strategic partnerships, and increasing long-term demand visibility. While Tower does not disclose customer-specific commitments, the investment reflects demand well beyond current available capacity.

8. What is the expected investment and funding approach?

Total investment for the dual-track expansion is currently forecasted at up to $3 billion, net of grants. Tower currently expects to fund the project through existing cash resources, on going cash generation model, and governmental grants, while maintaining disciplined capital allocation.

Page **3** of **3**

Tower July 14,2026 Japan expansion FAQ, PDF page 3. Management total investment estimate is up toUSD 3 billion net of grants.

34. Catalysts and falsification

Monitor the Q4 revenue guidance, year-end start capacity and its conversion to Q2 shipments. Track the Q3 2027 commissioning schedule, accepted 300 mm flow, NPO deployment timing and customer contract conversion.

Compare SiPho core shipments with capacity separately from integrated-laser process content. Check the BCD price realization, RF qualifications, sensor demand and operating support costs.

Factory delays, weak accepted shipments, price competition or higher cash investment would favor the delayed case. New evidence of faster utilization needs corresponding capacity, variable-cost, depreciation and cash reconciliation.

35. Main risks

Factory execution and funding: equipment installation, qualification, yield, staff availability and payment timing can move independently. Cash balances and book depreciation must remain coherent.

Competitive pricing and concentration: the industry supports alternative foundries and technology routes, while a few important customer programs affect utilization. Capacity reservations and prepayments do not eliminate delivery or pricing risk.

Geopolitics and legal matters: tariffs, export restrictions, regional security, patent disputes and lease litigation can affect access, cost or continuity. No litigation award or termination recovery is included in recurring earnings.

Accounting estimates: exact Fab 5 disposed balances, current leases, attribution of other long-term cash assets and paid project amounts remain incomplete. Their proxy treatment and sensitivities remain visible.

36. Sources and completeness

T 1: November 2,2026 issuer earnings release with complete financial tables. T 2: issuer-hosted Q3 management transcript,21 pages, cover dated November 3; all 635 extracted lines reviewed. T 3: August 4 Q2 transcript,17 pages, all 602 lines reviewed. T 4: preserved Q2 supporting slides and management financial model.

T 5: November 3 Tower/InnoLight NPO announcement. T 6: October 13 Tower/Semtech capacity announcement. T 7: July 14 Japan expansion FAQ. T 8: original SEC June 30 interim financial statements, filed August 17. T 9: original SEC 2025 Form 20-F, filed April 30,2026.

The original Q3 supporting presentation and both SEC financial filings are preserved. Full transcript text is preserved through supported primary extraction because direct transcript PDF downloads returned 403. Audio was not reviewed. The event/cover date distinction remains explicit.

The February market memo and October 2 P Equity Research/tuolaji material are retained technical context with their original attribution and image content. The expert interview date and identity are unavailable; the latter material describes an AI translation. It receives no separate duplicate financial increment.

Source	Scope
T 1/T 2	Q3 earnings, guidance and full Q&A
T 3/T 4	Prior call and management reference
T 5/T 6	Current customer development and capacity
T 7	Total net-grant Japan budget
T 8/T 9	Ownership, shares, debt, leases and assets